EAST AFRICAN COMMUNITY TAX LAW REPORTS

2023
VOLUME 1

EAST AFRICAN COMMUNITY TAX LAW REPORTS

A COMPENDIUM OF TAX CASES DECIDED WITHIN THE EAST AFRICAN COMMUNITY

2023

VOLUME 1.

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Published by;

South Sudan Revenue Authority (SSRA) in collaboration with Kenya Revenue Authority (KRA)

SCOPE OF THE COMPENDIUM

This compendium cover appeals and applications adjudicated upon in all superior Courts of record, Tax Appeals Tribunals and Tax Revenue Appeals Boards from Kenya Revenue Authority, Office Burundais des Recettes, Rwanda Revenue Authority, Tanzania Revenue Authority and Uganda Revenue Authority.

The compendium comprises of summaries of tax decisions received during the period 2023. Copies of the full judgements/rulings can be retrieved from the libraries of the respective Revenue Administrations.

Tax decisions from Burundi and Rwanda are reported in French and Kinyarwanda and have to be translated into English. It is for this reason that the compilation includes a few cases from Rwanda and Burundi (the same were transalated to English). The East African Revenue Authorities Technical Committee (EARATC) is working with the heads of delegations from the two countries to have more tax decisions translated to English with the intention of increasing a number of tax decisions reported in future compendiums. During this period, South Sudan Revenue Authority and Zanzibar Revenue Authority did not receive any decided cases hence none have been reported herein.

CITATION

These Reports are referred to as the **East African Community Tax Law Reports** and are cited thus; [2023]1 EACTLR.

STATEMENT FROM THE CHAIRPERSON-EARATC

Dear Esteemed Reader,

It gives us enormous pleasure to present the Fourth Volume of the East African Community Tax Law Report (EACTLR).

In the words of Benjamin Carson;

"*I am convinced that knowledge is power - to overcome the past, to change our own situations, to fight new obstacles, to make better decisions.*"

I therefore believe that the provision of information and knowledge through taxpayer education is key to ensuring that the public has access to all relevant material, which shall empower them to make the most accurate decisions while handling tax matters. I am extremely thankful to have been able to ensure the consistent publication of all key tax decisions issued within the East African Community region.

Mindful of the need to keep up to pace with the evolving tax law, the EACTLR is one of the most efficient modes that has been adopted to ensure that the decisions rendered by Courts of Law, Tax Revenue Appeal Boards and Tax Appeals Tribunals within the East African Community are accessible to the general public.

This Volume of the EACTLR comprises of seventy four (74) tax cases from Burundi, Kenya, Rwanda, Tanzania and Uganda. It is an innovation of the East African Revenue Authorities Technical

Committee (EARATC). The report has been specifically written in a simplified manner, in a bid to ensure that it can be utilised by a wide range of members of the public and people from all occupations, including, but not limited to lawyers, accountants, tax advisors and the ordinary taxpayer in particular.

This Compendium contains key decisions passed by Tax Appeal Tribunals, Tax Revenue Appeal Boards and Courts of Law such as High Court, Court of Appeal and Supreme Courts within East Africa, in the year 2023.

The Compendium covers a wide range of tax issues including withholding tax on purchase of business assets, entitlement to input tax credit, debit and credit notes, and certificates of origin, among others. It also contains procedural tax matters and consequences for failure to follow statutory tax procedures. With such a rich coverage of issues, we are more than confident that it will be an invaluable asset to whoever shall be able to take the benefit of reading it.

I sincerely hope that the information herein will be instrumental in aiding all readers to contextualize the different tax-related scenarios that they are faced with on a day-to-day basis while providing simplified answers to questions that arise regarding application of tax laws. The EARATC, through the publication of this report, pledges to continue delivering on the promise of tax education and sensitization.

I wish to thank the Commissioners General of the East African Revenue Authorities for according us the opportunity to serve on the East African Revenue Authorities Technical Committee and oversee the production of this Report. I wish to extend my sincere gratitude to the indomitable Legal Services Subcommittee team that worked tirelessly to ensure timely publication of this Volume. It is their enthusiasm, dedication, and unwavering commitment, which enable us to provide this information to the public.

In the same vein, the publication of this Compendium would not be possible without the financial and logistical support of the South Sudan Revenue Authority and Kenya Revenue Authority. Finally, I appreciate the participation and collaboration of everyone who laid a brick to ensure that this Volume is published and I hope that it shall be beneficial to every person who will access it.

Beatus Nchota
Chairperson EARATC and HOD TRA

“Quote;

“Law remains the foundation of every tax system because taxation is Statutory. However, statutory provisions in some cases may appear formal, distant and even impractical until they come alive in cases before the Courts where they become subjects of judicial interpretation and application”.

Hon. Justice IBRAHM Auta, OFR
Chief Judge, Federal High Court Nigeria ”

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CADURY KENYA LIMITED VS. COMMISSIONER OF CUSTOMS & BORDER CONTROL [2023] KETAT 951

(Subject Matter-Customs- Determination of ad valorem value of imported goods under Section 122 as read together with the Fourth Schedule to the EACCMA, 2004.)

Brief Facts

The Appellant's case is that it previously provided sales support services to Mondelez Egypt Foods S.A.E ("Mdlz Egypt") and Mondelez South Africa Pty Ltd ("Mdlz SA"). That separately, Mdlz Egypt and Mdlz SA appointed Hasbah Kenya Ltd ("Hasbah") to be its non-exclusive distributor of Mondelez products in the Kenyan market in accordance with a Distribution Agreement dated 1st December 2017.

Subsequently, the Appellant changed its business operating model from providing sales support services to Mdlz SA and Mdlz Egypt to being the distributor of Mondelez Products in the Kenyan market. Mondelez's operations globally are organized around four regions. Kenya is part of the Mondelez Asia, Middle East and Africa ("AMEA") region. Where goods are exported within AMEA, the region operates under the Global Supply Chain Principal model whereby Mondelez International AMEA PTE Ltd ("MIAPL") operates as the supply chain principal, responsible and accountable for key supply chain activities.

The Appellant imports Mondelez products from Mondelez Companies located within the AMEA region through MIAPL in accordance with a Distribution Agreement dated

1st May 2022. MIAPL will purchase the products from the manufacturing entities within AMEA and on sell the products to the Appellant. That in this regard MIAPL will invoice the Appellant for the goods but the goods will be shipped directly from the manufacturing entities located in different countries within the AMEA region.

Countries within AMEA that are members of the Common Market for Eastern and Southern Africa (COMESA) will sell the goods directly to the Appellant. The Appellant will therefore import Mondelez products from Mondelez companies located in Member States of COMESA such as Egypt and Eswatini directly in accordance with a Master Supply Agreement dated 1st January 2022. The Appellant will then sell the products to Customers in Kenya including Hasbah.

The Appellant stated that Prices of Mondelez products under the new model will be based on inter-company prices as per the Mondelez Group transfer pricing policy and will be lower than the prices at which Hasbah previously purchased identical products from Mdlz Egypt and Mdlz SA under the old model.

The Appellant applied for an advance ruling to the Respondent on the most appropriate customs valuation method for Mondelez products to be imported by the Appellant through a letter dated 12th April 2022 in accordance with Section 248A of the EACCMA. The Respondent issued an advance valuation ruling vide a letter dated 5th May 2022 where it held that the transaction value method was not appropriate for customs valuation of goods imported by the Appellant under the new model because the Appellant's request fell short of the rules governing the acceptance of the transaction value method. The Appellant applied for review of the Respondent's Advance Valuation Ruling vide a letter dated 17th June 2022. The Respondent confirmed its earlier decision vide a letter dated 14th July 2022, which is the subject of this Appeal.

The Appellant's case is that the transaction value method is the primary method of customs valuation and should be applied since the conditions prescribed therein have been fulfilled.

That Section 122 of the EACCMA provides that when goods are liable to import duty ad valorem, their value shall be determined in accordance with the Fourth Schedule of the EACCMA. Section 122 (6) of the EACCMA also prescribes that, in applying or interpreting its provisions and the Fourth Schedule, due regard should be taken of decisions, rulings, opinions, guidelines and interpretations given by the Directorate, World Trade Organization or the Customs Cooperation Council (now the World Customs Organization). That further, General Note (GN) I of the interpretative notes to the Fourth Schedule of the EACCMA provides that the methods of customs valuation are set out in a sequential order of application. The primary method for customs valuation is the transaction value method and imported goods are to be valued in accordance with the transaction value method whenever the conditions prescribed therein are fulfilled. It is only when the customs value cannot be determined under the provisions of a particular valuation method that the provisions of the next method in the sequence can be used.

That in its advance ruling application, it provided justification that the sale transaction with its related parties will fulfil conditions for application of the transaction value method. That the Respondent's conclusion that the transaction value method is not acceptable was only based on its assumption that the relationship between Appellant and the suppliers will affect the price of the goods. Further, there is no mention of the other conditions stipulated under Paragraph 2 of the EACCMA. That it was therefore not in dispute that the sale of Mondelez products to the Appellant fulfils the other 3 conditions. That whereas it will be importing Mondelez products from related parties, Paragraph 2(2) of the Fourth Schedule to the EACCMA provides that the determination of the transaction value should not be deemed as unacceptable merely because the buyer and seller are related parties. That it goes on to provide that in such instances where the buyer and seller are related parties, the circumstances surrounding the sale shall be examined and the transaction value shall be accepted provided the relationship did not influence the sale.

That the key questions that should be addressed in the determination of the circumstance of sale, according to Note 3 to Paragraph 2(2) would include:-

a) Has the price been settled in a manner consistent with the normal pricing practices of the ·industry in question or the way in which the seller settles for buyers who are not related to the seller?

b) Is the price adequate to ensure recovery of all the costs plus a profit, which is representative of the firm's overall profit, which realized over a representative period?

The Appellant’s contention is that the Respondent failed to take into account the differences in functions performed and risks assumed by the Appellant and the third-party importer (Hasbah Kenya Limited) in determining whether the prices declared by the Appellant are influenced by the relationship with the suppliers.

The Respondent’s case is that the crux of the dispute at hand is the method applied in the determination of the value of the Appellant's imported goods that is liable to ad Valorem import duty.

The Respondent contended that the transaction value method would not be opportune in the instant case and instead thought should be shifted to the transactional value of identical goods methodology as the most fitting methodology. That the transaction did not fulfill the conditions as set out in Paragraph 2 of the 4th Schedule. That the new model as set out by the Appellant in its Memorandum of Appeal allows the Appellant to take up the supply chain obligation previously taken up by a third party.

The Respondent contended that the Appellant is to subsequently sell the imported products at an operating margin which would only be enough to foster the company's self-reliance while maintaining its marketing and promotional costs and obligations. That this implies that there is no transaction between the related parties hence the transactional value method does not apply upon the adoption of the new model.

The Respondent further contended that the change in business model is an internal affair issue as both the Appellant and the third party have the same role of importation of goods. which will not affect the value of the goods being traded. That it was based on this that the valuation used with the third party can also be used in this case where transactional value of identical goods is used. Since a third party (Hasbah) has previously imported Mondelez products, the transaction value of goods imported by Hasbah should form the basis of the customs value of identical products imported by the Appellant. That the Fourth Schedule of the EACCMA clearly guides on the sequential application of the customs valuation methods where the transaction value method fails as in this case. The Respondent disregarded the transaction value method on the basis that the Appellant will be importing Mondelez products from related parties.

Issue:

1. Whether the Respondent erred in its decision to depart from the Appellant’s proposed transaction

value method as the valuation method for goods to be imported by the Appellant

Decision/Learning points

i. Under the EACCMA the transaction value method is the primary method of valuation and that the Respondent can only resort to the other methods of valuation after the first method fails.

ii. The Tribunal perused the documents submitted by the Appellant plus the pleadings and noted that, in its new model of operation and supported by the agreement, the Appellant was indeed to be at a different commercial level with the previous distributor (Hasbah) who previously imported the same products and the Respondent had sought to use its price in the transaction value on identical goods.

iii. It was not in dispute that the Appellant was a related party to Mondelez International AMEA PTE. LTD whom the Appellant was to import the goods from. However, this on itself is not reason for rejection of the transaction value method as provided for at Paragraph 2(2)(a) of the Fourth Schedule to the EACCMA.

iv. The Appellant in this case demonstrated that it was indeed at a different commercial level with Hasbah Kenya Limited which previously imported the products due to the additional responsibilities it would take over from the parent company (Mondelez International AMEA PTE. LTD). These responsibilities and the fact that it would even supply Hasbah Kenya Limited meant that even the volumes would be different from that previously handled by Hasbah.

v. Taking into account the circumstances of the trade between the Appellant and the exporter, and after considering the pleadings, submissions and documents presented by both parties, the Tribunal was persuaded that the relationship between the Appellant and the related company (Mondelez International AMEA PTE LTD will not affect the price of goods to be imported by the Appellant.

vi. Consequently, the Tribunal finds that Respondent erred in its decision to depart from the Appellant's proposed transaction value method as the valuation method for goods to be imported by the Appellant.

Appeal allowed.

COLAS EAST AFRICA VERSUS UGANDA REVENUE AUTHORITY, HIGH COURT CIVIL APPEAL NO. 42 OF 2022

(Subject matter: Customs- Use of transaction method for assessment of tax)

Brief Facts

The Appellant imports road construction materials. On 20th August 2010, the Respondent conducted a post customs clearance audit on the Applicant. The audit revealed that the Appellant had imported Bitumen using Method 1 of the transaction value method. The Respondent raised an assessment of UGX 694,037,728 against the Appellant on the ground that it should have used Method 2 of Identical goods.

For the period 2015 to 2019, the Appellant imported Bitumen 80/100 183 Kg and Bitumen 60/70 183 Kg from UAE to Uganda. The Respondent carried out a Customs Post Clearance Audit and realized that the Appellant was incorrectly/wrongly declaring the foregoing imports from UAE to have been imported from Kenya whereas not, thus benefiting from the origin criteria by not paying import duty. The Respondent corrected the origin criteria to be United Arab Emirates (UAE) and not Kenya, by computing the 25% as import duty rate on the said Bitumen and assessing the Appellant to tax of UGX 27,295,901.

The Respondent also examined the Applicant's imports declared in ASCYCUDA alongside its books of account for the period 2015 to 2019 which indicated that whereas the Appellant had paid for the imports, it had debts to pay (payables) for the same imports.

The Respondent further carried out a payables test to confirm that the amounts the Appellant declared in ASCYCUDA as imports were the true prices paid or payable for customs purposes and the Respondent realized a net variance of UGX 526,456,542 between the declared values and the expected values.

More so, the Respondent carried out a ledger analysis to confirm whether the values the Appellant posted in its ledger matched those declared in the commercial invoices, realizing a variance of UGX 53,458,341 leading to payable taxes of UGX 12,830,002. The Respondent thus rejected the Applicant's Method 1 of transaction value.

Consequently, the Respondent relied on imports of identical bitumen products from the same exporter (the Applicant's in Kenya) to Uganda for the period 2015 to 2019 and thereby used Method 2 of the transaction value of identical goods to assess the Appellant total tax of UGX 706,958,865 (being VAT of UGX 530,219,149 and WHT of 176,739,716).

The Appellant objected to the above tax and the Respondent adjusted the tax to total tax of UGX 694,037,728 (being VAT of UGX 520,528,296 and WHT of UGX 173,549,432).

The Appellant challenged the tax liability before the Tax Appeals Tribunal which dismissed the Application with costs to the Respondent, hence this Appeal to High Court.

Issues for Determination

1. Whether the Tax Appeals Tribunal erred in law when it held that Method 2, which the Respondent used to

assess the Appellant tax worth UGX 694,037,728, was applied correctly when the Respondent had not considered the commercial levels related to the importers.

2. Whether the Tax Appeals Tribunal erred in law in rendering a decision which contravenes the express provisions of the Fourth Schedule of the EACCMA in respect to valuation of goods under Method 2 thereby arriving at the wrong decision

3. Whether the Tax Appeals Tribunal erred in law when it misapplied the criteria on establishing origin of goods for import purposes when it erroneously concluded that all the subject goods originated from UAE thereby arriving at the wrong decision.

4. Whether the Tax Appeals Tribunal erred in law when it erroneously applied Section 18 of the TAT Act on burden of proof of the Applicant in total disregard of the rules of evidence and principles of burden of proof as set in the Evidence Act, Cap. 6

Decision/Learning Points

i. Under the Application to the tribunal, the key reasons for the same advanced by the Appellant were that the Respondent's Application of the transaction value of identical goods was flawed.

ii. The Appellant's witness stated that the Applicant objected because the Respondent did not consider the commercial levels between the Applicant and its branch in Uganda vis-a-viz other unrelated importers that buy directly from it.

iii. Court noted that the Tribunal seems to have addressed the issue as to whether or not the Respondent was justified in applying Method 2 as opposed to Method 1 in assessing the tax payable.

iv. From the record, the real issue was whether the Respondent in the assessment of tax applied Method 2 correctly.

v. The Tribunal did not go a step further to determine whether the Respondent applied Method 2 in accordance with Paragraph 3 of the 4th Schedule of the East African Community Customs Management Act.

The High Court remitted the matter back to the Tax Appeals Tribunal for reconsideration.

GAME DISCOUNT WORLD TANZANIA v. THE COMMISSIONER GENERAL, TANZANIA REVENUE AUTHORITY. CIVIL APPEAL NO. 22 OF 2022

(Import duty- Whether the cost of loading, unloading and handling associated with the transport of the imported goods and warehousing costs forms part of the value of imported goods for duty purposes)

Brief facts

The Appellant is a company trading as a super store in both locally manufactured and imported goods. The dispute arose when the Respondent conducted a post clearance audit on the Appellant's tax affairs covering years of income 2012, 2013 and 2014. The purpose of the audit was to ascertain the Appellant's tax compliance. The Respondent discovered that there was noncompliance and thus issued a demand notice for payment of short levied duties which the appellant disputed before the Board and the Tribunal unsuccessfully. Still aggrieved, the Appellant lodged an appeal to the Court of Appeal.

Issues for determination

1. Whether the Tribunal erred by misinterpreting the application of paragraph 9(2) (b) of the Fourth Schedule to the East African Community Customs Management Act, 2004 (EACCMA) in connection with the Head office costs recoveries subject of the disputed customs and excise taxes leading to the finding that Head Office costs recoveries are part of warehousing costs which ought to have been declared by the appellant as part of customs value of stock.

Decision/Learning points

i. Paragraph 9(2) (b) of the Fourth Schedule to the EACCMA indicates clearly that the value of any imported goods for duty purposes is determined by adding to the price actually paid or payable for the goods the cost of transport of the imported goods to the port or place of importation into the Partner State. Also, the cost of loading, unloading and handling associated with the transport of the imported goods to the port or place of importation into the Partner State add to the value of the said goods.

ii. The Appellant did not declare the warehousing costs as part of the cost of imported goods for duty purposes. The Appellant shifted the costs to Head Office recovery costs.

iii. The Appellant failed to prove that the cost of transport of imported goods (stock) as seen in the trial balance were in respect of the goods imported in previous period and sold during the years under review. In absence of cogent proof in terms of section 110 of the Evidence Act, the Respondent was justified to assess and demand tax on undeclared foreign transport costs

iv. The language used in Paragraph 9(2) (b) of the Fourth Schedule to the EACCMA is plain and thus it did not require any further interpretation. When the language of statute is clear, it is not open to further interpretation. Citing Standard Chartered Bank (Hong Cong) Ltd. V Mechmar Corporation (Malaysia) Berhad & 7 Others, Civil Revision No. 1 of 2012 (unreported).

v. In terms of section 25 (1) of the Tax Revenue Appeals Act, Cap 408, appeals to the Court against the decisions of the Tribunal are on matters of law only. The appellant's complaint hinges on the misinterpretation of the application of paragraph 9 (2) (b) of the Fourth Schedule to the EACCMA which is a point of law, therefore, the appellant should not have reopened factual issues which were finally dealt with before the Tribunal

Appeal dismissed

EAST AFRICA PACKAGING INDUSTRIES LTD. VS. COMMISSIONER OF CUSTOMS & BORDER CONTROL: TAX APPEAL NO. 511 OF 2022

(Subject Matter-Customs-Classification of white top kraftliner paper, bay white top kraftliner paper, and unbleached semi-extensible sack Kraft paper under the EAC HS Code)

Brief Facts

The Respondent carried out a Post Clearance Audit (PCA) on the Appellant's importation of white top kraftliner paper, bay white top kraftliner paper, and unbleached semi-extensible sack Kraft paper, all in reels. Vide a letter dated 8th December 2020 the Respondent issued a demand notice for extra tax of Kshs 31,368,508.00. The Respondent applied a duty rate of 25% while the Appellant had applied an import duty rate of 10%. The Appellant had declared the goods under HS Code 4804.49.00 and 4804.39.00, while the Respondent re-classified the goods under HS Code 4805.92.00 and

4804.21.00. the Appellant objected to the demand, where after the Respondent issued its review decision hence the Appeal herein.

The Appellant's case is that it has been importing the following paper products under the relevant HS Codes; White Top Kraftliner – HS 4804.39.00; Bay White paper HS 4804.49.00; Bleached semi-extensible Sack Kraft paper HS 4804.29.00 and Unbleached semi-extensible HS 4804 .21.00. That Legal Notice No EAC/21/2014 issued through East African Gazette Notice dated 20th June 2014 approved the reduction of customs duty rates from 25% to 10% on various HS Codes including those under which the products in this Appeal fall.

The Appellant contended that the Respondent's assessment is erroneous as it is based on misinterpretation and misapplication of the provisions of the law and that the Respondent considered irrelevant facts before reaching the decision. In particular, the product described as "White top krafliner" and "bay white kraftliner" in reels are the same product. However, suppliers brand the product under different names.

That classification of products subject of this Appeal is provided for under the EACCET, Annex 1 to the EAC Customs Union Protocol where Chapter 48 of the EACCET provides for classification of paper and paperboard, articles of paper pulp of paper or of paperboard. Further that Rules 1 and 3(a) of the GIRs support a classification of this product under heading 48.04, whereas per Rule 1, the heading that provides the most specific description shall be preferred to headings providing a more general description.

That Note 6 of Chapter 48 of the EACCET defines Kraft paper and paperboard of which not less than 80% by weight of the total fibers contents consists of fibers obtained by the chemical sulphate or soda process. Further, that Heading 48.04 of the EACCET provides for classification of uncoated Kraft paper and paperboard in rolls or sheets and that Heading 4804 deals with products such as kraftliner, dry battery kraftliner, sack kraft paper, other kraft paper and paperboard of various weight. That the Respondent erred in relying on the tariff ruling dated 30th August 2018 which determined that Heading 4805 of EACCET, as the Heading 4805 of EACCET does not refer to multi-ply paper and paperboard at all. The multi-ply paper is covered under HS Code 4810.92.00 of EACCET.

The Respondent's case is that it applied the provisions of Section 110 of EACCMA and the relevant Legal Notices by applying the duty rates as specified in the various Legal Notices between 2017 and 2020.

The Respondent contended that it took and tested two samples Nos 063518 and 063618 for a laboratory analysis and established that the applicable HS Codes were 4805.91.00 and 4805.92.00 for the white top kraftliner and bay white top kraftliner respectively. It communicated the laboratory findings vide its letter dated 30th August 2018. However, the Appellant argued that the said samples were drawn from semi-chemical fluting paper hence the results cannot be used as a basis to reclassify and demand further taxes.

Issues for detrmination

1. Whether the Respondent erred in reclassifying the Appellant's products
2. Whether the demand for short levied tax is due and payable

Decision/Learning Points

i. The samples, forming the Respondent's decision to reclassify and demand for short levied tax were taken in August of 2018 and the demand issued on 8th December,2020, more than twenty-four (24) months after the post clearance audit exercise, giving the impression that the Respondent's action to issue the demand may have been an afterthought.

ii. From the subheading notes of Heading 48.04 *("Uncoated kraft paper and paperboard in rolls or sheets, other than that of heading 48.02 or 48.03 – kraftliner")* and Heading 48.05 *("Other uncoated paper and paperboard in rolls or sheets, not further worked or processed than as specified in Note 3 to this chapter - Fluting paper"),* two of the Appellant's products white top kraftliner and bay white top kraftliner are specifically classifiable under 48.04, kraftliner and not 48.05, fluting paper.

iii. A reading of Heading 4805 notes clearly state that Kraftliner are excluded from Heading 4805. In the absence of any plausible justification from the Respondent to classify the Appellant's products under this heading, the Respondent's criteria is therefore not ideal.

iv. During hearing, the Respondent's witness confirmed receiving two samples from the Post Clearance Audit team yet the Respondent had reclassified three of the Appellant's products. Further no documentation was filed before the Tribunal to either prove that indeed the samples collected were for the said product, or a report (Laboratory analysis findings) from the Laboratory to confirm the result findings. It is therefore speculative on whether indeed the Respondent took and analysed the correct product samples.

v. Consequently, Respondent erred in reclassifying the Appellant's products under review.

vi. Having found that the Respondent erred in reclassifying the Appellant's products, the issue of whether the demand for short levied tax is due and payable is rendered moot.

Appeal allowed.

KUKU FOODS UGANDA LIMITED VERSUS UGANDA REVENUE AUTHORITY, TAT APPLICATION NO. 070 OF 2021

(Subject matter- Customs - valuation of imported tomato ketchup)

Brief Facts

The Applicant operates restaurants in Uganda under the KFC franchise. Sometime in 2018, the Respondent conducted a custom post clearance audit on the Applicant to establish the valuation of tomato ketchup imported by the Applicant from Oman. The audit revealed that the declared free on Board (FOB) value of USD 7.85 per carton or 0.98/kg was less than USD 1.00/kg and when adjusted for Freight and Insurance it does not go beyond USD 1.25/kg. Accordingly, the Respondent rejected the Applicant's transaction value.

The Respondent applied the value of USD 1.82/Kg which was appraised for identical products declared vide Customs Bill entry UGMAL C40650 of 2nd November 2017. The Respondent advised the Applicant to seek for provisional clearance of the goods and an apply for amendment of the declarations but the Applicant did not do so. The Respondent assessed the Applicant to taxes amounting of UGX. 153,762,680 which were short-paid and due.

Subsequently, the Applicant wrote a letter to the Respondent requesting to use the transaction value of 0.98/kg based on the commercial invoices. In response, the Respondent reiterated its earlier position. Being aggrieved, the Applicant instituted an Application for review against the Respondent, in the Tax Appeals Tribunal.

Issues for determination:

1. Whether the Applicant is liable to pay the tax assessed?
2. What remedies are available to the parties?

Decision /Learning Points

i. The valuation methods are to be applied sequentially. The only consideration for rejection of one method for another is proof of failure to determine the customs value of the imported goods under the method in question.

ii. The grounds given by the Respondent for rejecting the transaction method are that:

   a) No agreement existed between the Applicant and AATCO as the supply agreement presented was between AATCO Food Trading L.L.C Oman and Kuku Foods Kenya.

b) The relationship between the Applicant and Kuku Foods Kenya was not declared and yet it seemed that the Applicant had imported the goods under contract terms negotiated between Kuku Foods Kenya and AATCO.

c) The price was influenced by the relationship between the supplier and the Applicant and the value of tomato sauce declared was lower than the cost of tomato paste, a key ingredient in the manufacture of tomato sauce.

d) Non-declaration of the relationship between the Applicant and Kuku Foods Kenya Ltd has no bearing on the application of the transaction method nor does the fact that the value of tomato sauce declared by the Applicant was lower than the cost of tomato paste.

e) The Applicant has adduced evidence, namely, commercial invoices, packing lists and payment receipts, which clearly show the price actually paid for the imported goods.

f) The Respondent did not show that the value of the goods in question could not be determined by the transaction method

g) The Applicant established that the value declared by it was the value actually paid for the goods in question.

h) The application by the Respondent of the identical method in determining the value of the tomato sauce was set aside.

i) The Tribunal found that the correct valuation method for purposes of determining the value of the goods in question was the transaction value method.

The Application was allowed with costs to the Applicant.

LONA GARMENTS COMPANY LTD VS COMMISSIONER OF CUSTOMS & BORDER CONTROL: TAT NO. 787 OF 2021:

(Subject matter: Tariff classification of extension sockets under the EAC HS Code)

Brief Facts

The Respondent conducted a desk audit on the Appellant's entries covering the period September 2015 to August 2020. The audit revealed that the Appellant has been importing extension sockets, which had been classified under HS tariff code 8536.69.00 which attracts import duty of 10%.

The Respondent re-classified the product under tariff subheading 8544.42.00 which attracts import duty at the rate of 25% and 35% prior to 1st July 2020 and after July 2020, respectively. As a result, the Respondent issued a

Demand Notice dated 12th October 2020 for Kshs 4,183,470.00.

The Appellant objected to the demand and asked the Respondent for a review vide its letter dated 9th November 2021. The Respondent reviewed the request and vide its letter dated 11th November, 2021, upheld its classification of the Appellant's product under Heading 8544.42.00 of the EAC/CET and demanded the earlier tax of Kshs 4,183,470.00
Appellant appealed against the Respondent's decision

The Appellant's case is that the extension sockets do not fit under the heading 8544.42.00 but rather fits into HS Code 8536.69.00 as this heading reads:

> *"Electrical apparatus for switching or protecting electrical circuits, or for making connections to or in electrical circuits (for example, switches, relays, fuses, surge, suppressors, plugs, sockets, lamp holders and other connectors, junction boxes), for a voltage not exceeding 1,000 volts, connectors for optical fibres, optical fibre bundles or cables in particular the double dash before the HS Code 8536.69.00 provides for "other"*

That the extension sockets imported by the Appellant do not meet the threshold envisaged by tariff Code 8544.42.00 of the EAC CET Heading 85.44 which provides for;

"Insulated (including enamelled or anodised) wire, cable (including co-axial cable) and other insulated electric conductors, whether or not fitted with connectors, optical fibre cables, made up of individually sheathed fibres,

whether or not assembled with electric conductors or fitted with connectors"

8544.42 – Fitted with connectors"

The Appellant further argued that heading 85.36 adequately and sufficiently provides for the extension sockets it imported whereas the Respondent's preferred tariff code barely captures the nature and attributes of the product. Lastly, that the Respondent created legitimate expectation when its customs officers at the point of clearance verified the containers, examined the imports, sighted the extension sockets imported by the Appellant and established that the declared tariff code 8536.69.00 was correct

The Respondent on its part argued that GIR 1, which gives the most specific description works on the analysis of what the product is for. In this case, the extension cable/socket herein have a connector of 3m or 5m which would categorize it under Chapter 85. And specifically under Tariff heading 8544, subheading EACCET 8544.42.00 attracting import duty at the rate of 25% prior to 1st July 2020 and 35% after 1st July 2020 respectively.

Heading 8536 deals with switches, fuses and sockets and that there is nowhere in the said heading or explanatory notes providing for extension cables. Further that explanatory notes to chapter 8536 provides for an express exclusion of sockets or plugs with an extension of a wire as follows;

"Plugs and sockets etc. assembled with a length of wire are excluded (heading 85.44).

On the issue of legitimate expectation, the Respondent argued that it can only arise within the confines of the law and that in this case, no expression was ever made by the Respondent to the Appellant.

Issues for determination

1. Whether the Respondent erred in classifying the extension sockets under HS code 8544.42.00 of EAC CET.
2. Whether the Respondent had created legitimate expectation while handling the Appellant's imports.

Decision/Learning Points

i. It was not disputed that what was imported were extension sockets. The Respondent's witness confirmed that although she did not sample the product, the description in the import documents described the product as extension sockets, which were different of varying length of 3 meters, 5 meters and 10 meters with plug- in pots for 4 way, 5 way and 6 way, respectively. This information was not controverted by the Appellant.

ii. The Explanatory Notes to Tariff heading 8544 states that "wire cables etc. remain classifiable in this heading if cut to length or fitted with connectors (e.g. plugs, sockets, lugs, jacks, sleeves or terminals at one or both ends).

iii. A scrutiny of the wording of the Chapter Headings and according to Rule 3(a) the product tend to fit more under HS Code 8544 than 8536. Further, as per Rule 3 where goods seem to fit in more than one Heading and the essential character cannot be determined, such goods should be classified under the Heading which occurs last in numerical order. In this case the last heading in numerical order is 8544.

iv. The Respondent did not therefore err in classifying the extension cables/sockets under HS Code 8544

v. The principle of legitimate expectation would arise when a body by representation or by past practice has aroused an expectation that is within its power to fulfil. For an expectation to be legitimate, it must be founded upon a promise or practice by a public authority that is expected to fulfil the expectation.

vi. The Appellant only referred to one importation where goods were cleared and the PCA done immediately after. The Appellant failed to demonstrate how the Respondent by its previous action and practice has caused the Appellant to believe that the Respondent would be going against its usual practice. The Respondent did not therefore create a legitimate expectation as alleged by the Appellant.

Appeal dismissed.

MAHOMA UGANDA LIMITED VERSUS UGANDA REVENUE AUTHORITY, TAT APPLICATION NO. 123 OF 2019

(Subject matter: Customs -Classification of valves unit control system, auxiliary system, cables and other parts under the EAC Common External Tariff HS Code)

Brief Facts

The Applicant is a limited liability company engaged in the business of hydro power generation. The Respondent conducted a review of the Applicant's declarations on the ASYCUDA World System and reviewed the Applicant's Invoice No. 950002376, the customs entry documents under Entry No. C39600. The Applicant and Respondent disagreed on the classification of several items listed below.

Valves were classified by the Applicant as parts of hydraulic turbines of sub-heading 8410.90.00, attracting an import duty rate of 0% but the Respondent contended they were supposed to be classified under sub-heading 8481.80.00 with an import rate of 10%.

The Unit control system, auxiliary system, switch gear and Scada were classified by the Applicant as parts of hydraulic turbines of subheading 8410.90.00, attracting an import duty rate of 0% but the Respondent contended that they were supposed to be classified under sub-heading 8537.10.00, with an import rate of 10%

Cables and parts were classified by the Applicant as parts of hydraulic turbines of sub-heading 8410.90.00, attracting an import duty of 0% but the Respondent contended that they were supposed to be classified under sub-heading 8544.20.00 with an import duty of 25%.

The Respondent re-assessed the entries and issued an additional assessment of UGX 76,054,160. The Applicant objected and the Respondent issued an objection decision disallowing the objection.

Issues for determination:

1. Whether the Applicant is liable to pay the tax of UGX 76,054,160 assessed?
2. What remedies are available to the parties?

Decision/Learning Points

i. The Applicant contended that it classified the valves, unit control system, auxiliary system, cables and other parts under the EAC Common External Tariff HS Code 8419.90.00 attracting a rate of 0% because they were designed exclusively for a specific turbine or hydroelectric plant.

ii. The World Customs Organisation developed international standards to assist revenue collections of members and to guide their customs administrations.

iii. Uganda is a member of the World Customs Organisation which developed the International

Convention on the Harmonised Commodity Description and Coding System to facilitate trade and information exchange by harmonising the description, classification and coding of goods in international trade.

iv. Uganda uses the Harmonized System as provided for under the East African Customs Union. Article 12(4) of the Protocol on the Establishment of the East African Customs Union provides that the Partner States shall use the Harmonized Customs Commodity Description and Coding System, specified in Annex1 of the Protocol, that is the East African Community Common External Tariff (EAC-CET).

The Valves

v. A turbine is defined by Cambridge's Advanced Learner's Dictionary 4th Edition p. 1691 as "a type of machine through which liquid or gas flows and turns a special wheel with blades in or to produce power".

vi. Heading 84.10 which forms of the chapter provides for Hydraulic turbines, water wheels, and regulators thereof.

vii. Heading 84.81 which also forms part of Chapter 84 provides for "Taps, cocks, valves and similar appliances for pipes, boiler, shells tanks, vats or the like including pressure reducing valves and thermostically controlled valves".

viii. The import documents, the commercial invoice on page 8 of the Applicant's Trial Bundle shows that it imported valves.

ix. The EAC Common External Tariff specifically provides for valves. Where an item is specifically provided for, the Tribunal cannot ignore the provision.

x. The valves imported by the Applicant form part of the hydro power generating plant but not part of the turbine. The valves should be classified under the proper HSC 8481 which shows that they attract import duty of 10%. The Respondent was justified to reclassify the valves.

<u>The Unit Control System, Auxiliary System, Switch Gear, and Scada</u>

xi. The Commercial Invoice Exhibit AE1 shows that the Applicant imported a unit control system, auxiliary systems and Scada which were classified under HSC 8537.10.10 on the invoice.

xii. If the commercial invoices show that the Applicant should have classified the goods under HSC 8537.10.10, the Tribunal cannot dispute it because the exporter knew what it exported.

xiii. Therefore, the Respondent was justified to reclassify the said items.

<u>Cables and other parts</u>

xiv. The Commercial Invoice Exhibit AEX1 shows that the Applicant imported cables and other parts. In the Commercial Invoice, the said cables were classified under HSC 8544.49.95.

xv. If the exporter and/or manufacturer has classified them under the said HSC, the Tribunal does not see why it should dispute the said information.

xvi. If the invoices availed by the Applicant as importer led the Respondent to believe the said items fell under the declared HSC, why would the Applicant deny their truth?

xvii. The said items are not turbines or parts of turbines. They may be used in the hydro power plant for electrical purposes.

xviii. HSC 8544.20.00 mentions co-axial cable and other co-axial electric conductors which attract a duty rate of 25%. The Respondent was justified to reclassify the items.

The Tribunal found that all the items in dispute were not part of the turbine and had been properly reclassified by the Respondent. The Application was dismissed with costs to the Respondent.

MUNOBE SAMUEL VERSUS THE COMMISSIONER CUSTOMS UGANDA REVENUE AUTHORITY & ANOR, SUPREME COURT CIVIL APPEAL NO. 12 OF 2022

(Subject matter: Customs- Vandalism of a motor vehicle in Custody of URA)

Brief Facts

This was an appeal against a decision of the Court of Appeal where it was held that Uganda Revenue Authority was not responsible for the vandalism of the Appellant's (Mr. Munobe Samuel) motor vehicles. The Appellant imported (6) motor vehicles in a consignment that was involved in an accident that damaged the motor vehicles. The Appellant wrote to the Respondent (Uganda Revenue Authority) requesting for re-verification and valuation and release of the vehicles as a result of the above damage. The Respondent applied a depreciation method to value the Appellant's damaged vehicles.

The Appellant objected to the Respondent's assessed values and challenged the depreciation method in the Chief Magistrates Court at Nakawa. Subsequently, by Consent Decree, URA agreed to consider the extent of damage of the vehicles in assessing the Appellant to taxes. The vehicles were subsequently moved to the URA's NIP warehouse at Nakawa following issuance of a release order.

The Respondent then released the vehicles and paid to the Appellant general damages, demurrage and costs. After the release of the vehicles, the Appellant alleged that the vehicles had been vandalized by the Respondent while they were in custody of the Respondent, hence the filing of Civil Suit No. 66 of 2011 for negligence at the High Court.

Grounds of Appeal:

1. That the Learned Justices of Appeal erred in law when they held that the vandalism to the Appellant's six motor vehicles, if any, on the evidence, cannot be attributed to the Respondent directly;
2. That the Learned Justices of Appeal erred in law when they found no basis for the Appellant's argument that the Respondent was in custody and control of the vehicles;
3. That the Learned Justices of Appeal erred in law when they held that the Respondent owed the Appellant no duty of care;
4. That the Learned Justices of Appeal erred in law when they failed to properly evaluate and consider the evidence on record as a whole and as such arrived at a wrong decision.

Decision/Learning Points

i. The entire case rested on whether the Respondent had a duty of care for goods that were in the custody of a licensed Internal Container Depot (ICD).

ii. Court had to determine where, in accordance with Section 16 and 17 of the East African

Community Customs Management Act, URA could be held liable for negligence.

iii. From the facts at hand, the vehicles were received at the Respondent's warehouse on 29th September, 2010 when they were already in a deplorable state, according to an inspection report on the record.

iv. Secondly, there was a consent decree dated 10th December, 2010 wherein the Appellant used a list of missing parts generated by Kenfreight (U) Limited to challenge the method of assessment of tax by URA to prove that the vehicles had been damaged and that he ought to have paid less taxes for the imported vehicles.

v. This was evidence that the motor vehicles had been vandalized before being handed over to the Respondent's premises. There is also no evidence on the record showing that the vehicles were vandalized after they were moved to the Respondent's warehouse.

vi. On the issue of negligence of the Respondent's officers, a reading of Section 16 of the East African Community Customs Management Act, shows that URA's officers have the right to examine goods under customs control but also forbids anyone from interfering with such goods except with the authority of the Commissioner.

vii. Any person who interferes with goods without authority of the Commissioner commits an offence. Imported goods can only be released upon obtaining the written authority of the Commissioner.

viii. No body other than a warehouse keeper or an ICD owner can have access to an ICD except with authority of the Responsible officer. Goods entered for storage subject to customs control can be accessed and examined but cannot be taken away.

ix. As a result, any loss or damage to the goods cannot be based on presumptions of law relating to a concept of goods subject to customs control but the fact of loss due to neglect of URA's officers has to be proved.

x. It has to be proved that the loss or damage was occasioned by the willful neglect of the Commissioner General and it has to be pleaded and proved to the satisfaction of Court.

xi. There is no presumption of law that placing goods under the customs control makes the Commissioner the person in charge of their care and security. In fact, warehouse or ICD keepers are licensed to keep the goods safe and not to release them without the requisite authority of the responsible officer of URA.

xii. The Commissioner may, on application of Sections 62 and 14, license any place as a warehouse for deposit of goods liable to import duty and such a place is under the physical control of a licensed warehouse keeper.

xiii. A warehouse keeper who takes, substitutes, causes or permits any goods in bonded warehouse to be taken or substituted commits an offence and is liable to pay a fine of 25% of the dutiable value of the goods substituted or taken.

xiv. This proves that the goods are under the care of the warehouse keeper or the ICD owner licensed to take care of imported goods under customs control and is liable to the owner of goods if the goods get lost or damaged under his or her care.

xv. The Court of Appeal and trial Judge were therefore correct to hold that the goods were damaged before they were brought into the custody of the Respondent (URA) and this leads to the conclusion that the officers of URA were neither negligent nor did they act willfully leading to the loss or damage of the Respondent's goods.

The Supreme Court found that the Appeal has no merit and dismissed it with costs to the Respondent.

PROFILE INTERNATIONAL KENYA LIMITED VS. COMMISSIONER FOR CUSTOMS & BORDER CONTROL: [2024] KETAT 268

(Subject Matter: Valuation of goods under EACCMA)

Brief Facts

The Respondent conducted a Post Clearance Audit (PCA) for the goods (Vision Plus Television sets) imported by the Appellant between 2018 and 2020, issued its findings to the Appellant through an additional assessment of Kshs. 46,561,229.46 dated 3rd June 2022, and consequently issued a demand notice of Kshs. 72,428,405.95 inclusive of interest through a letter dated 28th June, 2022. The Appellant applied for a review on 15th July 2022, where after the Respondent issued its review decision on 12th August 2022 confirming taxes of Kshs. 72,428,405.95 inclusive of interest.

The Appellant, appealed the Respondent's decision arguing that the Respondent did not list the price it used per item to determine the value of the goods or specify what comparative brands or units that were used to arrive at its preferred purchase price. The Appellant further argued that the Respondent could not have any other comparative price used other than the price it purchased since it is the only licensed importer of VISION PLUS television sets in the country as supported by the import license from Kryptonite limited who is the registered trademarks owner.

The Appellant further stated that it is the largest importer of Tier three (3) television sets in the Country, and therefore gets preferential pricing from the manufacturer based on the volumes it imports into the Country. That the said Television sets is a tier 3 and has a lower market price than the more established brands of television sets, and as such, protested the Respondent's use of a pricing module for Tier 1 television sets as a benchmark which cannot be termed as "similar" goods with Tier 3 as the two are different both in quality wise and pricewise. The Appellant further claimed that the consignments that were uplifted accounted for less than 5% of all consignments it imported into the Country, hence the Respondent's uplift of all the Appellant's consignment was malicious.

The Respondent on its part argued that it is empowered under Sections 235 and 236 of EACCMA to conduct inspection or audit as a measure to satisfy itself as to the accuracy and authenticity of declarations through examination of relevant records held by persons concerned.

That it received a market survey and information profile highlighting a possible undervaluation of television sets imported by the Appellant. That several of the Appellant's consignments were flagged for under valuation was an indication that there was a risk of under valuation. Further the Appellant was given a chance to provide documents to allow the use of the transaction value method as declared, however it failed to avail all the documents despite reminders to that effect.

The Respondent is empowered to demand additional assessment under section 135 of EACCMA where a PCA audit reveals taxes are short levied.

That the WTO Customs Valuation Agreement at Text 1.2 of Article 17 affirms that the transaction value is the primary basis of valuation but recommends that as a first step, Customs should ask the importer to provide further explanations that the declared value actually represents the Transaction value. The Appellant failed to support its declared transaction value with further documentary evidence.

Issues for determination

1. Whether the Respondent applied the correct valuation methodology with respect to the goods imported**.**

Decision/Learning points

i. The Appellant's argument that it is the only licensed importer of VISION PLUS television sets in the Country was supported by the import licensed from Kryptonite who is the registered trade mark owner, hence the Respondent cannot have another comparative price to use other than the price it purchased the television sets.

ii. Determination of the value of imported goods liable to ad valorem import duty ought to be applied sequentially. In this case, the Respondent applied the third valuation method (transaction value of similar goods method) but did not provide the rationale for its choice to convince the Tribunal on the justification for its application.

iii. The Respondent stated that its Post clearance Audit was informed by a market survey it carried out on similar imports, which highlighted the Appellant's undervaluation of its imports of television sets. The said report was neither shared with the Appellant nor availed to the Tribunal to determine if indeed the prices the Respondent applied are comparable to the Appellant's goods taking into consideration the commercial levels, the quantities of the goods being valued and the period of the market survey.

iv. Consequently, the Respondent did not apply the correct valuation methodology with respect to the goods imported.

Appeal dismissed

REGAL PAINTS LIMITED VERSUS UGANDA REVENUE AUTHORITY, TAT APPLICATION NO. 10 OF 2021

(Subject matter – Customs - misclassification of imports preferential treatment for goods imported under the COMESA and EAC treaties)

Brief Facts

The Applicant imports raw materials for manufacture of decorative paints. This was an Application challenging misclassification of imports by the Applicant and the denial of preferential treatment for goods imported under the COMESA and EAC treaties. In 2020, the Respondent conducted a customs post clearance audit on the

Applicant for the period January, 2017 to December, 2019 and issued additional assessments of UGX. 3,741,720,936 against the Applicant. The additional assessments were as a result of re-classifying the following imports and/or revoking certificates of origin.

- Pigments were reclassified by the Respondent to HSCs 3214 and 3212 resulting in a tax liability of UGX 194,709,262

- An import known as 'Dr. Fixit' was re-classified by the Respondent under HSC 3214 resulting in a tax liability of UGX. 570,642,674.

- Sadolin Paint which the Applicant claimed was imported from Crown Paints Kenya Limited was disputed by the Respondent. The Respondent issued an additional assessment of UGX. 2,628,320,440.

- Alkyd resins which the Applicant claimed were manufactured and imported from within the EAC was disputed by the Respondent which issued a tax assessment of UGX. 348,048,559

Issues for Determination:

1. Whether the Applicant is liable to pay the taxes assessed?
2. What remedies are available?

Decision/Learning Points

i. Regarding classification of <u>Pigments,</u> Chapter 32 of the East African Community Common External Tariff (EACCET/ CET) deals with pigments generally while 3212.90.10 deals with pigments in particular. These attract a duty rate of 0%.

ii. The Applicant testified that it imported pigments for manufacture of paint. Therefore, the pigments most likely fall under HSC 3212.90.10. The Respondent did not adduce any evidence to show that the items were automotive paints and not pigments used in the manufacture of paints.

iii. Under the CET, pigments appear in different headings and subheadings where they attract different duty rates. In some cases, they attract duty rate of 0% while in others 25%. Maybe the pigments imported by Crown Paints Kenya Limited into Kenya attracted 25% while those imported by the Applicant into Uganda attracted 0%.

iv. Since there were different headings affecting pigments, some giving different rates, in order to ascertain under which headings, the Applicant's imports actually fell, there was need to take them to a laboratory to analyze them so as to ascertain which pigments, they actually were.

v. As regard to <u>strainers</u>, goods originating from partner states shall be accorded community tariff treatment in accordance with the Rules of Origin provided under the Protocol.

vi. Goods shall be accepted as eligible for community tariff treatment if they originate in partner states and meet the criteria set out in the Rules of Origin. Under COMESA, goods qualify for preferential tariff treatment if they originate from member states.

vii. The Applicant had certificates of origin to show that the goods originated from the EAC. The Respondent did not seek verification from a competent authority and therefore was wrong not to consider the certificates of origin as declared at import. Therefore, the tax of UGX. 194,709,262 was wrongly assessed.

viii. Regarding classification of <u>Dr. Fixit</u>, the Applicant classified Dr. Fixit under HSC 3824.40.00 which relates to prepared additives for cement.

ix. A perusal of the certificates of analysis and samples that were provided as exhibits, indicates that Dr. Fixit does not qualify to fall under HSC 3823.40. It may make concrete more cohesive but it is not concrete nor cement or motor.

x. Since there is no evidence rebutting the reclassification by the Respondent, the Tribunal finds that Respondent rightfully reclassified Dr. Fixit under HSC 3214.10.00 attracting a rate of 25% which led to a tax liability of UGX. 570,642,674.

xi. Where information that was relied on to give a classification ruling changes, the Respondent is entitled to change its classification rulings and therefore, no legitimate expectation is created on the basis of the first classification ruling.

xii. Regarding classification of Sadolin Paints, the Applicant testified that Akzo Nobel was imported and the import documents and the certificate of origin show that the imports were from Kenya. The Respondent ought to have looked at the certificate of origin as to the origin of the imports and not agreements.

xiii. Section 111 of the EACCMA clearly provides that goods originating from partner states shall be accorded Community tariff treatment in accordance with the Rules of Origin.

xiv. A competent authority of a partner state can issue a certificate of origin to the exporter where it is satisfied with the application and originating status.

xv. A Certificate of Origin is an official document required by some countries upon the entry of imported goods, listing the places of production and what goods are included, certified by a customs officer.

xvi. For one to be accorded preferential treatment, goods must originate from the partner states and treatment shall be in accordance with the Rules of Origin provided under the Protocol.

xvii. Goods are considered to originate in the Partner States where they meet the criteria set out in the Rules of Origin. Where there is doubt, a party can seek clarification within three months of the request.

xviii. If the Respondent doubted whether Sadolin Paint originated from Kenya, it should have sought clarification from the competent authority (Kenya Revenue Authority) in absence of which the Respondent has no basis to ignore the certificates of origin.

xix. There is no evidence that the certificates of origin used by the Applicant to import paint were queried by the Respondent and no evidence that the customs authorities of the exporting Partner States were informed. As a result, the assessment of UGX. 2,628,320,440 was set aside.

xx. As regard to <u>Alkyd Resins</u>**,** re-exportation shall be allowed if originating goods were not under customs control and do not undergo any operations except those meant to preserve goods.

xxi. There was no evidence adduced by the Respondent to indicate that the imports left their storage facility in Kenya and were thus outside customs control.

xxii. Housing alkyd resins with other goods in one storage may not mean that the goods were not subjected to customs control. Customs may still control the items that are in bonded warehouses.

xxiii. The alkyd resins had Certificates of Origin entitling them to preferential treatment. There is no evidence that the imports of alkyd resins were not subjected to customs control. As a result, the assessment of UGX. 348,048,559 was set aside.

xxiv. As regard to Xylenes, the taxes relating to Xylenes were agreed to at objection and paid. Since it was resolved, the Tribunal can only set aside any outstanding assessment of UGX. 9,767,616 on Xylenes.

The Applicant was ordered to pay taxes of UGX. 570,642,674 relating to Dr. Fixit. However, the assessments of UGX. 197,709,262 on pigments, UGX. 2,628,320,440 on Sadolin paint, UGX. 348,048,559 on alkyd resins, UGX. 9,767,616 on xylenes were set aside.

ROYAL MABATI LIMITED VS COMMISSIONER OF CUSTOMS & BORDER CONTROL: [2023] KETAT 937 KLR

(Subject matter: Procedure (Customs)-Section 229 (5) of EACCMA.)

Brief Facts

The Respondent carried out a post-clearance audit on the Appellant's consignment of galvanized steel sheets and flat rolled coloured coated steel for the period January 2021 to December 2022. Upon conclusion of the audit, the Respondent issued the Appellant with preliminary audit findings on the 18th January 2022 of Kshs. 5,096,718 and a subsequent demand notice dated 12th May 2022.

Upon the receipt of the said demand letter, the Appellant objected and lodged its objection on 8th June 2022 whereupon the Respondent issued its Objection decision vide a letter dated 19th August 2022.The Appellant being aggrieved by the Respondent's decision Appealed.

The Appellant was of the view that the Respondent's review decision was time-barred contrary to Section 229(5) of the East African Community Customs Management Act (EACCMA) which dictates that a review decision should be issued within 30 days of receipt of a taxpayers review application.

The Appellant further argued that its decision to apply the transactional method on its consignment was supported by Article VII of GATT; the sale contract between it and its major suppliers regarding this transaction and the mill test certificates availed which confirmed the quality of the products imported. The Respondent had no justification to decline its application of the transaction value method. The transaction value of identical goods method is only applied if there is reasonable doubt as to the availability of documents to support the actual price paid, and that in the current case, the contracts used and invoices relied on for the purchase were the same ones used to make payment from the bank.

The Respondent's case was that it carried out a post clearance audit on the Appellant's consignment of galvanized steel sheets and flat rolled coloured coated steel for the period January 2021 to December 2022. It noted that the declared unit values of FOB at was 0.6 per kg lower compared to the other importers, importing similar products, cleared over the same period from the same Country of origin who had declared the same at 0.82 per kg.

The Respondent therefore noted instances of undervaluation of galvanized steel sheet and flat rolled coloured coated steel coils that resulted in a short-levy of taxes amounting to Kshs. 5,096.718.00. That section 122(1) read together with Paragraph 3 of the Fourth Schedule of the EACCMA, 2004 allows the Respondent to use the transaction value of identical goods method if the customs value of the imported goods cannot be determined under the provisions of Paragraph 2. That it considered the commercial levels, quantities and time of importation of the steel. The Respondent revalued several importations with the lowest declared FOB value where the evidence demonstrated that preceding and subsequent consignments were imported at the same time from the same Country of origin and consequently uplifted the consignment to match those identical goods of the same description.

The Respondent issued the Appellant with preliminary audit Findings on the 18th January 2022 of Kshs. 5,096,718.00, which culminated in its review decision of 19th August 2022.

Issues for determination

1. Whether the Respondent's Review Decision dated 19th August 2022 was valid.

2. Whether the Respondent erred in confirming the Appellant's Additional Assessment vide its Review Decision dated 19th August 2022.

Decision/Learning points

i. A plain reading of Sections 229(4) and (5) of EACCMA shows that the Commissioner is required to communicate its review decision within 30 days from the date of receipt of the review application. That time would however restart if the Commissioner requests further information, which it requires to help it issue the review decision.

ii. The review decision was issued about 72 days from the date of the initial review application, and about 35 days after the reminder of the review application was lodged.

iii. Whichever way one looks at it, the said review decision was issued outside the mandatory 30 days that is prescribed in Section 229(4) and (5) of the EACCMA, 2004. The Respondent was thus in law presumed to have accepted the Appellant"s application for review.

iv. While the Respondent argued that a meeting was held on 26th July 2022 wherein the Appellant was requested to provide documents to support its review application, nothing was tabled before the Tribunal to prove the existence of this meeting and oir any communication arising from that meeting.

v. The invalidation of the Respondent's review decision has rendered the second issue that fell for determination moot.

Appeal allowed.

RWENZORI BOTTLING COMPANY LIMITED VERSUS UGANDA REVENUE AUTHORITY, TAT APPLICATION NO. 20 OF 2021

(Subject Matter – Customs - under-declaration of the values for importation of wines and spirits)

Brief Facts

The Applicant is a company dealing in the manufacture and sale of bottled water under the Rwenzori brand. The Respondent conducted a customs post clearance audit against the Applicant for the period January 2016 to June 2018 and assessed additional customs duty of UGX. 732,372,537 on grounds of under-declaration of the values for importation of wines and spirits.

The Applicant objected and the objection was disallowed, hence this application to the Tax Appeals Tribunal.

Issues for Determination:

1. Whether the Application is time barred;
2. Whether the Applicant is liable to pay the additional taxes assessed;
3. Whether the Applicant is properly before the tribunal.
4. What remedy is available?

Decision/Learning Points

i. Final audit findings should be communicated through a management letter as per the EAC Customs Post Clearance Audit Manual.

ii. After an audit, the Respondent is required to issue a management letter and a demand note/assessment to a taxpayer

iii. In absence of a management letter, it is difficult to tell when the time for an appeal to the Tribunal begins to run.

iv. Related parties under the EACCMA include associates with persons in business, sole agents, distributors or sole concessionaire.

v. The fact that parties are related does not stop the Respondent from using the transaction method. Section 122 states that a buyer and seller may be related but the transaction value is acceptable for custom purposes.

vi. The circumstances around the sale should be examined to see if they influenced the price.

vii. It is also important to know whether the purchasers were whole sellers or retailers, in order to determine whether the goods prices were influenced by a relationship between the parties.

viii. There is need to prove that the relationship influenced the prices of the imports.

ix. In absence of such proof, the Tribunal cannot establish whether there was such a relationship or whether it influenced the prices.

x. In the circumstances, the valuation method used by the Respondent to determine the tax assessed was unwarranted and the Applicant was not liable to pay the additional tax assessed.

The Application was allowed with costs to the Applicant

RWIMI EP CO. LTD VERSUS UGANDA REVENUE AUTHORITY, TAT APPLICATION NO. 132 OF 2022

(Subject Matter – Customs - re-classification of the valves under the HSC)

Brief Facts

The Applicant, a company engaged in hydro power generation, purchased a hydraulic turbine from Kolektor Turboinstitut D.O.O of Solvenia for purposes of generating electricity in Uganda. In March 2022, the Respondent conducted an audit of the Applicant's imports which culminated into a re-classification of valves from HS Code 8410.90.00, with a 0% rate of tax, to HS Code 8481.80.00 with a 10% rate, thus resulting into import duty of UGX. 105,491,720.

The Applicant objected to the assessment on grounds that the relief valves are an integral part of the hydraulic turbine and the Respondent maintained that the valves should be classified under HSC 8481.80.

Issues for determination:

1. Whether the Respondent's re-classification of the valves from HSC 8410.90 to 8481.80 was lawful?
2. Whether the Applicant is liable to pay import duty of UGX. 105,491,720 assessed?
3. What remedies are available?

Decision/Learning Points

i. The dispute between the parties revolves around the classification of relief valves and whether they form part of the turbine?

ii. The East African Community Common External Tariff (EAC-CET) is used to determine the import duty payable on goods that originate from outside the East African Community.

iii. HSC 84.10 which was relied on by the Applicant provides for hydraulic turbines, water wheels, and regulators. HSC 84.81 relied on by the Respondent provides for taps, cocks, valves and similar appliances for pipes, boiler, shell tanks, vats or the like, including pressure reducing valves and thermostatically controlled valves.

iv. The Applicant imported different packages which it asserted were too big to be imported at once, and as such, the said turbine and valves were imported in disassembled state.

v. We have to ascertain whether valves and a turbine were two different goods or if the valve was a composite part of the turbine.

vi. At times, when classifying items, their functions may not be useful where the subheading is clear. The fact that the valves reduce the pressure of a turbine does not itself mean that they are part of the latter for purposes of classification.

vii. The valves were itemized separately in the packing list; and they were also priced differently from the other items. In most cases, where an item is a composite part of a good, the seller would not charge the parts differently as their prices are included in those goods they are part of.

viii. The locus visit showed that the valves were not in the turbine. They were outside the turbine, further buttressing the argument that they were not in a disassembled state.

ix. The function of the turbine is to convert kinetic and or potential energy of water into mechanical energy as stated in the instruction manual. The reading of the functional description or what a turbine consists of does not included a pressure valve.

x. Therefore, one would not be wrong to conclude that the valves were not composite or disassembled parts of the turbines but are fixed in the pipeline system to regulate pressure. Though the valves were part of the electricity generating project, they were not part of the turbines.

xi. Where the East African Community Common External Tariff (EACCET) provides specifically for valves, the Tribunal would be reluctant to consider them as turbine.

xii. The Applicant submitted that the Respondent failed to use the transaction value method. This issue was not part of the objection decision nor was it part of the scheduling or issues agreed upon before the Tribunal.

xiii. The Respondent has to be given a chance or right to be heard so as to explain why it did not use the transactional value. The said submission fell outside the ambit of the dispute.

xiv. Without prejudice to the foregoing, the commercial invoices do not indicate the actual price for the turbine and the accessories separately. No receipts were tendered in as exhibits to ascertain the price of the valves.

xv. If the transaction value of the valves cannot be determined from the importation documents, the Respondent was well within the law when it applied the value of similar valves as imported by other companies with turbines for purposes of generation of electricity.

The Application was dismissed with costs and the Applicant was ordered to pay import duty of UGX. 105,491,720.

SCANDINAVIAN SOLAR SYSTEMS LTD VS COMMISSIONER OF CUSTOMS & BOARDER CONTROL: NAIROBI TAX APPEALS NUMBER 249 OF 2021

(Subject matter-Customs-classification of solar water heaters incorporating electrical heating under the East African Community HS Code. Interpretation of EAC HS Code tariff 8419.19.00 vis a vis EAC HS Code tariff 8516.10.00)

Brief Facts

The Respondent averred that its Post Clearance Audit department on 29th December 2020, received intelligence profile from the Business Intelligence Unit. The basis of the profile was misdeclaration of solar water heaters incorporating electrical heating elements in tariff 8419.19.00 instead of 8516.10.00. Prior to receiving the intelligence information, there was a Departmental Technical Committee's ruling dated 2nd- November 2020 that classified solar water heaters in tariff 8516.10.00.

The Respondent carried out a Post clearance audit on the Appellant activities and issued its preliminary audit findings to the Appellant. The Post clearance audit findings detailed that the Appellant had wrongly classified its solar water heaters between January 2016 and December 2020.

That the finding was that the solar water heaters imported by the Appellant contained a heating element and were therefore supposed to be classified under EAC HS Code 8516.10.00 as opposed to EAC HS Code 8419.19.00. The letter asked the Appellant to give an explanation on why extra taxes amounting to Kshs. 10,602,379.00 should not be demanded.

The Appellant respondent to the Preliminary audit findings on 18th February 2021 acknowledging the findings and requesting for information from the Respondent as entitled under section 4(3) of the Fair Administrative Actions Act. The Respondent subsequently issued its demand notice for customs duty amounting to Kshs. 10, 602,379.00 to the Appellant. The Appellant objected to the demand raising various issues namely:- (a) the Respondent's demand notice of 16th March 2021 neither addressed any of the Appellant's concerns raised in its letter of 18th February 2021, nor provide any documents or information on the criteria applied to arrive at the Respondent's decision; (b) the Respondent had misinterpreted the EAC Common External Tariff 2017 by reclassifying the Appellant's solar water heaters on the grounds that they contain a heating element and levied additional taxes on the under EAC External tariff 2017. That EAC HS Code 8419.19.00 is applicable for solar water heaters without a heating element and HS Code 8516.16.00 deals with electric instantaneous water heaters with a heating element; (c) a true application of the World Customs Organization (WCO), General Rules for the

Interpretation of The Harmonized System, specifically Rule 3(b) clearly shows that the solar water heaters in question should have been classified based on the component that gives them character, which in this instance, the solar water heaters are given character by the collectors, which account for 80% of the functionality of the system. (d) the Respondent had misapplied the World Customs Organisation (WCO) general rules for the interpretation of the Harmonised system, specifically the rules for classification of composited goods. That in the case of the Appellant's solar water heaters, it is clear that the electric component is not a significant part of the system and further, the bulk and weight of the system is the collectors and heat exchange tank. That the Appellant demonstrated that the backup heater plays a very incidental role in the functioning of the system. That in any event, the system would still function without the electric component signalling that the role is not primary to the functioning of the system.

The Respondent issued its review decision to the Appellant's application vide its letter dated 29th April 2021 dismissing the same. The Respondent was of the view that the Appellant had misdeclared solar water heaters incorporating electrical heating elements in EAC HS Code 8419.19.00 instead of EAC HS Code 8516.10.00. The Respondent was of the view that according to the EAC CET and WCO Explanatory Notes solar water heating systems that rely solely on solar energy are classified under tariff code 8419.19.00 whereas dual water heating systems are classified under tariff code 8516.10.00. The Appellant's products have an electric component and are therefore considered dual water heating systems. That the item in question is a solar heater used to heat domestic water that is mounted on a roof or grid. Its main energy source is solar energy. That however, electricity is secondary and supplies power when the solar function has failed. Consequently, the Respondent confirmed its demand notice plus penalties and additional accrued interest of Kshs. 11,621,711.00

The Appellant on the other hand opined that the solar water heaters in question were correctly classifiable under heading 84.19 as is the practice worldwide. The Appellant Submitted that HS code 8516.10.00 is not applicable to solar water heaters as the same cover instantaneous electric water heaters; and not solar water heaters incorporating a backup heating element. That by purporting to classify solar water heaters with an electric back up element under this heading, the Respondent is purporting to enlarge the scope of HS code 8516.10.00 which offends the requirements of Rule 3(b) of the GIR which offers clarity where a heading does not provide clarity regarding the classification of a product.

Issues

Whether the Respondent erred in law and in fact in reclassifying the Appellant's water heaters from tariff code 8419.19.00 to tariff code 85.16.10.00.

Decision/Learning Point

i. In all the consignments the Appellant imported, over the period of more than five years as averred by the Appellant, the Respondent's officers always verified the accuracy of the entries and the rate applied, the duty payable, and even inspected the physical consignments, before clearance and release of the consignments to the Appellant. Therefore, having verified the entries in issue, rate applied, assessed duty payable, approved the entry as correct, collected the duty and released the Appellant's consignments, the Tribunal found that there was a legitimate expectation in favour of the Appellant that the HS Tariff code used over the years was the correct one.

ii. Failure by the Respondent to raise classification issues led to the Appellant pricing its solar water heaters without factoring any additional taxes and this estops the Respondent from reneging on its promise.

iii. While the Respondent has the powers to carry out its mandate, this should not be applied retrospectively. The Ruling of the Technical Committee to classify solar water heaters from tariff code 8419.19.00 to 8516.10.00 should not have been applied retrospectively and should only have applied to solar water heaters imported into Kenya after the date of the ruling.

iv. The reclassification of solar water heaters by the Respondent infringed on the Appellant's right to legitimate expectation.

v. The General Interpretation Rules (GIR 1) under the EAC Common External Tariff 2017 provides that classification shall be determined according to the terms of the headings and any relative Section or Chapter Notes. The Tribunal noted that since the heading is clear on the treatment of the solar water heaters, there is no need to consider the chapter notes or what other sections provide. This is because the heading takes priority and reference to chapter notes or other sections should only be made when the heading lacks clarity on the classification of the item in question.

vi. The electric heating element is not a significant part of the system as the bulk of the water heating system is made of the collectors and heat exchange tank.

vii. According to Rule 1, what one sees when they look at the product in dispute is a solar water heater as opposed to a water heater, boiler, geyser or hot water tank. The electric heating element is an accessory to the solar water heater. The HS tariff classification codes are internationally used to facilitate global trade. The WCO in 2022 Nomenclature, introduced tariff 8419.12.00 to specifically provide for solar water heaters. The East

African Common External Tariff structure that came into force on 1st July 2022 also classified solar water heaters under HS Code 8419.12.00. This is an indication that the WCO and its member states intend that solar water heaters be classified under chapter 84 thereby reinforcing the Explanatory Notes under chapter 8516 (5) that solar water heaters should be classified under chapter 8419.

viii. The Tribunal noted that the East African Solar Taxation Handbook at page 38 describes Solar water heaters as:- "Machinery, plant for conversion of sunlight into heat for water heating using a solar thermic collector." That the handbook indicates that the HS Code used for solar water heaters in the East African Countries is 8419.19.00.

ix. The Tribunal further noted that the Respondent did not offer a satisfactory justification for departure from the Code that it has used over the years and that it continues to be used by other countries in the East African Customs union.

x. Consequently, the Tribunal found that the Respondent erred in law and in fact in reclassifying the Appellant's water heaters from Tariff Code 8419.19.00 to Tariff code 8516.10.00.

xi. The Correct Tariff code for solar water heaters with or without an electric heating element for the period January 2016 to December 2020 was HS Code 8419.19.00.

xii. The Tribunal consequently allowed the Appellant's appeal and set aside the Respondent's objection review dated 29th April 2021.

Appeal allowed.

THE COMMISSIONER CUSTOMS, UGANDA REVENUE AUTHORITY VERSUS TESTIMONY MOTORS LIMITED, COURT OF APPEAL CIVIL APPEAL NO. 33 OF 2014.

(Subject matter- Customs – use of Transaction Value Method.)

Brief Facts

Uganda Revenue Authority issued a directive to the effect that all second-hand motor vehicles imported into Uganda for customs purposes shall be appraised using the Alternative Valuation Method instead of the Transaction Value Method. Testimony Motors Limited, the Respondent herein, had imported a used motor vehicle into Uganda in the year 2010 with a declared value of USD 5200 and a tax of USD 3588. The declared value was rejected by URA which appraised the value of the vehicle at UGX. 19,558,879. The Respondent sued URA claiming that the action of suspending the operation of the law on customs valuation methods was unlawful.

The Respondent claimed that it was thus entitled to a revaluation of customs duty payable on its car. URA's Defence was that the decision was prompted by challenges faced in valuation of used vehicles, such as, false documents, among others.

The High Court delivered its judgment holding that the decision of the Uganda Revenue Authority to appraise all second-hand motor vehicles imported into Uganda for customs purposes, using the alternative valuation methods other than the transaction value method, was unlawful. The Appellant was aggrieved, hence this appeal.

Issues for Determination:

1. Whether the Learned Trial Judge erred in law when he held that the suspension by the Appellant, of the operation of transaction value method of customs valuation in every case of imported used motor vehicle, is unlawful?
2. Whether the Learned Trial Judge erred in law by holding that the Respondent was entitled to reassessment of customs duty on its imported motor vehicle, thus ordering reassessment and a refund of overpaid customs duty if any?
3. Whether the Learned Trial Judge erred in law in awarding the Respondent aggravated damages of UGX 20,000,000?

Decision/Learning Points

i. Section 122 of the EACCMA provides that where goods are liable to import duty ad valorem, the value of goods shall be determined in accordance with the Fourth Schedule and import duty has to be paid on that value.

ii. Paragraph 2(1) of the Fourth Schedule provides that customs value of import goods shall be the transaction value, which is, the price actually paid or payable for goods when sold for export to a partner state.

iii. The customs value of imported goods is primarily the Transaction Value Method.

iv. Part II of the Fourth Schedule mandates valuation based on sequential order emphasizing that the primary method has to be used first and that imported goods are to be valued in accordance with the provisions of Paragraph 2 whenever conditions therein are fulfilled.

v. Where the customs value cannot be determined under the provisions of Paragraph 2, it has to be determined by proceeding sequentially using the succeeding paragraphs.

vi. It is only when the customs value cannot be determined under the provisions of a particular paragraph that the provisions of the paragraph next in sequence can be used.

vii. Where URA had decided not to use the Transaction Value Method as they did, they would have opted for the next method which was transaction value of identical goods as provided in the Act till the 8th paragraph which was the Fall Back Value Method.

viii. The directive of URA only provided for 'using alternative methods of valuation until further notice'. The alternative methods were not specified, hence there was no basis for the URA's officials to suggest that the alternative methods were the Fall Back Method. There was no justification for URA deciding to use the Fall-Back Method yet the Act is specific on the procedure in case the Transaction Value Method is not used.

ix. Section 253 of the EACCMA provides that the Act takes precedence over the Partner States laws with respect to any matter to which its provisions relate.

x. It was therefore mandatory to apply the EACCMA in relation to customs matters as opposed to other decisions of court and opinions of committees.

xi. The Commissioner had no powers under Section 122(1) of the EACCMA to exclude the Transaction Value method and therefore, the acts of the Commissioner Customs were unlawful.

xii. URA's acts in this case were not accompanied by malice and the trial judge erred in awarding aggravated damages to the Respondent. The award of aggravated damages of UGX. 20,000,000 was set aside. The costs, 4/5 (or 80%) of the Court of Appeal and the lower court were awarded to the Respondent.

The Appeal partly succeeded on ground 5 regarding aggravated damages, but failed on grounds 1,2, 3, and 4

VOLEX ELECTRICAL AND DECORATORS LIMITED v. COMMISSIONER GENERAL (TRA) CUSTOMS AND EXCISE APPEAL NO. 24 OF 2022

(Import duty-undervaluation- whether the Respondent's decision that the Appellant made undervaluation of import purchases is correct)

Brief Facts

In the year 2020, the Respondent conducted a post clearance Audit on the Appellant's import transactions covering years of income 2016 to 2019.

Assessed value of imports goods as per Tanzania Customs Integrated System (TANCIS) were compared against the amount of purchases posted in the audited financial statement. It was revealed that the value of the transactions recorded in the Financial statement for the year 2019 were higher than the value declared and assessed by Customs. The Respondent treated the difference as undervaluation thus demanded payment of duties and taxes. The Appellant lodged an application for review in accordance with section 229(1) of the East African Community. The Respondent determined an application for review by maintaining her position and treating the noted discrepancy as undervaluation of imported goods. The Appellant was aggrieved by the Respondent's decision, thus lodged an appeal to the Tax Revenue Appeals Board.

Issues for determination

1. Whether the Respondent was correct in law and in fact to hold that there was undervaluation of import purchases

2. Whether the Respondent was correct to hold that there was no advance purchases by the Appellant to foreign suppliers
3. Whether the Respondent was correct to impose penalty and interest
4. To what reliefs are the parties entitled

Decision/Learning points

i. Taking into account the Appellant's accounting approach financial statement follows the accounting period. The Respondent was not justified in fact and in law to hold that there was undervaluation of import purchases

ii. There is no justification for imposition of penalty since the Appellant did not commit any irregularity in the course of clearing the goods

iii. Interest is payable if liability to tax is legally established and the same was not paid at the time it was due which is not the case in the instant case. Interest imposed is illegal.

Appeal allowed

ZIBA LIMITED VERSUS UGANDA REVENUE AUTHORITY, TAT APPLICATION NO. 121 OF 2019

(Subject matter: Customs- classification of tubes under the HS Code)

Brief Facts

The Applicant is a limited liability company incorporated in Uganda and engaged in the business of hydro power generation. The Respondent conducted a review of the Applicant's past clearances and found that it misclassified its imports. The Respondent subsequently issued an additional assessment of UGX 376,512,530 against the Applicant.

The Applicant objected and the Respondent issued an objection decision maintaining the assessment, hence this Application.

Issues for determination

1. Whether the Applicant is liable to pay the tax of UGX 376,512,530?

2. What remedies are available?

Decision/Learning Points

i. The World Customs Organisation developed international standards to assist revenue collections of members and to guide their customs administrations.

ii. Uganda is a member of the World Customs Organisation, which developed the International Convention on the Harmonised Commodity Description and Coding System to facilitate trade and information exchange by harmonising the description, classification and coding of goods in international trade.

iii. Uganda uses the Harmonized System as provided for under the East African Customs Union. Article 12(4) of the Protocol on the Establishment of the East African Customs Union provides that the Partner States shall use the Harmonized Customs Commodity Description and Coding System, specified in Annex1 of the Protocol, that is the East African Community Common External Tariff (EAC-CET).

iv. The Applicant contended that its imported valves are part of the turbine under. Heading 84.10 covers hydraulic turbines, water wheels, and regulators thereof.

v. The Applicant relied on sub heading 8410.90.00 which provides for parts including regulators with a duty rate of 0%.

vi. The Respondent contended that the correct subheading is 8481.90 which provides for Taps, cocks, valves and similar appliances for pipes, boiler, shells, tanks, vats or the like, including pressure-reducing valves and thermostatically controlled valves.

vii. The HSC dealing with valves is specific to valves and the Applicant ought to use the heading which described its imports clearly.

viii. The Applicant was not right to categorize the goods to fall under a heading of parts of a turbine yet they are clearly stated in another subheading.

ix. Pipes were classified as parts of a turbine under subheading 8410.90 instead of subheading 7306.90.

x. The right heading for the pipes is 7306.90.00 with a duty rate of 25%.

xi. Tubes were classified by the Applicant as parts of the turbine but the Respondent contended that the correct HSC is 4009.42.

xii. The Respondent was right to have classified the tubes under the said heading.

The Application was dismissed with costs to the Respondent.

COMMISSIONER OF DOMESTIC TAXES VERSUS AFRICAN BANKING CORPORATION LIMITED: [2023] KEHC 18720 (KLR)

(Subject Matter-Excise duty- Interpretation of and application of Excise Duty on various bank transactions under the Customs and Excise Act (Repealed) as amended under Part III of the Fifth Schedule by the Finance Act, 2012, the Finance Act, 2013, the Excise Duty Act, 2015 and the Finance Act, 2018; section 117(1)(d) of the Customs and Excise Act(Repealed); paragraphs 7 and 8 of Part III of the Fifth Schedule to the Customs and Excise Act(Repealed) as amended by the Finance Act 2012;paragraphs 7 and 9 of Part III of the Fifth Schedule to the Customs and Excise Act(Repealed) as amended by the Finance Act 2013. Excise Duty Act 2015.)

Brief Facts:

The Respondent is a bank licensed under the Banking Act (Chapter 488 of the Laws of Kenya). The Appellant ("the Commissioner'') conducted a review of the Respondent's records in line with the provisions of the Customs and Excise Act (Repealed) as amended under Part III of the Fifth Schedule by the Finance Act, 2012, the Finance Act, 2013, the Excise Duty Act, 2015 and the Finance Act, 2018 for the periods between January 2013 and December 2015. The Commissioner communicated its findings through its letters dated 13th October 2016 and concluded that from the financial statements, trial balances and Excise Duty returns, the Respondent had not been paying Excise Duty on all commissions, any fees or charges as defined by the Finance Act, 2013 and Excise Duty, 2015. The Commissioner computed Excise Duty variances totaling Kshs. 44,980,050.50 for the said period and thus sought an explanation from the Respondent on the findings.

The Respondent answered the Commissioner through various meetings and correspondences. Ultimately it objected to the findings by the Commissioner and after reviewing the objection, the Commissioner made its objection decision through the letter dated 13th January 2017(erroneously dated 13th January 2016) ("the Objection Decision") in which the Commissioner concluded that the Respondent's objection was not justified and that the entire outstanding principal tax amount of Kshs. 39,234,522.00 was still due and payable. The Respondent was aggrieved with the Objection Decision and lodged an appeal to the Tribunal in TAT No. 29 of 2017. The Commissioner then conducted a further audit of the Respondent's financial affairs for the years 2016,2017 upto September 2018 which resulted in an Excise Duty assessment of Kshs. 46,482,463.00 as evidenced by the Commissioner's letter of 17th January 2019.

The Respondent objected to the same through its letter of 15th February 2019 where its arguments and explanations more or less mirrored that of its earlier objection dated 17th November 2016. The Commissioner made its objection decision on 8th April 2019 where it also restated its positions as in the previous Objection Decision and as a result upheld the assessment of Kshs. 46,482,463.00. The Respondent was also aggrieved with this Objection

Decision and lodged an appeal to the Tribunal in TAT No. 197 of 2019.

Since the issues in the two appeals were similar save for the tax periods under audit, the Tribunal directed that the two matters be consolidated. After considering the rival submissions, the Tribunal rendered its judgement on 18th December 2020, where it identified and framed five issues for determination namely: -

(i) Whether the amendments under the Finance Act 2012 were ambiguous?

(ii) Whether the amendments under Paragraphs 7 and 8 of the Finance Act 2013 were retrospective and if such retrospectivity was against the law?

(iii) Whether commission earned on money transfer provided by banks through mobile money service providers platforms, and card interchange fees were subject to Excise Duty?

(iv) Whether Excise Duty was chargeable on exported services provided by the Respondent?

(v) Whether loans commitment, processing fees and bills discounting fees were subject to Excise Duty?

The Tribunal found that the Respondent's appeal partly succeeded and ordered that the demand for Excise Duty in respect of fees charged on money transfer services that is, KENSWITCH charges; interchange fees, MPESA, AIRTEL and MONEYGRAM and other money platforms to be amended to include only Excise Duty on commissions earned by the Respondent from the operators of money transfer platforms, that the demand for Excise Duty in respect of Excise Duty on rental income, profit on sale of assets, bad debt recovered, and miscellaneous income be quashed and that the Excise duty demanded in respect of fees charged on exported services offered by the Appellant was also due and payable.

Both parties were dissatisfied with various aspects of the Tribunal's findings and orders and each appealed to the High Court. The Commissioner faults the Tribunal's findings on the Excise Duty in respect of fees charged on money transfer services that is, KENSWITCH charges; interchange fees, MPESA & AIRTEL, MONEYGRAM and other merchants and in respect of the loan commitment, processing fees and bills discounting fees and other fees offered by the Respondent. The Commissioner also faults the Tribunal for finding that miscellaneous income did not attract Excise Duty. On the other hand, the Respondent faults the Tribunal for finding that there was no ambiguity in the amendments introduced by the Finance Act, 2012, that Paragraphs 7 and 8 of the Finance Act, 2013 were not retrospective, and that exported services were exempted from Excise Duty under the Customs and Excise Duty Act (Repealed).

Issues for Determination:

1. Whether the Tribunal erred in its determination that Excise Duty was to be charged and accounted for

by the operator of the Kenswitch platform who charged the fees and not the Appellant

2. Whether the Tribunal erred in finding that the Commissioner could not demand Excise Duty on commissions earned by the Respondent as a vendor of the mobile money platform

3. Whether the Tribunal erred in finding that the Respondent as the Issuing bank ought not to pay Excise Duty on interchange fees given its role in the transaction

4. Whether the Tribunal erred in finding that the Respondent was only to pay Excise Duty on the commissions it earned from MasterCard, MoneyGram, Kenswitch, Western Union, Instant Cash, and other merchants for facilitation of transactions and not the whole interchange fees charged on the customer.

5. Whether the Tribunal erred in finding that the definition of "interest" in the Income Tax Act also applied to the Section 117 of the Customs and Excise Act.

6. Whether the Tribunal erred in finding that loans commitment/facilitation/ processing fees and bills discounting fees fell within the definition of "interest" and therefore exempt from Excise Duty.

7. Whether the Tribunal erred in finding that miscellaneous income is excluded from payment of Excise Duty.

8. Whether the Tribunal erred in finding that the amendments under the Finance Act 2012 were not ambiguous.

9. Whether the Tribunal erred in law and in fact by finding that the amendments under Paras. 7 and 8 of the Finance Act are retrospective and that such retrospectivity is allowed in law.

10. Whether the Tribunal erred in finding that exported services are subject to Excise duty under the Customs and Excise Duty Act.

11. Whether the Tribunal erred in law and in fact by finding that excise duty is chargeable on fees charged on money transfer platforms

Decision/Learning Points:

i. Since the court is being called upon to interpret the law, it is now trite and a common principle that in interpreting tax statutes, the court needs to make such an interpretation strictly, leaving no room for intendment or implication. This view was summarised by Nyamu JA., in Stanbic Bank Kenya Limited v Kenya Revenue Authority NRB CA Civil Appeal No. 77 of 2008 [2009] eKLR as follows:

In my interpretation of the law, it is quite evident that I have not sought any assistance from outside a dictionary in ordinary use. Moreover, I have not strained the meaning of the words in order to achieve any particular result. I have simply adopted the ordinary meaning of the words used in the relevant tax statute. This is because as regards tax law the issue of intention or intendment does not arise. If there is any ambiguity, and I did not detect any in my analysis, the same must be construed in favour of the tax payer. In tax law, the converse is also true that if the meaning is clear, that tax is chargeable, the issue of what was intended is not the function of the court and where tax liability is expressed and located by law the courts must uphold the taxman's position.

ii. Commissions from Kenswitch: on this issue, the Tribunal's findings was that the fees in respect of the Respondent's customers using the Kenswitch money transfer platform was charged by Kenswitch and that the Respondent only played an ancillary role.

The High Court considered the nature of the transactions and accepted the position taken by the Commissioner that regardless of the role played by the Respondent in the transaction itself, between itself, Kenswitch and the customers, fees or commissions earned or charged were subject to Excise Duty. The fact the Respondent played an ancillary role in the transactions did not exclude it from paying Excise Duty on commissions it had admittedly earned.

iii. From the financial statements and documents provided by the Respondent to the Commissioner, the High Court did not find any evidence to demonstrate that the fees paid to it were a reimbursement rather than a commission earned from its customers for using the service. The Respondent also failed to rebut the Commissioner's position that the Respondent earned fees from ATM services provided by Kenswitch and that the Commissioner considered only the commission earned. Further, the Respondent did not deny that this information was what was contained in its own financial statements. This is in line with the legal and statutory position under section 56 of the TPA that it is the taxpayer to prove that the Commissioner's decision is wrong.

iv. The High Court agreed with the Commissioner that the Tribunal erred in finding that the fees earned by the Respondent were charged and accounted for by Kenswitch when there was no evidence supporting this contention. The Tribunal thus came to a conclusion that was not supported by evidence. The Tribunal also did not appreciate the evidence on record which indicated that that the Respondent had earned fees from ATM services provided by

Kenswitch that were subject to Excise Duty. This ground by the Commissioner therefore succeeds.

v. Commissions on MPESA and Airtel Money Platforms: On this issue, the Tribunal had ruled that the Commissioner should not demand Excise Duty on Commissions earned by the Respondent as a vendor of the Mobile money platform as this had already been collected and remitted by the mobile money platform provider.

The High Court observed that the dealership agreement adduced by the Respondent was critical. It clearly delineates the charges that are borne by the customer and the commission earned by the Respondent for that service. Clause 5 therein states that the Respondent is to be paid fees and commissions for the services it offered the mobile money operator and the Respondent was to be responsible for all the tax required to be paid by law on the commissions received. The Court therefore disagreed with the Tribunal that transactions or services where the Respondent was like a vendor of the mobile money platforms should be excluded from the charge of Excise Duty. All the services offered by the Respondent under the dealership were paid by way of a commission or fee consideration and they all attracted Excise Duty that were to be borne by the Respondent. This ground by the Commissioner therefore succeeds.

vi. Interchange fees: On this issue, the Tribunal relied on the decisions in Barclays Bank of Kenya Limited v Commissioner of Domestic Taxes [2020] eKLR and its own decision in NIC Group and NIC Bank Kenya Plc v Commissioner of Domestic Taxes TAT Appeal No. 361 of 2018 (UR) to hold that card services between the Respondent as the Issuing Bank and the Acquiring Bank do not amount to transfer of money or operation and that the Respondent should not be required to pay Excise Duty on interchange fees given its role in the transaction.

The High Court observed that the role played by the Respondent in earning the fees was immaterial as the question was whether the service was one under the definition of "Other fees" and thus subject to Excise Duty. More recently, the court in *Commissioner of Domestic Taxes v Bank of Africa Limited (Civil Appeal E127 of 2020) [2023] KEHC 1036 (KLR) (Commercial and Tax) (17 February 2023)* (Judgment) has stated that the nature of service the issuer renders to card holders is a financial service because the issuing bank owes cardholders a duty to verify not only their details and eligibility to use the cards but also deduct money from their accounts and pass it to the acquirer, thus enabling them complete their purchases. Verification of cardholders' details and eligibility to use the cards, precedes the decision to allow the cardholder to purchase goods which is later followed by transferring money from the cardholders' accounts to the merchant through the acquirer. In this respect, the court agreed that issuer banks such as the Respondent, rendered service to the cardholders.

vii. The High Court therefore agreed with the Commissioner that interchange fees earned by the Respondent from local and resident acquiring banks are still subject to Excise Duty as they constitute income to the Respondent under the ambit of 'other fees'. This ground of appeal by the Commissioner therefore succeeds.

viii. Commissions from MasterCard, MoneyGram, KenSwitch, Western Union, Instant Cash, and other merchants for facilitation of transactions**:** The High Court observed that Whereas the Commissioner agreed with the Tribunal that the Respondent ought to have paid Excise Duty on commissions it earned from MasterCard, MoneyGram, Kenswitch, Western Union, Instant Cash, and other merchants for facilitation of transactions, it faults the Tribunal for holding that the Commissioner ought not have charged Excise Duty on "the whole interchange fees charged. The High Court further noted that the Commissioner submitted that this was not the case as it only picked out commissions relating to MasterCard, MoneyGram, Kenswitch, Western Union, Instant Cash from the Respondent's financial statements and that there was no mention of the term “interchange fee”. The Respondent has not disputed this ground of appeal and having gone through the record, the High Court agreed with the Commissioner that there is no mention of commissions on “interchange fee” and the court can only conclude that this reference by the Tribunal was made in error and it is set aside

ix. Loan Commitment fees, Processing fees and bills discounted fees:- on this Issue, the Tribunal had found that loans commitment/facilitation/ processing fees and bills discounting fees fell within the definition of “interest” and were therefore exempt from Excise Duty. The Tribunal borrowed the definition of “interest” from the ITA and observed that both the ITA and the repealed Customs and Excise Act could be seen as pari materia, in that both statutes put together form one system of legislation and referred to the same transaction and the same taxpayer. The Tribunal therefore found that the definition of “interest” in the ITA also applied to the section 117 of the Customs and Excise Act.

The High Court noted that it had had a chance to determine this issue in National Bank of Kenya Ltd v Commissioner of Domestic Taxes (Income Tax Appeal E155 & 533 of 2020 (Consolidated)) [2022] KEHC 10549 (KLR) (Commercial and Tax) (26 May 2022) (Judgment)] and Commissioner of Domestic Taxes v Co-operative Bank ML ITA No. E095 of 2020

(UR). The courts observed that while it is tempting to invite the court to borrow the definition of "interest" from the ITA, the main issue is one of construction of the tax statute hence the plain and literal meaning of the words used in the statute should be applied first so as to discern the intention of Parliament. In both cases referred to the Oxford Dictionary of Finance and Banking defines "interest" as "the charge made for borrowing a sum of money" and Halsbury's Laws of England which states that it is "the return or compensation for the use or retention by one person of a sum of money belonging to or owed to another."

x. The High Court held that the natural and ordinary meaning ought to have been the starting point once it was apparent to the Tribunal that the definition of "interest" was not available in the Customs and Excise Duty Act (Repealed) and the Excise Duty Act, 2015. The High agreed with its pronouncement in National bank of Kenya Ltd v Commissioner of Domestic Taxes(Supra) that: *The definition of interest in the Income Tax Act should not have been resorted to in ascertaining the intention of Parliament in Section 7 of the Finance Act, 2013. In the Income Tax Act, the term interest is used for the purposes of charge, assessment and collection of income tax; for the ascertainment of the income to be charged; for the administrative and general provisions relating thereto and for matters* *incidental to and connected therewith and not otherwise.*

xi. The High Court rejected the Tribunal's decision to apply the definition of "interest" under section 2 of the ITA. The High Court held that a strict interpretation of the Finance Act 2013 coupled with a plain and literal interpretation of the term "interest" meant that all fees incidental to obtaining a loan such as loan commitment/facilitation/ processing fees and bills discounting fees among others would be subjected to Excise Duty while the interest earned from the loan would be exempted.

xii. The High Court consequently held that the Tribunal erred in finding that loan loans commitment/ facilitation/ processing fees and bills discounting fees fell within the definition of "interest" and were therefore exempt from Excise Duty.

xiii. Other income earned by the Respondent: The High Court agreed with the Tribunal that the Commissioner ought to vacate the assessment in respect of rental income, profit on sale of assets, bad debt recovered as the same was explained to the satisfaction of the Commissioner. The High Court however faulted the Tribunal for also including miscellaneous income as part of the income conceded by the Commissioner as having been satisfactorily explained. The High Court therefore held that the Tribunal erred in finding that miscellaneous income is excluded from payment of Excise Duty.

xiv. Ambiguity of the Finance Act 2012: On this issue,. The Tribunal's findings were that the amendments brought to the Customs and Excise Act(Repealed) under the Finance Act 2012 were not ambiguous. The Respondent had appealed this issue arguing that the Tribunal erred in determining that the provisions in the amendment for "financial service providers" and "other fees" were unambiguous. To this end, the Respondent maintained that at no time did the Customs and Excise Act (Repealed) as amended by the Finance Act, 2012 designate it as a taxpayer or collector for the Excise Duty for money transfer services and that it is for this reason that the amendments introduced under the Finance Act, 2013 brought clarity to these ambiguities.

xv. The High Court held that a reading of Paragraphs 7 and 8 above is clear that one of the institutions sought to be captured by the Finance Act, 2012 under the ambit of Excise Duty was banks. The Respondent has never denied that it is and has always been a bank. The Court found that even without a wholesome definition of the term "financial service providers" by the Finance Act, 2012, it was clear that institutions such as the Respondent were the target of being captured under the said term. If anything, the amendments by the Finance Act, 2013 expanded rather than restricted the definition of financial service providers and/or institutions but that in both of those amendments, institutions such as the Respondent were subject to the introduction of Excise Duty on money transfer services.

xvi. The High court therefore did not find any ambiguity in the Finance Act, 2012 as to the Respondent, as a bank, being one of the institutions that Excise Duty was to be charged for money transfer services and found no ambiguity in the term "Financial Service Providers". The Tribunal correctly relied on the natural and ordinary meaning of the words "financial service providers" to conclude that the Respondent was one that offered financial services.

xvii. On the issue of fees, the amendment introduced by the Finance Act, 2012 did not specify or define what "Other Fees" constituted and that the amendment introduced by the Finance Act, 2013 in respect of what constituted "Other Fees" was more specific and definitive. Since the amendment introducing a more specific definition of "Other Fees" was introduced on 18th June 2013 and effected as from 1st January 2014, the legislative intent was that ''Other fees'' meant more than ''money transfer fees''. The amendment brought by the Finance Act, 2013 was curative and intended to clear the air on what amounted to "Other Fees" by excluding interest charged as subject to Excise Duty. But that amendment did not necessarily narrow the application of "Other fees'' to a fixed set of transactions. By use of the word, ''includes'', the meaning and application of other fees was expanded. The Court of Appeal in *Mjengo Limited v Commissioner of Domestic Tax NRB CA Civil Appeal No. 85 of 2014 [2016] eKLR* cited with approval the dictum of Lord Watson in *Dilworth v Commissioner of Stamps [1899] A. C. 99,* 105 that *,"The word "include" is very generally used in interpretation clauses in order to enlarge the meaning of words or phrases occurring in the body of the statute; and when it is used these words or phrases must be construed as comprehending, not only such things as they signify according to their natural import, but also those thing which the interpretation clause declares that they shall include."*

xviii. The Court further held that it cannot be argued that the meaning of the word "fee" was unknown or ambiguous. The natural and ordinary meaning of a fee must be the first port of call. According to Blacks Law Dictionary (10th Ed), a fee is, "A charge or payment for labor or services..." Simply stated it is the consideration for the service rendered hence the Commissioner was entitled to charge Excise Duty on the Respondent's financial transactions as long as they constituted fees. The only change that was introduced by the Finance Act, 2013 was to exclude "interest" from the meaning of other fees. Further, the ambiguity resolved in the decided cases was what 'interest' meant, that is, whether interest as defined by the ITA or interest in its ordinary and natural meaning (see National Bank of Kenya Ltd v Commissioner of Domestic Taxes (Supra)). In all other respects, the use of the word fee captures any transaction of the nature and substance of a fee. I therefore hold that there was no ambiguity in respect of the terms "financial service providers" and "other fees" in the Finance Act, 2012.

xix. Retrospectivity of Paras. 7 and 8 of the Finance Act, 2013**:** On this issue, it was not in dispute that the Finance Act, 2013 came into force on 25th October 2013 and that, the definition of the terms "financial institution" and "other fees" were effective on 18th June 2013 through the provisional collection of taxes. However, section 137 of the Customs and Excise Duty Act as amended by the Finance Act 2013 on 25th October 2013 had an effective date of 1st February 2013. The Tribunal relied on the High Court case of *Mark Obuya, Tom Gitogo and Thomas Maara Gichuhi Acting for or on Behalf of Association of Kenya Insurers and 5 others v Commissioner of Domestic Taxes and 2 others [2014] eKLR* to find that the said sections of the Finance Act, 2013 were retrospective and that the retrospectivity was legal according to the law.

The High Court held that it could not fault the Tribunal for being guided by the decision of a Superior and binding jurisdiction that Paragraphs 7 and 8 of the Finance Act, 2013 had retrospective application in accordance with the existing law at the time irrespective of whether the Respondent had knowledge of the law.

xx. Exported services under the Customs and Excise Duty Act (Repealed**):** on this issue, the Tribunal's finds were that it could not infer an exemption based on the silence of the Customs and Excise Act(Repealed) with regard to exported services. The Tribunal explained that if Parliament intended to exempt services it would have so stated.

The Respondent's Appeal on the issue was that the Customs and Excise Act (Repealed) was in effect before the enactment of the Excise Duty Act, 2015 and was silent on the levy of Excise Duty on exported services and that this silence meant the exclusion of exported services from Excise Duty. According to the Respondent, even though there was no express provision in the Customs and Excise Act (Repealed) relating to exemption for services as it did for exported goods, an implication ought to be made that exported services were covered as well.

xxi. The High Court agreed with the Tribunal's position , and no inference or intendment can be made on tax statutes and the same can only be read and interpreted as is. The Respondent cannot ask the Court to make an inference of what the legislature intended under the Customs and Excise Act(Repealed). If the legislature did not make any provision for exempting exported services thereunder, then the said services could not be exempted by implication.

Appeal allowed.

SERENGETI BREWERIES LIMITED v. COMMISSIONER GENERAL (TRA) INCOME TAX APPEAL NO. 204 & 205 OF 2023

(Subject matter-Excise duty-time of determining excise duty rate-Point of taxing and accounting for Excise duty)

Brief Facts

The dispute begun in 2022 when the Respondent conducted a comprehensive tax audit on the Appellant's tax affairs covering years of income 2019 and 2020. The Respondent issued income tax adjusted assessment amounting to TZS 1,207,551.70 and TZS 1,030,674,026.71 for years of income 2019 and 2020. The Appellant unsuccessfully objected, hence lodged an appeal to the Tax Revenue Appeals Board (the Board).

Issues for determination

1. Whether the Respondent correctly adjusted the loss brought forward by the Appellant for the years of income 2019 and 2020

2. Whether the Respondent correctly added back TZS 78,070,689 as over claimed excise duty for the years of income 2019 and 2020
3. Whether the Respondent correctly disallowed the Appellant's realized exchange losses for the years of income 2019 and 2020
4. Whether the Respondent's refusal to allow the Appellant to reverse an erroneous entry of TZS 508,056,752 for the years 2019 was correct.
5. What reliefs are the parties entitled to.

Decision/Learning points

i. The Respondent correctly adjusted the loss brought forward by the Appellant for the years of income 2019 and 2020
ii. Payment of excise duty is guided by Section 47(1) of the Excise (Management and Tariff) Act [Cap 147 R.E.2019] read together with the Regulations made therefrom. The Section specifies the point of collection of the excise duty with regard to the production chain of the taxpayer. According to that Section, the duty on beer shall become due and shall be charged at the rate in force when it has been bottled or packed for sale by the brewer. The point of taxing and accounting of the excise duty is during production, therefore the Appellant's assertion that the difference was

caused by timing difference at the point of production and at the point of sale is not correct. The Respondent correctly added back TZS 78,070,689 as over claimed excise duty.

iii. The Respondent was correct to disallow the appellant's realized exchange losses for the year of income 2019 and 2020 because the Appellant did not prove incurrence of the exchange loss.

iv. Rules of deduction ring fence expenditure in a particular year of income and not otherwise. Since expenditure incurred in 2018 and 2019 were expensed in year 2020, the Respondent was justified to refuse to allow the Appellant to reverse an erroneous entry of TZS 508,056,752 for the year of income 2019.

Appeal dismissed

ABSA (U) LIMITED VERSUS UGANDA REVENUE AUTHORITY, TAT APPLICATION NO. 57 OF 2020

(Subject matter: Income Tax-Withholding Tax on Nostro charges – VAT on initial customer deposits - disallowed interest expense)

Brief Facts:

The Applicant is engaged in the provision banking services. The Respondent conducted a comprehensive audit into the Applicant's tax matters and established a tax liability of UGX 6,714,520,926 for Value Added Tax, Income

Tax, Local Excise Duty and Withholding Tax and issued assessments to the Applicant.

The Applicant objected to the assessments on grounds that the said assessments were unlawful to which the Respondent issued an objection decision disallowing the objection and maintaining the assessments.

The Respondent's case before the Tribunal was in respect of UGX 3,568,154, broken down as follows: UGX 731,003,496 in regards to non-declaration of WHT on charges paid to corresponding banks (Nostro charges); UGX 1,156,425,588.05 in regards to non-declaration of VAT on initial customer deposits to suppliers for the leased items; and UGX 1,683,237,876 in regards to disallowed interest expense under Section 47 of the Income Tax Act.

Issues for Determination:

1. Whether the Applicant is liable to pay the taxes assessed by the Respondent?
2. What remedies are available to the parties.

Decision/Learning Points

<u>Nostro charges</u>

i. A nostro account means an account that a country's bank holds in the bank of another country in the foreign currency.

ii. Section 78 of the Income Tax Act defines a management charge to mean any payment made to a person other than a payment of employment income, as consideration for any management services.

iii. Payments made by the Applicant to corresponding banks were in respect of business decisions for transactions between the banks. Since this payment was made for services, the charges can be considered as management charges as defined above.

iv. However, a nexus between the charges paid to foreign banks by the Applicant and the liability to pay income tax needs to be drawn.

v. Income is sourced in Uganda to the extent to which it is a management charge paid by a resident person.

vi. Where the Applicant pays the nostro charges on behalf of its clients, it is the one that actually effects payment, therefore it has an obligation to withhold taxes on behalf of its clients.

vii. It does not make legal sense for clients to withhold taxes when the nostro accounts are held by the Applicant.

viii. The Tribunal found that the Applicant was liable to pay the WHT assessment of UGX 731,003,496 on charges paid to the corresponding banks.

<u>VAT Assessments</u>

ix. The Applicant enters contracts for capital asset financing whereby its customers use their assets as security for loan facilities in order to purchase them.

x. The Applicant collects periodic payments from the customer as payments of the loan and accounts for VAT on its contribution but not the initial deposit to the supplier.

xi. However, the Applicant claims 100% input VAT on the full invoice amount regardless of its contribution to purchase of the asset. If the Applicant claimed input VAT on the full invoice amount, then it should put output VAT which is similar to what it claimed.

xii. One cannot claim input VAT more than the output VAT it paid and therefore the Applicant ought to account for output VAT by paying the same corresponding input VAT it claimed.

xiii. The Applicant cannot be seen to claim 100% input tax credit on the client's initial deposit and contribution and yet it paid output tax which was equivalent to the contribution.

xiv. The Respondent was therefore justified to issue an assessment of UGX 1,156,425,590 in regard to non-declaration of VAT on initial customer deposits.

Disallowed interest expenses

xv. The Applicant claimed both paid and accrued interest expense as an allowable deduction leading to less chargeable income and therefore paid less tax.

xvi. The Applicant accrues interest expense on its customer accounts but pays and withholds tax at the date of maturity.

xvii. The Income Tax Act allows for both cash-based and accrual-based accounting methods.

xviii. When interest accrues, it means that the interest amount is accumulating overtime, even if it has not been physically paid out or received by the lender or borrower.

xix. When a taxpayer uses the accrual method, the law allows that taxpayer to incur expenditure when it is payable by the taxpayer. Therefore, a taxpayer can incur an interest expense when it is payable under the accrual accounting system.

xx. The Applicant contradicted itself when it used an accrual accounting method but also allowed paid interest as allowable deductions using the cash-based accounting method.

xxi. This led to a situation where the interest is allowed twice as a deductible expense hence leading to less chargeable income.

xxii. When using accrual basis accounting and the Applicant treats accrued interest as a deduction, it would have to report the accruable income that gave rise to the deduction using the same accounting method.

xxiii. If accrual income is not included in the income statement of the financials, it means that the accrual interest was not used in the production of income included in the gross income.

xxiv. By using paid income under the cash-based accounting system while treating accrued interest as deductible but not accruable income under the accrual basis, the Applicant distorted the chargeable income and tax it ought to pay.

xxv. The assessment of UGX 1,683,237,876 was upheld.

The Application was dismissed with costs to the Respondent.

AGGREKO INTERNATIONAL PROJECTS LIMITED v. COMMISSIONER GENERAL, TANZANIA REVENUE AUTHORITY. CIVIL APPEAL NO. 456 OF 2021

(Subject matter – Income Tax –Rules applicable to deduction of expenses)

Brief facts

In the year 2014, the Respondent conducted a comprehensive tax audit into the tax affairs of the appellant for the years of income 2011 and 2012. It was observed that the appellant disallowed management costs attributed to the Appellant's regional hub in Dubai and also claimed full year wear and tear allowance on assets which were used for less than twelve months. The Appellant responded by indicating how head office costs are allocated to the appellant relying on head office allocation of transfer pricing, while indicating that depreciation costs are claimed in relation to the number of days in one's year of income, according to the Income Tax Act, Cap. 332 (the Act). The Respondent adjusted the assessment. The appellant unsuccessfully appealed to the Tax Revenue Appeals Board and the Tribunal. Still aggrieved, the Appellant appealed to the Court of Appeal.

Issues for determination

1. Whether the Tribunal erred in law for failure to consider Section 33(1) of the ITA, 2004 and the OECD Transfer Pricing Guidelines 2010 in determining the correctness of the decision to disallow head office costs (Whether or not the dispute before the Tribunal was not on transfer pricing).

2. Whether the Tribunal was correct in law in holding that the Board correctly applied Section 11(2) of the ITA, 2004 in determining the correctness of allocation of head office costs to the Appellant.

3. Whether the Tribunal erred in law and misdirecting itself on the evidence on records and held that the Appellant failed to prove that the costs were actually incurred by the Appellant.

4. Whether the Tribunal was correct in law for holding that the imposition of penalty and interest by the Respondent was correct in law

Decision/Learning points

i. The dispute before the Tribunal was not on transfer pricing in terms of section 33 (1) of the Act but rather on disallowance of head office costs allocated to the appellant for the years of income 2011 and 2012 because the records shows that there was no any ground of appeal that faulted the Respondent for failure to consider section 33(1) of the Income Tax Act Cap 332, (the Act). The five grounds focused on the applicability of Section 11, Paragraph 3 of the Third Schedule and Section 98 of the Act.

ii. For head office costs to be deducted as expenses there has to be compliance with the requirements of section 11(2) of the Act. For the amount to be deducted as expenditure incurred during the year of income, the expenditure must be incurred by that person wholly and exclusively in the production of income from the business or investment. The Appellant did not prove this; therefore, the Board and the Tribunal rightly found that the evidence was wanting.

iii. The Appellant did not discharge its burden of proof as required under section 18 (2) (b) of the Tax Revenue Appeals Act Cap 408 (TRAA).

iv. In apportioning capital allowance on depreciated assets the factor to be considered is the number of days the depreciable assets were employed by the person wholly and exclusively in the production of the person's year of income. (Section 17 and paragraph 3 of the third schedule to the Act).

v. The appellant could not substantiate the deductibility of the head office direct expenses and the respondent's computation of depreciation was correct in terms of the law therefore, imposing penalty was inevitable.

Appeal dismissed with costs

APONYE UGANDA LIMITED VERSUS UGANDA REVENUE AUTHORITY, TAT APPLICATION NO. 87 OF 2021

(Subject matter: Income Tax - Interest expenses as allowable deductions)

Brief Facts

The Applicant, a company incorporated in Uganda dealing in commodity trading and transport services, filed this Application challenging an assessment of UGX 641,012,201 issued by the Respondent against the Applicant on grounds that the Applicant had overstated its interest expenses contrary to Section 25 of the Income Tax Act as it belonged to a group of three companies which had a common underlying ownership.

The Applicant's objection to the assessment was disallowed on grounds that the Applicant had not provided sufficient evidence to prove their grounds of objection.

Issues for Determination

1. Whether the Applicant is liable to pay the taxes assessed?
2. What remedies are available?

Decision/Learning Points

i. The Income Tax Act provides for interest as allowable deductible allowances. The Applicant is entitled to interest deductions; however, this interest is limited to 30% where a taxpayer is a member of a group.

ii. The question to be determined was whether the Applicant is a member of a group within the meaning of S. 25(5)(b) of the Income Tax Act.

iii. Under the Act, the word 'group' means 'a person other than individuals, with common underlying ownership.

iv. The next question to determine was whether the Applicant is part of a group with 'underlying ownership' which phrase is defined to mean an interest held in a person directly or indirectly through interposed companies.

v. The word 'underlying' means 'an asset or other factor that gives rise to rights and obligations in a derivative contract'

vi. There are many ways of determining whether persons are connected. One of them is by looking at the ownership of the Company.

vii. The reason why deductible interest allowed is limited is because they may be sharing the same funding.

viii. A search at the URSB revealed that the Applicant, Aponye (U) Limited, Aponye Transporters Limited and Aponye House Limited had common underlying ownership as their Memorandum and Articles of Association showed that Mr. Apollo Nyegamahe owned 60% shareholding while Mr. Peter Agaba and Mr. Harold Byamugisha each owned 10% in the companies.

ix. Therefore, Section 25(3) of the ITA would limit the interest claimed by the Applicant to 30% as a result of the Applicant having interest in interposed companies.

x. The phrase ‘interposed companies’ denotes two different entities through which a company might control another company.

xi. The definition of ‘interposed companies’ is also interlinked with the term ‘associate’ under the Act.

xii. By altering Section 2(xxx) in the manner above, the anti-tax avoidance measures created by the legislature through concepts such as ‘underlying ownership’ or an ‘associate’ are compromised.

xiii. Properly construed, Section 2(xxx) is confined to a person other than an individual. It refers to an interest held in or over this non-individual. This interest is held over the person directly or indirectly through three different entities namely; interposed companies, partnerships, or trusts.

xiv. This interest is held over this person through these entities either by an individual or by a person not ultimately owned by Individuals.

xv. For the reasons above, the Applicant company was a member of a group of companies and the Respondent was justified in issuing the assessment.

The Application was dismissed with costs to the Respondent.

BAKER HUGHES (EHO) LIMITED (KENYA BRANCH) VS COMMISSIONER OF LEGAL SERVICES AND BOARD COORDINATION [2023] KETAT 548

(Subject Matter-Income Tax-whether the gross payments made by a Taxpayer to its related non-resident entity for seconded ex-patriate employees should be subjected to WHT under section 35 of the Income Tax Act.)

Brief Facts

The Appellant is registered in Kenya as a Branch of Baker Hughes EHO Limited, a company incorporated in Bermuda. The ultimate holding company is Baker Hughes incorporated in the United States of America. The Appellant is a service provider to oil and gas exploration companies and a player in both upstream and downstream activities.

The Respondent issued a notice of assessment vide a letter dated 14th October 2020 with a tax liability of Kshs. 1,766,717,347 .00 inclusive of penalties and interest and Pay As You Earn (PAYE ”) amounting to Kshs. 89,517,921 .00 inclusive of penalties and interest. The Appellant objected, where after, the Respondent responded to the Objection by confirming its assessment. The Appellant dissatisfied with the Respondent’s decision appealed to the Tax Tribunal.

The Appellant’s case is that International Professional Resources, S. de R.L. ("IPRS" or "IPRL") was a company registered in Panama, on 2 th September 2008 (& later on United Arab Emirates) as a global employment company (GEC), whose core business is to offer administration of international payroll services, and to source personnel for international assignments for Baker Hughes, the Appellant herein.

That by way of a 'Payroll Administration Service Agreement (“PSA”) dated 1stJanuary 2008, the Appellant and IPRL entered into an agreement for “the provision of administrative services with respect to the payroll and benefits programs that cover the individuals as specified by Employer from time to time”. That the payroll administrative services include the payment of salaries and benefits to the Individuals by IPRL for which the Appellant reimburses it.

That in the description of the parties and recitals of the said agreement, the "Employer" was defined as Baker Hughes EHO Ltd, the Appellant herein.

Clause 4.1 of the Agreement provided inter alia that, the Employer agreed to reimburse IPRS for all amounts paid by IPRS on behalf of Employer with respect to the salaries, wages and other compensation.

Under Clause 4.2 of the Agreement, it was agreed that the Appellant would pay IPRL a payroll administration service fee which comprised of; the Overhead charge that reimburses IPRS for the administration and overhead costs of providing services calculated as a percentage of the salary and cost of benefits; and a mark up on the aggregate costs reimbursed to IPRS by Employer, other than reimbursement of business expenses reimbursed to Individuals.

Pursuant to the agreement, where an employee is deployed by IPRL to the Appellant's Kenya Branch, the Appellant remits a gross amount to IPRL constituting of:

a) A reimbursement of employment related emoluments for expatriate employees deployed to the Appellant in Kenya, which are received by IPRL and paid to the employees; and

b) A service fee/compensation for IPRL's payroll/administrative services made up of the overhead charge and a mark-up charge.

The Appellant argued that out of the gross amount, the portion of the payment that is paid as service fee/compensation for IPRL's payroll/administrative services that is made up of the overhead charge and a mark-up charge is chargeable to WHT, and the Appellant duly withheld it and lawfully remitted it to the Respondent. That it was erroneous for the Respondent to demand WHT on gross expatriate emoluments contrary to sections 2, 10 and 35 of the Income tax Act.

That the portion of the gross amounts that are the employee related emoluments which are remitted to IPRL for subsequent payment to the employees deployed to the Appellant's Kenyan Branch constitute "payments made to an employee by his employer" as defined in the ITA. These payments are excluded from the definition of management or professional fees in Section 2 of the ITA.

With regard to PAYE assessment, the Appellant argued that the reason that the gross emoluments declared in the Appellant's monthly PAYE returns appear not to reconcile with the gross compensation taxes via the Appellant's payroll for the expatriates and locals is due to the fact that the Appellant experienced some challenges in obtaining KRA tax PINs for some of the local and expatriate employees. That as such, the Appellant could not include emoluments for all its employees on the monthly P10 submissions in the absence of the KRA PINs. Despite this dilemma, the Appellant remained tax compliant by charging and remitting in full applicable PSYE payments on all its employees within the statutory timelines for the respective tax periods, which payments are reflected in the iTax ledgers.

The Respondent's case was that it conducted an audit of the Appellant, which commenced in March 2019 on Pay As You Earn (PAYE) and Withholding tax (WHT). That the audit was as a result of variances identified between the gross amounts declared on iTax for PAYE purposes against the amounts declared in the financial statements for the years 2014 -2016.

That the Appellant pursuant to the Agreement engaged IPRS to provide administration services with respect to payroll administration and benefit programs that cover Baker Hughes EHO Ltd employees who are working outside their home countries. Tthe obligation of IPRS in the Agreement was to provide Baker Hughes EHO Ltd with payroll management services which included hiring new employees, maintaining their payroll, paying and training of the employees. That from the Agreement, Baker Hughes EHO Ltd was obligated to withhold the necessary amounts to satisfy the personal income tax liabilities owed by the individuals in respective countries and pay any social taxes due with respect to individuals, in respect to applicable tax laws of the country. That IPRS provided the payroll administration outside Kenya and therefore the Appellant was obligated to withhold the income tax for the payments made.

That from the invoices provided by the Appellant, the Respondent noted that the Appellant reimbursed IPRS the whole of the personnel costs. That in addition, IPRS was paid overhead charge and mark-up fee on its administration services. That in addition, the Respondent obtained sample contracts of the employees from the Appellant, noted that the contracts were between IPRS and the employees, and not between the Appellant and the employees and therefore the contractual relationship was between the expatriates and IPRS. The Respondent therefore states that the recharges by IPRS to the Appellant fell within the definition of management or professional fees as defined under Section 2 of the Income Tax Act, as such, subject to Withholding Tax under section 35 of the Income tax Act.

With respect to PAYE, the Respondent argued that a review of the gross pay declared by the Appellant on iTax for PAYE against the gross salaries amounts expensed in the financial statements gave a variance of Kshs. 475,842,692.00and Kshs. 141,156,861.00for the years 2015 and 2016 respectively. That the Respondent analysed all the Appellant's evidence including reconciliations of emoluments paid to employees with PINS and those without PINs, calculated the emoluments whose PAYE was not deducted and shared detailed findings with the Appellant. That the Respondent's findings on PAYE in iust objection decision was in accordance with the law and was not erroneous. That the interests and penalties charged by the Respondent were in accordance with the law being the Income Tax Act and the Tax Procedures Act.

Issues for determination

1. Whether the Respondent issued assessments beyond the five year statutory limit.
2. Whether the Withholding Tax assessment of Kshs. 428,917,084 on subcontracted services in the contract between Baker Hughes (EHO) and IPRS S. DE. R. L. (IPRS) was justified
3. Whether, in relation to the interest and penalties of KES. 84,349,754 and t he interest and penalties amounting to Kshs. 63,175,289 arising from principal tax which was paid without the corresponding debits were justified.

Decision/Learning Points

i. Based on the Appellant's averments, the January 2014 return was filed on 6th February 2014 and amended on 29th October 2014; the February 2014 return was filed on 7th March 20 1 4 and amended on 30th October 2014, the March 20 1 4 return was filed on 9th Marc h 2014 and amended on 30th October 2014 and the April 2014 return was filed on 31st October 2014.

ii. Under Section 31(6) the Commissioner is at liberty to further amend the amended self-assessment return within 5 years of the date of the amendment.

iii. The Tribunal finds that the amendments by the Commissioner should have been made five years from 29th October 2014 and 30thOctober 2014 in which case the five-year timeline would end on 28th October 2019 and 29th October 2019. The Commissioner raised its assessments on 14th October 2020 in which case this was beyond the five-year timeline envisaged by the law. The Tribunal concluded that any assessments raised prior to 15th October 2015 were time barred.

iv. Section 35 (1) of the Income Tax Act ("ITA") provides for deduction of withholding tax in respect of management or professional services fees, while Section 2 of the ITA defines management or professional fees.

v. From a review of the PSA contract, Expat.Pay Registers, iTax reconciliation for the periods as well as details of payments made to KRA for PAYE for expatriates as well as the dates when the said payments were made, it is apparent to the Tribunal that indeed the Appellant was the employer of the subject expatriates during the period under question and that the Appellant accounted for and submitted PAYE as provided for in the Income Tax Act.

vi. The Tribunal has also established that payments from the Appellant to IPRS comprised the consideration component (for the benefit of IPRL) and a reimbursement component relating to employee-related emoluments (for the benefit of the Appellant's employees).

vii. The payment comprising the service fee/compensation for IPRL's payroll/administrative services made up of the overhead charge and a mark-up is chargeable to WHT, and the Appellant duly withheld it and lawfully remitted it to the Respondent and this is not the subject to dispute.

viii. The payments made to IPRL for reimbursement of employee-related costs are not management/ professional fees but reimbursements of employee salaries and therefore not chargeable to withholding tax (WHT).

ix. Consequently, the Tribunal finds that the tax assessment of Kshs. 428,917,084.00on subcontracted services in the contract between Baker Hughes (EHO) and IPRS S. DE. R. L. (IPRS) was not justified.

x. Even in relation to PAYE penalties and interest, the five year timeline for raising assessments based on the assessment date of 14th October 2020 by the Commissioner started on 15th October 2015 to comply with the five year timeline under the law. Any penalties and interest relating to tax assessments raised prior to 15th October 2015 be and are hereby set aside for being time barred.

xi. The Respondent to re-compute penalties and interest in relation to PAYE for undisclosed payments in relation to the period May2015 to December 2015; and for late payment for May 2016 and September

2016within 90 days of the date of delivery of this Judgment.

Appeal partially allowed.

BOLLORE TRANSPORT & LOGISTICS LTD VERSUS UGANDA REVENUE AUTHORITY, HIGH COURT CIVIL APPEAL NO. 49 OF 2021

(Subject matter: Income Tax-PAYE assessments based on fuel cards issued to employees)

Brief Facts

The Appellant is a company in the business of providing transport, clearing, and forwarding services. The Appellant offers fuel cards with fixed amounts every month to employees, which fuel is used in the employees' private cars. The Appellant also obtains casual labourers from two companies.

The Respondent audited the Appellant's operations for the period January 2015 to December 2017 and issued a Withholding Tax Assessment of UGX 123,539,723 on the gross payments for the services rendered by casual labourers. The Respondent also issued a PAYE assessment of UGX 404,007,535 on the basis of fuel cards issued to the Appellant's employees.

The Appellant challenged the assessed before the Tax Appeals Tribunal which decided in favour of the Respondent, hence this appeal to High Court.

Issues for determination

1. Whether the Learned Members of the Tribunal erred in law when they found that the provision of fuel cards to the Appellant's employees was taxable as a benefit;
2. Whether the Learned Members of the Tribunal erred in law when they ordered the Appellant to pay taxes amounting to UGX 404,007,535;
3. Whether the Learned Members of the Tribunal erred in law in failing to properly evaluate the evidence on record thereby coming to the wrong conclusion.

Decision/Learning Points

i. The Appellant filed a Notice of Appeal containing the above grounds and subsequently filed a Record of Appeal with grounds which were almost identical to those in the Notice of Appeal, except for further elaboration of ground one.

ii. The Respondent raised a preliminary objection to the effect that the Appellant's submissions are defective as they are premised on the grounds contained in the Memorandum of Appeal which has no legal basis in appeals to the High Court from decisions of the Tax Appeals Tribunal.

iii. It is clear from Section 27 of the Tax Appeals Tribunal Act that an appeal to the High Court from the decision of the Tax Appeals Tribunal is instituted by lodging a Notice of Appeal.

iv. Court noted that the grounds in the memorandum of appeal are substantially similar to those in the notice of appeal and thus disagreed with the Respondent's submission that the Appellant's submissions be rejected.

v. The preliminary objection was sustained in principle and the Memorandum of Appeal was rejected and struck off the record. The submissions of the Appellant's counsel were preserved in the interest of justice.

vi. The Applicant also raised a preliminary objection contending that the Respondent attempted to introduce new evidence without leave of Court when it filed a Supplementary Record of Appeal containing documents that were neither before nor tested by the Tribunal.

vii. The Appellant in its Record of Appeal omitted the contracts constituting Exhibit R3. Court found that the documents in the Respondent's Supplementary Record of Appeal were the same as the documents referred to in the Ruling of the Tribunal. The preliminary objection was overruled.

viii. Section 19(2)(d)(i) of the Income Tax Act provides that for an allowance given to an employee to qualify as an allowance for accommodation and travel, one only has to prove that: *The employee incurred or will incur those expenses in the course of performing duties of employment; and the allowance does not exceed the expenses actually incurred or likely to be incurred.*

ix. In this case, since the allowance is prepaid by giving employees fuel cards, the Appellant needed to prove that the fuel provided caters for fuel expenses that will be incurred in the performance of the duties of an employee and that amount given does not exceed the expenses likely to be incurred.

x. The key question to be determined is whether the fuel allowance was used "*in the course of performing duties of employment*".

xi. "*In the course of*" means "*during*". Therefore, the term "*in the course of performing duties of employment*" means that an employer has to prove that the travel allowance was to cater for transport costs during the performance of an employee's duties.

xii. It is important to relate the duties of employment to the travel in question.

xiii. In the instant case, the Appellant did not provide information on the duties of the employees so as to provide a nexus between the travels and the duties of the employees, thus failing to prove that the travels in question were in the course of the performance of the employees' duties.

xiv. Court agreed with the Tribunal that in the absence of a nexus between the duties of the employee and the travel destination, the allowance was a benefit.

xv. In relation to the second ground of appeal, court noted that it did not find anywhere in the record where it was brought to the attention of the Tribunal that UGX 404,007,535 included the tax of UGX 114,336,793 in regard to air tickets or that the said UGX 114,336,793 was paid by the Appellant.

Court found that UGX 404,007,535 was rightly assessed and dismissed the appeal with costs to the Respondent.

BULLION REFINERY LIMITED VERSUS UGANDA REVENUE AUTHORITY, TAT APPLICATION NO. 87 OF 2021

(Subject matter – Income Tax, VAT – Re-characterization of Loan Income, retrospective VAT registration certificate)

Brief Facts

The Applicant deals in the business of refining gold in Uganda. Around June 2020, the respondent conducted an audit on the Applicant for the period February 2018 to June 2019 and issued additional income tax assessments of UGX. 486,299,992 and UGX. 200,422,051 respectively.

The income tax assessment was issued firstly because the Applicant's loan was recharacterized as income because it had no supporting documents; secondly, it was issued due to undeclared sales from under declared refinery charges.

The VAT assessment arose from the Respondent using a retrospective VAT registration certificate on the Applicant. It also arose from adjustments in the income tax of the Applicant. The Respondent also assessed an additional VAT assessment of UGX. 1,512,479 resulting from using exchange rates of VAT as opposed to those of income tax. The Applicant objected and the Respondent disallowed the objection.

Issues for Determination:

1. Whether the Applicant is liable to pay the taxes assessed?
2. What remedies are available?

Decision/Learning Points

i. The powers of the Respondent to re-characterize a transaction are statutory. The Tribunal will not interfere with such powers unless it is shown that the decision of the Respondent was illegal, irrational or was made with procedural impropriety.

ii. The Tribunal has to decide whether the Respondent did not exercise proper discretion when it decided to re-characterize the loan.

iii. The Applicant obtained a loan of US$ 500,000 from Top Straight-line General Trading LLC for purposes of procuring refinery equipment.

iv. The loan agreement was in Arabic. There is nothing to show that it was translated from Arabic to the language of the signatory or the Applicant.

v. The Illiterates Protection Act requires verification of signatures of illiterate people and documents written for them. It is the duty of the person who writes the name of the illiterate or who writes a document on behalf of the illiterate to prove that the contents were understood.

vi. The Applicant failed to show supporting documents for this loan agreement, like movement of the money to it or a resolution supporting the loan.

vii. The Applicant did not show any movement of loan amounts into its accounts or have any bank statements in that regard or an acknowledgment of receipt of the money. Additionally, the loan did not show any consideration for it.

viii. The value of receipts tendered in as evidence add up to USD 218,500 while the balance of USD 281,500 was not accounted for.

ix. Additionally, the loan raises money laundering concerns where for a loan of US$500,000, the Applicant claimed to bring in amounts less than USD 9,000 in order to circumvent the Anti-Money Laundering Act.

x. The Respondent was justified in characterizing the Applicant's loan and unexplained sums as undeclared income.

xi. On the issue of refining charges, the Respondent claimed to have used the average refining charges of other industrial players. However, the evidence of these other players was not adduced in Court.

xii. The Respondent claimed that the industrial charge was USD 100 per kilogram. It was not clear why the Respondent chose the charge of USD 50.

xiii. The Respondent did not disclose who the other two industrial players were and as a result, the Respondent's recharacterization of the refinery charge was not justified and any assessment thereon had to be set aside.

xiv. On forceful registration of VAT, the Commissioner General may register a person if there are reasonable grounds for believing that the person is required to apply for registration.

xv. The Applicant does not deny that it was making taxable supplies in September or November 2018.

xvi. Though the application for VAT registration was rejected, the Commissioner General had reasonable grounds for believing the Applicant should have been registered.

xvii. The registration takes effect from the date specified in the certificate of registration.

xviii. The Commissioner was justified to forcibly register the Applicant and this registration took effect from the date of registration.

xix. As a result, any taxable supplies made from the date of registration attract VAT.

xx. The Applicant is therefore liable to pay income tax on unsecured loans that were recharacterized. The Respondent was not justified to use an industrial average of USD 50 and the Respondent was justified to register the Applicant forcibly.

The Applicant was ordered to pay Income Tax of UGX. 353,106,000, VAT of UGX. 211,863,360, VAT of UGX. 1,512,000 resulting from using different exchange rates, and costs of the suit.

CAPITAL SHOPPERS LIMITED VERSUS UGANDA REVENUE AUTHORITY, TAT APPLICATION NO. 34 OF 2021

(Subject Matter – PAYE, VAT - corporation tax on re-characterization of transactions VAT on standard rated and zero-rated supplies)

Brief Facts

The Applicant is a limited liability company carrying on the business of operating supermarkets. In March 2020, the Respondent commenced an audit into the affairs of the Applicant for the period March 2012 to December 2019 and assessed the Applicant a sum of UGX. 6,984,601,254. The Applicant objected and the Respondent made an objection decision allowing the Applicant's objection in part and revised the assessment to UGX. 1,100,403,000.

The Applicant filed an Application for review challenging PAYE of UGX. 140,403,000 and VAT of UGX. 360,000,000 which resulted from the re-characterization of the loan of 2 billion from Rwanda as income from sales.

Issues for determination:

1. Whether the Applicant is liable to pay the additional tax assessed?
2. What remedies are available.

Decision/Learning Points

i. In respect of UGX. 600,000,000 being the corporation tax on recharacterization a perusal of the objection decisions shows that the question of re-characterization of the Applicant's director's loan formed part of the decision. But was never part of the application or the joint scheduling memorandum.

ii. Without prejudice, the Applicant's witness testified that the company agreed to pay the corporation tax because it could not show that the money was transferred from Rwanda to Uganda.

iii. If the corporation tax on recharacterization was part of the dispute, the Tribunal would still have gone ahead to find the Applicant liable to pay it.

iv. In respect of VAT of UGX. 360,000,000 on re-characterization of the Applicant's director's loan, the question which the Tribunal must answer is whether the Respondent can deem that amounts re-characterized as sales give rise to VAT, without a deeming provision clearly set out in the VAT Act.

v. One of the canons of taxation is certainty. The taxpayer should know how much tax, what tax and why it is paying tax.

vi. The problem with re-characterization of income for VAT purposes arises from the nature of supplies. Under the VAT Act, VAT is charged on standard rated and zero-rated supplies while exempt supplies attract no VAT.

vii. If the Respondent was to re characterize income, in order to charge VAT, there has to be evidence on the nature of supplies the Applicant made. Suppose the Applicant made zero rated and exempt supplies only, would VAT be due?

viii. In this case, there is no evidence that the Applicant was only making standard-rated supplies. In the absence of such evidence the Tribunal cannot say that the VAT of UGX. 360,000,000 is due.

ix. In respect of PAYE of UGX. 140,403,000, the Applicant presented a board resolution where it had been resolved that staff were to be paid a transport allowance of UGX. 5000 per working day.

x. Section 19 (2) (d) of the Income Tax Act excludes from employment income, any allowance given while undertaking travel in the course of performing duties of employment.

xi. However, a perusal of the resolution and minutes do not show that the transport allowance paid to the Applicant's employees was for travel in the course of performing duties of employment.

xii. The fact that transport allowances are deductible does not bar a taxpayer from withholding PAYE on the allowance. Therefore, the Applicant is obliged to pay UGX. 140,403,000.

The Tribunal held that the Applicant is liable to pay corporation tax assessment of UGX. 600,000,000 and PAYE of UGX. 140,403,000. VAT of UGX. 360,000,00 was set aside and the Respondent was awarded ¾ of the costs.

COMMISSIONER GENERAL (TRA) VERSUS BAYPORT FINANCE SERVICES (TANZANIA) LIMITED. CIVIL APPEAL NO. 154 OF 2021.

(Subject matter-*Income Tax-Transfer pricing- factors to consider in application of Comparable Uncontrolled Price (CUP) method)*

Brief Facts

In the year, 2019, the Appellant conducted a tax audit on the Respondent's tax affairs for the years of income 2016 and 2017. At the end of the audit, the Appellant issued a notice of adjusted assessment with a tax liability of TZS 7,903,375,498.14. The Respondent unsuccessfully objected to the assessment and lodged an appeal to the Tax Revenue Appeals Board. The Honourable Board delivered the judgement in favour of the Respondent. The Appellant was aggrieved by the decision of the Board thus appealed to the Tax Revenue Appeals Tribunal.

Issues for determination

1. Whether the Board erred in law by holding that the appellant was not correct at law and fact to disregard the commercial market interest rates

2. Whether the Appellant correctly applied the Comparable Uncontrolled Price (CUP) method in making the disputed adjustments

3. Whether the Board erred in fact and in law by agreeing with the Respondent that the Appellant was not correct to disregard the comparable loans agreement between the Respondent and the non-related parties in determining the Arm's length interest rates for the shareholder's loan.

4. Whether the Hon. Board erred in law and fact in its holding that the Appellant was not correct in capturing the taxes paid by the Respondent through instalment for the year 2016 of TZS 1,873,546,228.

Decision/Learning points

i. The Appellant failed to consider the prevailing market interest rates in his assessment by completely relying on the ORBIS data base.

ii. The Appellant's assessment did not comply with the provisions of section 33 (1) of the ITA 2004 and Regulations 4,6 and of the Income Tax Act (Transfer Pricing Regulations),2014.

iii. Thhe Respondent should be aware that the application of the method enlisted in Regulation 5(1) is not the basis of the order. Instead, the application of the methods follows guidance provided in Regulation 5(5) and Regulation 6.

iv. Transfer pricing should be appropriate and take cognizance of comparability factors such as the characteristics of the property or services transferred or supplied, the functions undertaken by the person entering into the transaction taking into account of assets used and risks assumed, the contractual terms of the transaction, the economic circumstances in which the transactions take place; and the business strategies pursued by the associate to the controlled transaction**.**

v. The Appellant failed to prove how the rates charged with associated counterparts differs from the price charged by non-controlled parties.

vi. Not all taxes paid through the systems were reflected in the assessments. The Respondent is entitled to refund of the overpaid taxes through tax credits or direct refund.

Appeal dismissed

COMMISSONER GENERAL (TRA) VERSUS RAJESH SOBGHGYACHAND MEHTA APPEAL NO.43 OF 2021

(Subject matter-Income Tax-Criteria for determining "residence". Procedure –power to receive or reject evidence)

Brief Facts

The Respondent is a Director of companies carrying on business in Tanzania and deals mainly in business of importation, distribution and marketing of pharmaceutical and allied products. He receives director's fees, salaries as well as dividends. He travelled extensively during the year of income to Tanzania.

In June 2017, the Respondent filed Tax returns for the year of income 2016 and paid tax mounting TZS 43,879,500 being 15% of the director's fees which he received from the companies for the year. On 8th July 2017 the appellant assessed the respondent on personal annual income, interest and penalties and demanded payment of TZS 109,593,343.30. The Respondent unsuccessfully objected to the assessment and successfully appealed to the Tax Revenue Appeals Board. The Appellant was aggrieved by the Board's decision thus appealed to the Tax Revenue Appeals Tribunal.

Issues for determination

1. Whether the trial Board erred in law and fact in holding that the respondent was not a resident of the United Republic of Tanzania for tax purposes
2. Whether the trial Board erred in law and in fact in holding that, the appellant prohibited the respondent to submit his passport during hearing.

Decision/Learning points

i. Section 66 (1) of the Income Tax Act, 2004 provides the rules and criteria for determining "residence "in the United Republic of Tanzania with respect to a person for income tax purposes. The criteria include among others, presence in the URT during the year of income for a period or periods amounting an aggregate to 183 days or more and presence in the URT during the year of income and in each of the two preceding years of income for periods averaging more than 12 days in each such year of income.

ii. The burden was on the Respondent to show that he did not fall in any of the rules stated in section 66(1) of the Income Tax Act.

iii. The Respondent did not submit copies of pages of his passport, which show his entry and exit in the URT to ascertain the number of days he spent in Tanzania for tax purposes.

iv. There is no record in the proceedings to show that the Respondent attempted to produce his original passport as exhibit during hearing. Under normal circumstances, if such a thing happened it was upon the trial Board to record the argument/submissions by the advocates for the parties and then make a finding whether to admit or not to admit it. That was not done.

v. An individual is a resident in the URT if the individual.

vi. The power to receive or reject any evidence is vested in the Board as per section 17(2) of the Tax Revenue Appeals Act, Cap 408. It was not correct for the Board to state that the Appellant's counsel refused to allow the Respondent's counsel to submit the passport for physical examination/inspection during the Board's hearing.

Appeal allowed

COMMISSIONER GENERAL TRA VERSUS TECH MAHINDRA LIMITED, APPEAL NO. 150 OF 2021

(Subject matter-Income Tax-Whether there was proof for incurrence of Expenditure-Procedural irregularity-whether evidence not availed at the objection stage can be admitted)

Brief Facts

In the year 2018, the appellant conducted an audit on the respondent's tax affairs covering years of income 2015 to 2017. At the completion of the audit exercise the appellant on 2nd October 2018 issued a tax audit finding raising various queries relating to corporate income tax subsequent to which adjusted assessment for corporate income tax for years 2015, 2016 and 2017 were issued.

The Respondent was dissatisfied with the assessment issued by the appellant hence on 4 January 2019 lodged an objection. The objection was not successful as the Appellant issued various adjusted assessments for the years 2015, 2016 and 2017. The Respondent was further aggrieved, hence, lodged an appeal to the Tax Revenue Appeals Board. In August 2021, the Board delivered its judgement in favour of the Respondent. Being aggrieved by the Board's Decision the Appellant lodged an appeal before the Tax Revenue Appeals Tribunal.

Issues for determination

1. Whether the Board erred in law and fact by holding that the Appellant's act of not challenging the documents tendered by the Respondent was a conclusive proof of incurrence of expenditure.
2. Whether the Board erred in law and fact by holding that the documents tendered by the Respondent prove the incurrence of expenditure
3. Whether the Board erred in fact and in law in allowing the appeal on the ground of procedural irregularity.
4. Whether the Respondent adduced evidence to prove incurrence of expenditure

Decision/Learning points,

i. The appellant did not remain silent/mute in respect of the contents of documents admitted by the Board. She raised her concerns and dissatisfaction with those documents (Exhibit A-15, A-14 and A-12) regarding incurrence of expenses wholly and exclusively in the production of income.
ii. Exhibit A-12, a debit note alone does not suffice to be a conclusive document to prove that the cost incurred by the head office on behalf of the respondent in providing services to Tanzania customers were used wholly and exclusively in

the production of income from the business as required by section 11(2) of the ITA,2024.

iii. The expenses involved in this appeal do not fall under Article 7 sub Article 5 and Article 8 of double taxation agreement between Tanzania and India. Interest, dividend, capital gains, remuneration for labour or personnel (including professional) services are not business profits. The Board erred in law and facts for allowing the appeal without sufficient proof of incurrence of expenditure.

iv. The Board erred in fact and law in allowing the appeal on the ground of procedural irregularity. Firstly, at the level of application for extension of time whereby the Respondent was granted extension of time to appeal upon admission that there was such procedurally irregularity. Secondly, when the Respondent was given opportunity by the Board to produce documents (evidence) during the hearing of the appeals and the appellant objected on the ground that they were not availed or presented to the commissioner General at the objection stage. The Board overruled the objection and allowed such documentary evidence to be admitted as evidence.

Appeal allowed.

CRDB BANK PUBLIC LIMITED COMPANY VESRUS COMMISSIONER GENERAL (TRA). INCOME TAX APPEALS NO. 55 &56 of 2023

(Subject matter-Income Tax-Corporation Tax- whether the Respondent was correct to disallow claimed deductions on losses arising from bad debts)

Brief Facts

In the year 2019, the Respondent conducted a comprehensive audit on the tax affairs of the Appellant covering 2015 and 2016 years of income. The Respondent disallowed claimed deductions made by the Appellant on losses arising from bad debts, written off and issued adjusted assessments on corporate income tax for the respective years of income where a tax liability of TZS 2,688,678,103.40 and TZS 6,270,444,203 was imposed. The Appellant objected the assessments on a ground that the Respondent has denied deduction of bad debts written off incorrectly. The Respondent issued a final determination by partly allowing the unrecoverable written offs and maintaining her position on some unrecoverable written offs. The Appellant was aggrieved by the Respondent's final determination, thus appealed to the Tax Revenue Appeals Board.

Issues for determination

1. Whether the Respondent's decision to disallow bad debts written off for the year 2015 is correct in law and in fact

2. Whether the Respondents decision to disallow other SACCOSS bad debts written off or the year 2015 is correct in law and in fact.
3. Whether the Respondent's decision to disallow bad debts written off relating to ongoing court cases for the year 2016 is correct in law and in fact
4. Whether the Respondent's decision to disallow bad debts arising from AMCOS loans for the year 2016 is correct in law and in fact.
5. Whether the Respondent's decision to impose interest was correct in fact and in law.

Decision/Learning points

i. The laws governing deductibility of bad debts written off in Tanzania for taxation purpose is vested under the provision of Section 18(2), 25(5) (a) and 39(d) of the Income Tax Act Cap 332. The provisions of the Income Tax Act are supported by Regulation 19 of the Banking and Financial Institutions (Management of Risk Assets) Regulation, 2014 (GN. NO. 287 of 2014) which provides for standard of debs which may be declared as bad debt. Section 23(1) of the Income Tax Act, Cap 332 provides for the accounting period of an Entity.

ii. According to Section 25(5) (a) and 39(d) of the Income Tax Act Cap 332, bad debts may only be written off from books of account when the debt claim becomes a bad debt as determined in accordance with the relevant standards established by the Bank of Tanzania, and the institutions has to write the debt off as bad after taking reasonable steps in pursuing payment and the institution reasonably believes that the debt claim will not be satisfied and not necessarily within the year of income.

iii. Mere approval of impaired losses by the BoT does not qualify the same to be allowed deductions. To qualify for deduction, the institution should meet the requirements of Section 39(d) of the Income Tax Act. Citing National Bank of Commerce v. Commissioner Genera of Tanzania Revenue Authority Civil Appeal No. 251 of 2018.

iv. Bank of Tanzania directives does not supersede the Income Tax Act in as far as the declaration of bad debts is concerned for purposes of deductibility of bad debts. BoT directives are there purposely to prevent overstatement of the value of assets however, the Income Tax is to prove the existence of bad debts. For a bad debt to be allowed it must have occurred. BoT directives are all about provision while under the Income Tax Act; actual existence of the bad debt has to be proved.

v. Apart from showing the reasons of writing off the debts, that she had no means of recovery, the Appellant did not demonstrate on steps she took to recover the debts and therefore the fact that the amount could not be recovered is not supported by concrete evidence of the reasonable steps taken by the Appellant in pursuing payment.

vi. Since the Appellant did not bother to make follow up with the customers to recover the loans and no evidence was provided to prove on recovery measures which were employed by the Appellant, the Respondent's decision to disallow SACCOSS bad debts written off for the year 2015 is correct in law and in fact.

vii. Pending cases, which its decision is not yet concluded, cannot justify a debt to be bad debt to the extent of writing it off. As per section 39(d) of the Income Tax Act, having a pending case at the court does not suffice to declare the said debt as bad debt because by being pending its decision is not yet known thus it is not eligible for deduction under section 11(2) of the Income Tax Act Cap 332.

viii. Basing on the fact that the Appellant is still in discussion with BoT with regard to AMCOS debts the Appellant is not in a position to conclude that such amounts will not be paid and the guarantee is still in existence. The Respondent's decision to disallow bad debts written off arising from AMCOSS loan for the year 2016 was correct in law and in fact.

ix. Imposition of interest is consequential to non-payment of tax on due time. When the Principal tax is justifiable the issue of interest is inevitable. The respective interest established by the Respondent is correct.

Appeal dismissed

GAPCO KENYA LIMITED VERSUS COMMISSIONER OF DOMESTIC TAXES: [2023]KETAT984(KLR)

(Subject Matter-Income Tax-Treatment of demurrage charges paid by a resident to a non-resident under the Income Tax Act; sections 3, and section 35 (1) (c) of the Income Tax Act; Paragraph 3 (c) (ii) of the Third Schedule to the Income tax Act).

Brief Facts

The Respondent conducted a verification of the Appellant's operations covering the tax periods of 2017 to 2019, which resulted in the Respondent issuing Withholding Income Tax (WHT) assessments, communicated to the Appellant in a letter dated 31st May 2022. The assessments amounted to Kshs. 31,401,919.00, comprising principal tax of Kshs. 18,990,555 .00, penalty of Kshs. 1,899,055.50 and interest of Kshs. 10,512,308.00.

The assessments relate to the Respondent's decision to charge Withholding Income Tax (WHT) on demurrage fees paid by the Appellant to Total Outre Mer S.A. (TOM), a company resident in France, were subject to WHT deduction. The Appellant objected to the assessments in a letter dated 28th June 2022. The Respondent confirmed the assessments on 11th August 2022 on the basis that demurrage charges were deemed to be income accrued in or derived from Kenya, and therefore subject to WHT as per Section s3 and Section 35 (1) (c) of the ITA which the Appellant was obligated to withhold and remit to the Respondent.

The Appellant argued that there should be a distinction between demurrage relating to dry cargo and demurrage relating to wet cargo. It described demurrage levied on dry cargo as an amount levied due to late return of ocean containers, which is a post importation charge. It further described demurrage charges in relation to wet cargo as an amount levied by the shipowner for failure to complete loading or offloading wet cargo such as petroleum products within the agreed time under voyage or charterparty, and an amount that is part of freight.

The Appellant further argued that any demurrage fees incurred by a ship that is chartered by TOM is chargeable to tax in France, pursuant to Article 8 (2) of the Kenya France Double tax Agreement. That TOM is an entity whose place of effective management is

France, and in line with the provisions of Article 8 (2) of the Kenya France DTA, Kenya does not have taxing rights on the demurrage income derived from or accrued in Kenya and the same should be taxed in France.

The Respondent argued that for the periods 2017 to 2019 the Appellant incurred demurrage fees for delays experienced in offloading of petroleum products at the Mombasa Port and did not operate WHT on the demurrage fees paid to TOM as required by the law. The Respondent contended that the demurrage fees payments made by the Appellant to TOM in the year 2017 attracted WHT at the rate of 15% in line with the provisions of Section 35 (1) (c) of the ITA read together with Paragraph 3 (c) of Head B of the Third Schedule to the ITA.

The Respondent further argued that the Finance Act 2018 amended the Income Tax Act to include (a) a new definition of "demurrage charges" under section 2 to mean *the penalty paid for exceeding the period allowed for taking delivery of goods, or returning of any equipment used for transportation of goods";* (b) demurrage charges as part of the list of payment amounts deemed to be income which accrued in or was derived from Kenya under section 10 of the ITA; (c) amendment of section 35 of the ITA to provide for withholding tax on demurrage charges; and (d) amendment of the third schedule to the ITRA top provide the non-resident WHT rate on demurrage charges to be 20% of the gross amount payable.

Further, an amendment to the ITA made by the Finance Act 2019, taxation of demurrage charges was covered under Section 9 of the ITA as income of certain non-resident persons deemed to be derived from Kenya with effect from 7th November 2019.

The Respondent therefore argued that pursuant to Section 35 of the ITA , WHT shall be charged on certain payments made to non resident persons, and that it correctly brought to charge the demurrage charges which the Appellant failed to deduct and remit taxes due.

Issues for Detrmination

1. Whether the WHT assessments are justified.

Decision/Learning points:

i. Additional assessments for WHT for periods before 1st July 2018**:-** the Income tax Act did not define the term, "demurrage" neither did it describe income in the nature of demurrage prior to 1st July 2018.

The Tribunal noted that the Respondent assessed tax on the demurrage payments to TOM in the periods before 1st July 2018 as tax on a rent, premium or similar consideration for the use or occupation of property premium or similar consideration for the use or occupation of property other than immovable property. However, Demurrage is not rent, premium or similar other than immovable property. Demurrage on the other on the other hand, is a penalty, being liquidated damages payable for delayed loading or a penalty, being liquidated damages payable for delayed loading or unloading of a vessel. Unloading of a vessel.

ii. For the tax periods before 1st July 2018, the provisions of Section s 3, 10 and 35 of the ITA are very clear and do not expressly deem demurrage earned by a non-resident person as taxable income. The Respondent is therefore estopped from claiming WHT on demurrage from the Appellant as the same was not in force at the time

iii. Additional assessments of WHT for periods from 1 st July 2018 to 6th November 2019**:** Demurrage paid to non-residents in the periods from 1st July 2018 to 6th November 2019 was business income of a non-resident person deemed to be income which accrued in or was derived from Kenya under Section 10 (1) (i) of the ITA and subject to WHT under Section 35 (1) (m) of the ITA at the non-resident rate of 20% as provided in Paragraph 3 (o) of Head B of the Third Schedule to the ITA following the amendments to the ITA made by the Finance Act 2018.

iv. The Appellant failed to prove that the tax residency of TOM is in France and further failed to demonstrate TOM's underlying ownership or listing status at a stock exchange in France . In this case, the Tribunal is unable to be persuaded that the Kenya France Double tax Agreement could be applied to determine the taxing right s of Kenya on the demurrage paid to TOM and any preferential tax rate that could have otherwise been applicable on that income under the DTAA

v. Despite the WHT on demurrage being applicable for the tax periods from 1st July 2018 to 6th November 2019, the Respondent lacked the powers to collect and recover the WHT principal. tax, penalties and interest from the Appellant in these tax periods, following deletion of section 35 (6) of the ITA under section 9 of the Finance Act of 2016 effective from 9th June 2016.

COMMISSIONER GENERAL, UGANDA REVENUE AUTHORITY VERSUS AIRTEL (U) LIMITED, SUPREME COURT CIVIL APPEAL NO. 32 OF 2020

(Subject matter: VAT, Excise Duty, Penal Tax- Payment of penal tax pending determination of a matter filed in Court)

Brief Facts

The Respondent (Airtel (U) Limited) is engaged in the business of providing various telecommunication services and started operating in Uganda after acquiring the assets and assuming the liabilities of Celtel Uganda Ltd.

On 26th February 2004, the Appellant (Uganda Revenue Authority) issued Celtel with a tax assessment consisting of Excise Duty, VAT and Penal tax totaling to UGX. 1,024,209,566. Celtel had prior to its acquisition, accepted partial liability but disputed VAT of UGX. 358,652,458 and Penal Tax of UGX. 253,161,660, all totaling to UGX. 611,814,118.

Celtel lodged objections against the tax debt in the Tax Appeals Tribunal (TAT), which, upon consideration, dismissed the objection. Being dissatisfied with the Tax Appeals Tribunal's findings, Celtel lodged appeals in the High Court and Court of Appeal which appeals were dismissed and the decision of the Tax Appeals Tribunal upheld.

Upon acquisition of the assets and liabilities of Celtel in 2010, Airtel (U) Ltd opted to pay the unpaid tax balance left by Celtel of UGX. 428,269,883. However, the Appellant (Uganda Revenue Authority) informed Airtel (U) Ltd that, the unpaid tax had accrued interest during the pendency of the tax objection proceedings and therefore, the tax liability had increased to UGX. 1,555,836,915. Airtel disputed this increased tax liability, but went ahead to pay the same while reserving the right to challenge the validity of the assessment and the interest accrual, which it did through filing a suit in the High Court.

At the High Court, Airtel (U) Ltd sought for a declaration that the accumulated interest was unjust, that the assessment had been imposed contrary to the law and prayed for an order directing Uganda Revenue Authority to refund the sum collected with interest, general damages and costs of the suit.

The High Court found that the interest imposed by URA for failing to pay outstanding VAT by the due date as is stipulated under the VAT Act, was penal tax and therefore, there was no merit in Airtel's suit and dismissed it with costs.

Airtel (U) Ltd subsequently lodged an appeal in the Court of Appeal seeking for orders as to whether a taxpayer who objects to a tax assessment in the Tax Appeals Tribunal ought to be subjected to a penal tax in the event that the taxpayer's objection is subsequently dismissed.

The Court of Appeal consequently ruled in favor of Airtel holding that the due lodgment of an objection in the Tax Appeal Tribunal and payment of 30% of the disputed tax, suspends the requirement to pay the sum objected to, until the objection is dismissed.

It held that interest/penal tax does not accrue on the unpaid balance of the disputed tax during the pendency of the objection proceedings and any appeals arising therefrom.

Uganda Revenue Authority being dissatisfied with the findings of the Court of Appeal lodged an appeal to the Supreme Court detailing 6 grounds of appeal.

Issue for determination:

1. Whether the Court of Appeal gave the proper import of the relevant legal provision on penal tax in reaching its judgment

Decision/Learning Points

i. Section 65(3) of the VAT Act imposes a penal tax where a taxpayer does not pay tax on the due date.

   It goes without saying that a person notified of outstanding VAT and penal tax is obligated to clear his debt. The consequence of failure to clear one's debt is obviously that further penal tax will accrue.

ii. Section 14 of the TAT Act provides for appeals to the TAT while Section 15(1) of the TAT Act imposes procedural requirements that must be fulfilled before lodging the appeal to TAT. Basing on the language employed, none of these provisions provide for suspension of penal tax during the pendency of tax objection proceedings. The principle is that any such suspension may only be justified upon what is clearly stated in a statute and not by intendment

iii. The imposition of penal tax does not, perse, affect the right to fair hearing or the right to access to courts as the taxpayer is still permitted to institute court process despite the imposed penal tax. Article 44(c) of the 1995 Constitution was inapplicable in the present case. Penal tax is payable where a person fails to pay tax by the due date, which in this case is the date the person was served with an assessment. The person may choose to file objection proceedings but the penal tax will continue to accrue until the date of payment of the outstanding tax in full.

iv. If Parliament had intended for the penal tax to be suspended until after the conclusion of the tax objection proceedings and any appeals arising therefrom, it would have expressly stated so.

v. It is not for court to introduce a new position by intendment as the Court of Appeal, with the greatest of respect, did in the present case. It is not for the Court, while conducting statutory interpretation, to frame policy one way or the other. The Court must merely state the position of the law as it is.

vi. Tax penalties are aimed at ensuring compliance with tax laws thus where a person has failed to file timely tax returns which leads to retaining revenue that is due to URA and the public, penal tax serves the purpose of ensuring tax compliance in the future.

vii. The Court of Appeal erred in finding that accrual of penal tax is suspended during the pendency of tax objection proceedings as the finding is not supported by the relevant tax laws.

viii. The Court of Appeal therefore erred in ordering a refund of UGX. 1,555,836,915 paid by Airtel as unpaid VAT and penal tax thereon that accrued during the pendency of the tax objection proceedings.

The Supreme Court set aside the decision of the Court of Appeal, and reinstated the decision of the High Court dismissing Airtel's suit. URA was also granted costs in the Supreme Court and the Courts below.

GOLDMAX ADVISORY VERSUS UGANDA REVENUE AUTHORITY, TAT APPLICATION NO. 02 OF 2022

(Subject matter - Income Tax re-characterization of bank deposits as income)

Brief Facts

The Applicant is in the business of consultancy and hedge fund investments. In the Financial Year 2018/2019, the Applicant defaulted in filing an income tax return and was penalized UGX. 1,260,000. The Applicant objected to the penalty contending that it had engaged the Respondent and notified it of the failure to file its return. In support of its objection the Applicant furnished the Respondent with a copy of its bank statement.

The Respondent discovered that the Applicant had undeclared deposits amounting to USD 13,552 which was the equivalent of UGX. 50,638,375. In the Applicant's submitted financial statements, the Applicant had listed its capital as UGX. 10,000,000. The Respondent therefore treated the extra money on the Applicant's bank account as undeclared income and issued the Applicant with an additional Income Tax Assessment of UGX. 12,215,783.

The Respondent raised a preliminary objection that the Applicant had not objected to the additional assessment of UGX 12,215,783 and as such, was prematurely before the Tribunal in respect of the said assessment.

Issues for determination:

1. Whether the Applicant is liable to pay the taxes assessed?
2. What are the available remedies?

Decision/Learning Points

i. The second assessment of UGX 12,215,783 was issued as an additional administrative assessment. It was not necessary for the Applicant to lodge a separate objection to it as it was a continuation of the dispute in respect of non-filing of returns. The preliminary objection was therefore overruled.

ii. In respect of the first penal assessment, the Tribunal relied on Section 92A of the Income Tax Act which imposes on the Applicant a duty to file returns for every year of income and Section 21 of the Tax Procedure Code Act which allows the Commissioner to issue an assessment where a taxpayer fails to furnish a self-assessment for a tax period as required by the law.

iii. Where the Applicant fails to file its return through the Respondent's online channels, it ought to have served the Respondent with a hard copy of the same and ensured that the same was filed.

iv. The Applicant did not avail the Tribunal with any evidence that a hard copy of its return was ever served on the Respondent.

v. The Applicant waited for two years to pass before it sought a physical meeting with the Respondent to discuss the non-filing of its return.

vi. The Applicant was found liable to pay the penal tax of UGX. 1,260,000.

vii. In respect of the second assessment, it was the Tribunal's decision that the Respondent's attempt to recharacterized the Applicant's bank deposits as income is irrational because businesses are known to operate with amounts that are larger than what is stated as their share capital. Accordingly, the assessment of UGX. 12,215,783 was set aside.

The Application was partially allowed and each party ordered to bear their own costs of the suit.

GOLDSTAR INSURANCE LIMITED VERSUS UGANDA REVENUE AUTHORITY, TAT APPLICATION NO. 154 OF 2020

(Subject matter: Income Tax - WHT on Commissions, VAT-reinsurance services-exempt supply)

Brief Facts

The Applicant is a company incorporated in Uganda whose main business activity is the provision of insurance services. It cedes part of its business to re-insurance companies. It pays Withholding Tax to the Respondent based on the premium ceded minus what the Applicant referred to as a 'discount'. The Applicant contended that the alleged commission or discount is allowed by the re-insurance companies to cater for administrative expenses.

The Respondent conducted an audit on the Applicant for the period January 2014 to December 2018 and issued an Additional WHT Assessment of UGX 1,683,949,537 on the Applicant on the ground that the latter receives commissions. The Respondent also issued a VAT Assessment of UGX 376,815,272 against the Applicant on ground that the Applicant ought to have apportioned exempt and taxable supplies. The Applicant objected to the assessments and the Respondent disallowed the objections, hence the Applicant lodged this Application against the Respondent in the Tax Appeals Tribunal.

Issues for determination:

1. Whether the Applicant is liable to pay the WHT assessed?
2. Whether the Applicant is liable to pay the VAT Assessed?
3. What remedies are available?

Decision/Learning Points

i. Black's Law Dictionary defines insurance as a contract by which one party (the insurer) undertakes to indemnify another party (the insured) against risk of loss, damage or liability arising from the occurrence of some specified contingency.

ii. In order to mitigate risk and meet insurance claims, insurance companies including the Applicant reinsure the risks. They cede part of the business risks to reinsurance companies.

iii. Black's Law Dictionary defines 're-insurance' as insurance of all or part of one's insurer's risk by a second insurer who accepts the risk in exchange for a percentage of the original premium.

iv. Section 2 of the Insurance Act defines 'reinsurance business' to mean a business of undertaking liability to pay money to insurers or reinsurers in respect of contractual liabilities in respect of insurance business incurred by insurers or reinsurers and includes retrocession.

v. The term 'ceded' is defined in Black's Law Dictionary to mean to surrender or relinquish. This means that the Applicant surrenders a portion of its insurance risks or business to the re-insurer for an amount known as premium.

vi. The Applicant contended that the payment for premium for reinsurance services should not include what it called a 'discount' and the Respondent called a 'commission'.

vii. The Applicant submitted that when it reinsures risk, it is given a discount on the premiums to cater for administrative costs of the insurance.

viii. The problem that arises is that whereas a discount is a reduction from the full amount or value of something, it is not usually given to cater for administrative costs of a buyer.

ix. Discounts are usually given to cater for customer's loyalty, increase sales, acquire new customers, increase the perceived value of a product, improve reputation of a product, or free up storage space, etc.

x. If customers are given perpetual discounts year in year out, then it becomes something else. If a customer is always given back a portion of its price to meet its expense, calling it a discount may not be appropriate.

xi. A discount is given at the discretion if a seller or recipient but what the Applicant was given is an entitlement. The Respondent called the payment a commission. Insurance companies are not employees or agents of reinsurance companies.

xii. The more appropriate word would be 'fee' which is defined in the Black's Law Dictionary as a charge or payment for labour or services, especially professional services.

xiii. Section 118D of the Income Tax Act requires a resident person to withhold tax on the gross amount of the payment at the rate prescribed in the 3rd Schedule. It does not mention discount, commission or fee. The tax should be withheld on the gross amount.

xiv. As soon as one removes a discount, commission, fee or whatever one may want to call it, from the gross amount, it ceases being gross and becomes net. The Section requires that the gross amount should not be diminished.

xv. The audited financial statements of the Applicant for the year 2017 show the gross written premiums, the reinsurance gross premiums ceded, the net written premiums and income earned.

They show that the Applicant was deducting commissions.

xvi. The Applicant made deductions in the financial statements which it called commissions. If a commission is deducted from the gross premium, it ceases being gross amount. Therefore, it should be added back.

xvii. The Applicant ought to have withheld tax on the gross amount and is liable to pay WHT of UGX 1,683,949,537. In respect of VAT, Paragraph 2 (vi) of the 2nd Schedule to the VAT Act provides that a supply of reinsurance service is an exempt supply for purposes of Section 19.

xviii. The Applicant contended that reinsurance services were provided by companies that were non-resident and that they were exported services. The Applicant imported reinsurance services to Uganda and did not export them. The items insured and the insurers are in Uganda.

xix. For the fee, commission or discount paid to the Applicant, it is exempt. Where exempt supplies are made with standard or zero-rated supplies, there is need to apportion under Section 28 (7) of the VAT Act.

xx. The Respondent was justified to issue an additional VAT Assessment of UGX 376,815,272.

xxi. The Tribunal held that the Applicant is liable to pay WHT of UGX 1,683,949,537 and VAT of UGX 376,815,272.

The Application was dismissed with costs.

LIFE INSURANCE LIMITED VERSUS. COMMISSIONER OF LEGAL SERVICES AND BOARD COORDINATION: NAIROBI TAT 1031 OF 2022 C.I.C

(Subject matter-Income Tax-PAYE-Whether tied up insurance agents licensed under the Insurance Act are subject to PAYE provisions under the Income Tax Act)

Brief Facts

The Respondent conducted a desktop audit on the Appellant's operations for the 2016 to 2020 years of income and through a letter dated 24th February, 2022 demanded from the Appellant additional tax of Kshs. 115,736,234 consisting of Pay As You Earn ('PAYE'), Value Added Tax and Withholding Tax.

The Appellant and Respondent resolved the issues relating to VAT and WHT and only maintained one issue under dispute; PAYE relating to remuneration to tied agents. The Appellant objected the assessment vide a letter dated 22nd March, 2022. The Respondent issued an objection decision vide a letter dated 8th August, 2022 confirming the PAYE tax assessment and proceeded to demand tax of Kshs. 82,968,775.00.

The Appellant appealed raising various grounds inter alia that the Respondent has erred in principle by deeming insurance agents to be employees of an insurance company, contrary to Section 69(1) and (3) of the Insurance Act, which bars employees of an insurer from acting as insurance agents.

In support of its case, the Appellant argued that the Respondent deems insurance agents to be employees of an insurance company which is contrary to Section 69 (1) and (3) of the Insurance Act, which bars employees of an insurer from acting as insurance agents.

That the agents contracted, are duly licensed by the Insurance Regulatory Authority, and operate within the ambit of the Insurance Act. It is therefore direct contravention of the provisions of the Insurance Act for the Respondent to deem agents to be employees.

Section 2 of the Insurance Act defines an "agent" to mean "a person, not being a salaried employee of an insurer who in consideration of a commission, solicits or procures insurance business for an insurer or broker". These agents have been contracted by the Appellant to solicit and procure insurance business for the company, in consideration for a commission.

The Appellant further argued that the Respondent's case is based on allegation that insurance agents are controlled by the Appellant solely from review of contracts. This is however contrary to facts, since the contracts are express that those agents are independent contractors, there is no control by the Appellant of the time for reporting hours of work, place of work, agents operate on their own, and some have employees in their agencies.

The Appellant argued that insurance agents are subject to Withholding tax as per jurisprudence from Court of law including decision such as *Income Tax Appeal No. 22 of 2017, UAP Life Insurance Company Limited vs Commissioner of Domestic Taxes***.**

The Appellant therefore has complied with the Income tax Act and deducted and remitted to the Respondent all the withholding tax deducted from income earned by insurance agents.

The Respondent's case is that the Appellant was selected for review following an industry wide review on treatment of tied up life agents for PAYE and that the main issue in contention is whether tied up agents engaged as unit managers and agency managers are under Contract of Service or Contract for Service.

The Respondent carried out various tests to determine the nature of the relationship between the Appellant and its tied up agents namely; terms, control, and remuneration; and arrived at the conclusion that these terms were consistent with those of contract of service i.e employer-employee relationship between the Appellant and it's tied up agents.

From the review carried out, the sampled agreements between the Appellant and the tied-up agents revealed that the tied-up agents have specific terms and conditions.

Some of these specific terms includes the facts that the appointment of the tied-up agents is subject to satisfactory reference checks and completion of a six-month probationary period and that the parties reserve the right to terminate the agreement at any time without incurring any liability. The above terms of agreement are precise and fall within the ambit of a contract of service. The mere fact that the tied-up agents have an employment agreement with the Appellant makes them employees of the Appellant; as such, the Appellant is liable to pay PAYE for the tied-up agents.

With reference to exercise of control, it was evident that the Appellant exercises considerable control over its tied-up life agents which is consistent with a contract of service. Since the tied-up life agents are appointed by the Appellant with the expectation that they will work in a specific office (Westlands branch), perform specific tasks and report to their supervisors, the Appellant has some level of control over how the tied-up life agents go about performing their duties. Further, The Appellant provides a fixed place of work for its tied up life agents that restricts them with reference to location to the extent that the tied up life agents are not allowed to provide services in another location without the Appellant's permission. That part of the sampled agreements state that the Appellant reserves the right to allocate and redistribute branches/territories/areas as it deems fit which goes to show the extent of control that the Appellant exercises on its tied up life agents.

On the element of remuneration, the terms mirror that of an employment relationship. That the tied-up life agents get monthly retainers and override commissions at prescribed rates pegged on performance of their units. That this is consistent with a contract of service. Further, the Appellant treated its tied-up life agents in the same regard as its insurance employees. For instance, the Appellant provided the tied-up life agents a similar medical scheme to the one it provided for its employees. Similarly, the Appellant provided the tied-up life agents with group schemes (policies) and benefits such as loans similar to those of employees. That this goes to show that the Appellant considered its tied up life agents as insurance employees as well.

As such, the Respondent was well within its lawful mandate in charging the Appellant with PAYE.

Issues.

1. Whether the Appellant's objection was allowed by operation of the law
2. Whether tied up insurance agents licensed under the Insurance Act are subject to PAYE

Decision/Learning Points:

i. The Tribunal perused the documents filed by the parties and noted that in the Respondent's objection decision dated 8th August, 2022, it stated that it received final documents from the Appellant on 18th July, 2022. This averment was not rebutted by the Appellant. The Tribunal therefore could only conclude that indeed there must have been documents submitted by the Appellant on or about the said date.

ii. The Respondent issued the objection decision in response to the Appellant's objection dated 22nd March 2022 on 8th August 2022 after receipt of the final document from the Appellant on 18th July 2022. This was within the 60-day timeline provided under Section 51(11) of the TPA, and as such, the Appellant's objection was not allowed by operation of the law.

iii. For matters insurance, the Insurance Act is key in the same way the Income Tax Act is important in governing matters tax. Act. Accordingly, the analysis of the issue in contention flows from a harmonised understanding of the two statutes while recognising the primacy of each in insurance matters and tax matters respectively.

iv. The Income Tax Act neither defines the terms agent nor employee but defines the term "employer" to include any resident person responsible for the payment of, or on account of, emoluments to an employee, and an agent, manager or other representative so responsible in Kenya on behalf of a non resident employer. The Income Tax (PAYE) Rules define an employee to include an individual receiving emoluments in respect of any employment, office, appointment or past employment.

v. The Employment Act of Kenya is the substantive and primary legislation governing employment matters, and at Section 2 defines an "employee" to mean a person employed for wages or a salary and includes an apprentice and indentured learner and "employer" to mean any person, public body, firm, corporation or company who or which has entered into a contract of service to employ any individual and includes the agent. Supervisor, manager or factor of such person, public body, firm, corporation or company.

vi. It is clear that while the Income Tax Act and PAYE Rules subject employee emoluments to PAYE; it does not consider or bring agents within the ambit of employment. On the other hand, it is also clear that the Insurance Act in its definition of agent qualifies that an agent cannot be a salaried employee of the insurer.

vii. The Respondent has based its assessment on what it terms an employer employee relationship between the tied agents and the Appellant not on the basis of the unambiguous definitions in the two statutes but on the basis that agents' contracts afford the agent benefits that form the hallmark of contracts of services.

viii. This imputation of employer employee relationship is erroneous for a number of reasons namely:-

a. Parliament, the same body that passed both the Income Tax Act and the Insurance Act, in its wisdom deemed it fit to exclude insurance agents from the scope of employees and everything it pertains. The Insurance Act, the primary law applicable to insurance agents offers a way of treating these agents i.e they are not salaried persons and in turn the insurance companies that procure their salaries shall not employ these agents.; but rather compensate them for their services through commission and bonus. In contrast, the distinctive feature of employment is the presence of a salary, the primary element that attracts PAYE in the Income Tax Act.

b. The Respondent erred in law by failing to read the provisions of the Income Tax Act and the Insurance Act harmoniously in the light of the fact that the Income Tax Act fails to provide for treatment of insurance agents. The Respondent's argument that it can assign an artificial definition to a term as opposed to the statutory meaning is not tenable.

ix. Insurance agents are not employees of the insurance company.

x. The Tribunal therefore concludes that tied up agents are not liable to PAYE in line with the decision by the High Court in UAP Life Assurance Company Limited vs Commissioner of Domestic Taxes [20 19] eKLR and therefore the PAYE assessment was not justified.

Appeal allowed.

MOTOR HUB EAST AFRICA LIMITED VERSUS COMMSSIONER GENERAL TRA INCOME TAX APPEAL NO. 271 OF 2022.

(Subject matter-Income Tax-Taxation of a deemed Controlled Foreign Corporation)

Brief Facts

The Appellant was challenging the Respondent's final determination of objection against withholding tax on dividends of Tshs. 454,164,377.57 for the year of income 2018 on grounds among others, that the Respondent issued withholding tax on dividends without considering the Appellant's argument that she is not a foreign corporation hence not liable to tax. That the Respondent erred by holding that there was a distribution to non-resident shareholders TATA Africa Holding (Tanzania) Limited while the Appellant did not distribute profit to shareholders in the year 2018 and that the Respondent erred by holding that the Appellant was not in a loss position.

Issues for Determination

1. Whether it was correct in law and fact for the Respondent to impose tax liability of Tsh. 454,164,377.57 to the Appellant
2. Whether it was correct for the Respondent to declare that the Appellant is a Controlled Foreign Corporation (CFC)
3. Whether it was correct in law and fact for the Respondent to declare that there was profit distribution made to non-resident shareholders by the Appellant
4. What reliefs are the parties entitled to

Decision/Learning points

i. As per the law, a controlled foreign trust or corporation is a non-resident trust or corporation, which is owned by a resident person directly or indirectly through one or more, interposed non-resident entities.

ii. In terms of Section 73(2) of the Income Tax Act Cap 332, a CFC is treated as distributing its unallocated income to its members at the end of each year of income for purposes of taxation

iii. Section 73(2) makes cross reference to section 75. In terms of section 75(1) where a corporation becomes a CFC, in law it is treated as distributing its unallocated income for the year of income. Section 75(1) refers to Section 74(1) of the Income Tax Act which deals with unallocated income of a controlled foreign trust or corporation. The provision tells what is unallocated income of a foreign trust or corporation for purposes of tax.

iv. Section 75(3), (4) and (5) of the ITA provides for conditions for taxation of unallocated income of members of a controlled foreign trust or corporation. The same conditions in terms of sub section (6) apply to distribution by a resident corporation made to non-resident associate of the corporation as though the corporation were a controlled foreign corporation and the attributable income of the corporation were its total income of the year. In other words, as far as distributions by a resident corporation made to a non-resident associate of the corporation are concerned, the local corporation is treated or deemed a controlled foreign corporation. In terms of section 75(6) the Appellant is treated or deemed as a controlled foreign corporation and thus in terms of section 73 (2) and 75(1) the appellant is treated or deemed to have distributed to its non-resident associate its unallocated income.

v. The deeming of Resident Corporation as CFC in terms of section 75(6) read together with section 73, 74 and 75 of the Act is geared at taxing the unallocated income of the non-resident member of the resident corporation during the year of income. Distribution made by a resident corporation and its tax treatment is made clear under section 54 (1) (a) of the ITA which is to the effect that dividends distributed by a resident corporation shall be taxed in the hands of the corporation's shareholders in the form of final withholding tax.

vi. Regardless whether or not the appellant distributed profit to its non-resident shareholders by deeming the appellant as CFC under section 75(6) of the ITA, the Appellant is by operation of law deemed to have distributed profit to its non-resident shareholders.

vii. The Respondent was correct to impose a tax liability of Tsh. 454,164,377.57 to the Appellant

Appeal dismissed

PAN AFRICA ENERGY TANZANIA LIMITED VERSUS COMMISSIONER GENERAL TRA, APPEAL NO. 126 OF 2021

(Subject matter-Income Tax-disallowance of expenses=whether sufficient evidence were tendered to substantiate the expenditure=Burden of proof-requirements for shifting the burden of proof-Calculation of interest, penalty)

Brief Facts

The Appellant is challenging the decision of the Tax Revenue Appeals Board in respect of Income Tax Appeal No. 126 of 2021 which supported the Respondent's issuance of amended income tax assessment for year of income 2011. The Appellant was aggrieved by the decision of the Board which confirmed the Respondent's decision to disallow subscription and publication costs, advertising and public relations expenses and other traveling expenses. The appellant was also aggrieved by the respondent's decision of imposition of underestimation interest, late filing penalty and non-consideration of final tax payment made by the appellant amounting to TZS 3,285,179,493.41.

Issues for determination

1. Whether the Respondent was justified to disallow expenses claimed by the Appellant the Appellant's subscriptions and publication costs amounting to USD 79,292.
2. Whether the Respondent was justified to impose interest on the Appellant
3. Whether the Respondent was justified to impose late filing penalty

4. Whether the Board erred in law and fact by holding that the Respondent considered TZS 3,285,179,493.41 as tax paid by the Appellant in computing the alleged tax payable.

Decision/Learning points

i. The Respondent correctly disallowed expenses in respect of subscriptions and publication expenses amounting to USD 79,292. There is no evidence on record supporting the assertion that the subscription and publication costs incurred by the Appellant have a direct connection with the business of the Appellant and production of income for the year of income in question,

ii. It was the duty of the appellant as a tax payer to submit evidence to prove that the assessments issued was excessive as it was held in the case of Insignia Limited VS. Commissioner General, TRA, Civil Appeal No. 14 of 2007 (Unreported). The burden of proof is not at all time pressed to the tax payer.

iii. Although the burden of proof may shift to the respondent, the law does not press burden on the respondent to request the appellant for the documentation except where the respondent find it necessary to do so. It is the requirement that the appellant must produce any necessary document intending to prove that the assessment was wrong before shifting the burden to the respondent. The burden could only shift where it is proved that the tax payer supplied all required evidence to the Commissioner General who had failed to consider the same.

iv. In this present matter, the appellant did not submit the documents and want to cover herself with an excuse that the documents were not asked for by the respondent. this is an adverse shift of the burden to the respondent.

v. Apart from that, the records show that through exhibit A10 which is a proposal for settlement issued on 18th November 2016 the Appellant was informed that she did not substantiate the expenses. The appellant did not submit to the respondent any evidence until when the final decision was made on 25th January 2017 (exhibit A11). Thus the appellant cannot claim that she had no chance of presenting more evidence to prove incurrence of the expenses. After she learned in exhibit A10 that the evidence was not enough to support the claim, the appellant could have presented other evidence before final determination was made through exhibit

A11. Since no evidence was presented to substantiate the expenditure, the Board was correct to conclude that there was no proof that the expenses were incurred wholly and exclusively in the production of the appellant's income.

vi. Section 99(1) of ITA is clear that where the taxpayer's estimate or revised estimate of income tax payable for the year of income is less than 80 percent the taxpayer will be liable to pay underestimation interest. Thus, whether the tax payer paid part of the amount assessed, still will be punished for underestimating the payable tax. This is because, what is sanctioned here is the conduct of underestimating the tax payable for the year of income.

vii. Underestimation interest was correctly computed based on the tax payable for the year of income. The law is clear that, where tax underestimation is less than 80 percent of the correct tax, then the tax payer will be penalized for underestimating the tax payable. The fact that there was amount already paid does not exonerate a tax payer who had filed incorrect returns by underestimating the payable tax for the year of income. since the correct tax assessed was 7.6 billion, the appellant by declaring 3.9 billion under declared its tax payable by less than 80 percent hence liable for underestimation.

viii. Section 99 deals with underestimation interest and it describes the manner under which the same is to be charged underestimation interest is charged where the tax payer had under declared the tax payable for the year of income. The fact that a statement to that effect was not incorporated in the notice of adjusted assessment does not render the assessment incompetent. The issue of correct assessment is matter of law and noncompliance to the law entitle punishment. The appellant did not state how she was prejudiced by the lack of a statement stating that she under declared her tax payable for the year of income. Much as the provision is clear that the said interest is charged where there is underestimation interest of tax payable, one cannot claim that there were no reasons for assessment on underestimation interest. The assessment was in conformity with the provision of section 103(4) of ITA

ix. Section 98 of ITA 2004 governs the imposition of late filing penalty. Where there is late filing of the return, a tax payer will be liable for penalty for each month of delay and even for part of the month during which the failure continues. The computation of the penalty is based on the higher of 2.5% of the difference between the income tax payable for the year of income and tax paid by the start of the month or 10,000 for individual or 100,000 for corporate. The amount of 10,000 or 100,000 will only apply if such amount is higher than 2.5% of the difference between the income tax payable for the year of income and tax paid by the start of the month.

Appeal dismissed.

THALES LAS FRANCE SAS VERSUS COMMISSIONER GENERAL TRA INCOME TAX APPEALS NO. 24,25 &26 OF 2023

(Subject matter-Income Tax-Corporation Income Tax-Repatriated Income)

Brief Facts

Thales Las France (Tanzania Branch) "the Branch" is the branch of Thales Las France SAS, a company which was incorporated in France dealing with design, study, provision, industrialization, realization, manufacture, installation, maintenance, operation, sale and rental of radar surveillance systems and products. The Appellant was issued with a Certificate of Compliance in 2017 thus started conducting business in Tanzania. In this appeal the Appellant was challenging Corporate Income Tax for the year 2018 and 2019 and , assessed tax in respect of Repatriated Income for the year 2019.

Issues for Determination

1. Whether the Respondent was correct in law and fact in allocating off shore revenue for the years under review
2. Whether the Respondent was correct in law and fact to compute the taxable income for the years under review
3. Whether the Respondent was correct in law and fact in computation of the repatriated income
4. To what reliefs the parties are entitled

Decision/Learning Points

i. The Appellant being a Permanent Establishment (PE) of the Thales SAS (France) became legally chargeable to income tax for its income derived from execution of the contract in Tanzania as the same had a source in Tanzania subject to section 6(1)(b) and the offshore income of the Head office, Thales SAS France, is chargeable under section 71(5)(c) of the Income Tax Act Cap 332.

ii. Basing on the force of attraction Rule and the provisions of law the offshore revenue by Thales Las France SAS (France) derived in Tanzania whether or not the transactions are routed and performed through the PE is taxable in Tanzania as per the requirements section 71(5) and 71(5) (c) of the Income Tax Act. As peer the Force of Attraction Rule the provisions links the income earned by the Head Office to the income earned by the branch in Tanzania, that, where the owner (Head Office) of the PE (branch) carry activities of the same nature as those carried in Tanzania through the branch, hence, such income shall be treated as derived by the branch and taxed in Tanzania,

iii. The Appellant's act of non-inclusion of payments made by TCAA to the Head Office in the audited accounts leads to income splitting which is not permitted under section 34 of the Income Tax Act as the Appellant takes it as an arrangement for reduction of tax payable to the Respondent, which is not correct.

iv. The Respondent was correct in law and fact in allocating off shire revenue for the years under review

v. The Respondent was right in law and fact in computation of the taxable income. The Appellant had enough avenues to provide evidence to enable the Respondent to verify the expenses before establishing the taxable income but he failed. Under section 18(2)(b) of the Tax Revenue Appeals Act Cap 408, the onus of prove is upon the Appellant.

vi. There is no evidence adduced by the Appellant on repatriated income, this failure gave rise to the Respondent's adjusted computation on repatriated income, that includes the off shore income which was not reported and accounted in the Appellant's financial statements. The Respondent was correct in law and fact in computation of the repatriated income.

Appeal dismissed

TOTAL E&P INTERNATIONAL K1 LTD (KENYA BRANCH) VERSUS COMMISSIONER OF DOMESTIC TAXES: [2023] KETAT 143 (KLR).

(Subject matter: Income Tax-Treatment of recharge costs incurred by the taxpayer in furtherance of the Appellant's oil and gas exploration activities under the income tax Act; section 10 of the Income Tax Act; paragraphs 15 and 16 of the ninth Schedule to the Income Tax Act; Interpretation of article 14 and 24 of the Kenya –UK double Tax Agreement)

Brief Facts.

The Appellant is a Branch of Total E&P International K1 Limited, a private Limited Liability Company incorporated in the United Kingdom. The Branch is licensed to conduct oil and gas exploration and production activities in Kenya's South Lokichar basin, Turkana County and holds a Production Sharing Contract ("PSC') with the Government of Kenya.

The Respondent (KRA) carried out an audit on the Appellant's (Total E&P) tax affairs for the years of income 2016 – 2018, to ascertain the Appellant's compliance with the applicable Kenyan Tax legislation.

During the assessment period, the Branch was recharged various costs by the head office incurred in furtherance of the Appellant's oil and gas exploration operations in Kenya. These costs included service fees relating to technical, geological, engineering and centralized administrative support provided for the benefit of the branch operations. These costs were allocated to the branch by the head office in accordance with the Total Group's internal policy, which requires service entities to invoice operating entities directly, where services are provided to operating entities. The Respondent subjected the said Recharge costs paid by the Appellant to its Head office in UK to WHT at a rate of 12.5% pursuant to article 14(2) of the Kenya-UK DTA, resulting in the dispute herein.

The Appellant' case based on the following points:-

1.1 The cost allocations made by the Head Office to the Branch ought to be considered exempt from WHT in Kenya pursuant to proviso (ii) to Section 10(1) of the ITA. This position is premised on the fact that proviso (ii) to Section 10 (1) of the ITA is not conditional upon performance of the services by the head office; the only condition imposed is that the payment made, or purported to be made, be between a branch and its head office.

1.2 Under section 18(5) of the ITA, these cost allocations were treated as non-allowable in the branch's self-assessment return for the year of income 2018.

1.3 The head office recharges allocated to it fall within this definition of management fees to the extent that the same constitute payments in consideration for services of a managerial nature. Under Article 14(6) of UK – Kenya Double Taxation Agreement (DTA), the management fees are not taxable in Kenya since the services were performed offshore and thus not subject to WHT in Kenya.

1.4 The management fees arising in Kenya and paid to a resident of the UK are only taxable in the UK and the Respondent's attempt to impose tax at the rate of 12.5% without reference to the local legislation amounts to a misinterpretation of the provisions of the DTA

1.5 Paragraph 15 of the 9th Schedule to the ITA imposes a burden on petroleum contractors/ licensees to withhold tax at the rate of 5.625% with respect to service fees paid to non-resident subcontractors. Fees paid to a non-resident subcontractor for services provided to a licensee or contractor in respect of mining or petroleum operations amount to service fees taxable at the rate of 5.625%.

1.6 Since taxation of service fees is not expressly provided for in the Kenya – UK DTA, the same has to be dealt with under Article 24 of the DTA and thus Kenya does not have taxing rights.

Respondent’s Case based on the following points:-

3.1 The Appellant is a Branch licensed to conduct oil and gas exploration and production activities in Kenya's South Lokichar basin, Turkana County and holds a PSC with the Government of Kenya. The Appellant is therefore a contractor whose activities would be taxed under the 9th Schedule to the ITA.

3.2 The services provided to the Appellant were technical in nature and specific to the Appellant's extractive activities and the Appellant's head office in UK allocated and recharged the costs for the services to the Appellant. The Appellant's office recharges constitute management fees which under Kenyan legislation, are taxed in accordance with Section 15(7) (e) (iv B) and the 9th Schedule to the ITA.

3.3 The nature of the services offered to the Appellant are management fees that are technical in nature which fall within the definition of management fees under both the ITA and the Kenya - UK DTA. The Respondent subjected the recharges costs paid by the Appellant to its Head office in UK to WHT at a rate of 12.5% pursuant to article 14(2) of the Kenya-UK DTA.

3.4 The taxation of management fees paid by the Appellant are determined in accordance with the 9th Schedule and not Section 10 of the ITA. The proviso (ii) to Section 10(1) of the ITA is therefore inapplicable to the recharge cost paid by the Appellant to its head office.

3.5 The Appellant contradicted itself in arguing that the services were performed outside Kenya and at the same time stating that the services are exempt under local legislation.

3.6 The Article 24 of DTA is inapplicable since the income (management fees) is expressly mentioned in the DTA. The Respondent thus submitted that the Appellant has failed to discharge the burden of proof and the Appeal herein ought to be dismissed with costs.

Issues for Detrmination

1. Whether the Respondent erred in law and in fact in classifying the head office recharges as management fees.
2. Whether head office recharges are subject to Withholding tax in Kenya.
3. Whether the Respondent erred in law and in fact in subjecting the Appellant's recharges to Withholding tax at the rate of 12.5%.

Decision/Learning Points

i. The Appellant admitted that the recharges are management fees and thus the Respondent did not err in classifying the head office recharges as management fees.

ii. The Tribunal found that in the absence of any evidence adduced on the part of the Appellant to prove that the services were performed outside

Kenya, Article 14(6) of the Kenya-UK DTA does not apply and, to that extent, the Respondent did not err in subjecting the head office recharges to withholding tax in line with Article 14(2) of the Kenya-UK DTA.

iii. There is no ambiguity in Paragraphs 15 and 16 of 9th Schedule to the ITA as Paragraph 15 refers to taxation of subcontractors while Paragraph 16 refers to deduction of withholding tax by contractors. The Appellant in this matter is a contractor and the applicable rate of withholding tax is therefore that specified in Paragraph 16(d) to the 9th Schedule to the ITA.

iv. The Respondent did not err in subjecting the Appellant's recharges to Withholding tax at the rate of 12.5%. The Tribunal thus found the Appeal to be without merit, dismissed the same and upheld the assessment.

Appeal dismissed.

UGANDA REVENUE AUTHORITY VERSUS JACOBSEN UGANDA POWER PLANT CO. LTD, HIGH COURT CIVIL APPEAL NO. 26 OF 2018.

(Subject matter – Income Tax, Withholding Tax VAT – taxation of expenses incurred in respect of staff air tickets, accommodation and per diem)

Brief Facts

The Appellant carried out an audit of the Respondent and imposed an assessment of UGX. 5,351,374,339 in unpaid VAT and Withholding Tax. The Applicant objected and the tax liability was revised to UGX. 2,369,047,723, hence an application to the Tax Appeals Tribunal. The Tribunal held that the tax was not applicable to the expenses of the Respondent and its staff in respect of costs incurred for air tickets, accommodation and per diems incurred while providing management services to the Respondent. The Appellant was aggrieved an appealed to the High Court.

Issues for determination

1. Whether the Honourable Members of the Tribunal erred in law when they failed to properly evaluate the evidence on record and ruled that the Appellant was not justified in charging Withholding Tax on the payment of 15,000 Euros made by the Respondent to JELCO.

2. Whether the Honourable Members of the Tribunal erred in law when they failed to properly evaluate the evidence on record and relied on speculation that it is doubtable that all the payments for the air tickers were sourced in Uganda.

3. Whether the Honourable Members of the Tribunal erred in law when they failed to properly evaluate the evidence on record and ruled that the Appellant

was not justified in charging VAT on the Respondent.

Decision/Learning Points

i. The reimbursed Euros 15,000 per month were not paid as consideration for services provided by JELCO but rather as reimbursement of expenses already incurred by JELCO in rendering services to the Respondent.

ii. These expenses cannot be categorized as management charges. The record shows evidence of the travel costs, hotel expenses and per diem incurred by JELCO staff.

iii. No deduction is allowed for any expenditure or losses incurred by the non-resident person deriving that income.

iv. The 15,000 Euros to JELCO was a reimbursement of expenses incurred by non-resident persons in deriving income and does not become income because it is reimbursable.

v. The 15,000 Euros to JELCO not having been a dividend nor a royalty, natural resource payment nor a management charge, but a reimbursement of expenses incurred in deriving income, could not attract tax.

vi. The Appellant was not justified in charging Withholding Tax on the payments of 15,000 Euros made by the Respondent to JELCO.

vii. The evidence on record shows that all JELCO's air tickets were procured from Norway and paid for by JELCO.

viii. Appendix 1 of the Management and Services Agreement entered into between JELCO and the Respondent provided that JELCO would invoice the Respondent with the travel costs such as air tickets, hotel expenses, per diem and other travel costs incurred by personnel assisting the Respondent, estimated to be in average 15,000 Euros per month.

ix. The fact that the said costs were to be invoiced to the Respondent by JELCO shows that JELCO had already paid for them and all that the Respondent was doing was to reimburse JELCO for the expenses incurred.

x. All the air tickets in issue originated from Norway not Uganda. The Members of the Tribunal were right in holding that an expense does not become income because it is reimbursable. It still remains an expense which is not taxable.

xi. The Tribunal correctly assessed that not all the payments for the air tickets were sourced in Uganda. According to Appendix 1 of the Management and Services Agreement, it was agreed that the Respondent was to pay JELCO a monthly fixed amount of Euros 35,000 for the services provided.

xii. This was a payment being made by the Respondent to JELCO for the services rendered to the Respondent which, in effect, was a payment for the supply of imported services.

xiii. Appendix 1 provides that JELCO was to invoice the Respondent for the travel costs incurred in assisting the Respondent and the same was to be estimated to be a monthly average amount of Euros 15,000. This was duly done and the Respondent accordingly reimbursed JELCO for the said expenses.

xiv. The refund of Euros 15,000 disbursements falls outside the scope of Sections 1(j) and 4(c) of the VAT Act as it is not in respect of any imported services that were supplied by JELCO to the Respondent.

xv. VAT should be charged based on the place of supply of the goods or services rather than the location of the supplier customers.

xvi. Even if the disbursements were in respect of expenses incurred in furtherance of economic activity in Uganda, the place of supply of the services, specifically the air tickers, was Norway.

xvii. VAT ought to have been already charged and collected at the point and time of consumption of the goods and services which in the case of the air tickets was in Norway and in the case of the hotel accommodation, at the respective hotel where the money was expended.

xviii. There was no justification nor legal basis for the Appellant to have charged VAT on the Euro 15,000. The Tribunal rightly found so.

The decision of the Tax Appeals Tribunal was upheld. The Appeal failed and costs were awarded to the Respondent.

UGANDA REVENUE AUTHORITY VERSUS MUKWANO ENTERPRISES LIMITED; HCCA NO. 55 OF 2019

(Subject matter: Income Tax- lease rent and premium payments are capital expenditure or revenue expenditure and non-deductible or not)

Brief Facts

URA issued Mukwano Enterprises Ltd an assessment for Corporation Tax amounting to UGX. 3,250,011,968. The basis of the assessment was the Appellant's rejection of expenses claimed by the Respondent relating to amortization of lease acquisition amounting to UGX. 3,666,318,000 as a revenue expense and yet the Appellant considered this a capital expenditure.

Out of the total tax assessed of UGX. 3,250,011,968= the Respondent agreed to pay UGX. 905,660,180= but objected to the tax of UGX. 2,344,351,788.

Issue for determination

1. The issue for determination was whether the lease rent payments are capital expenditure and non-deductible or not.

Decision/Learning Points

i. Expenditure for acquisition of land is typically treated as a capital expenditure since land is a fixed asset.

ii. Mukwano Enterprises Ltd developed the land with residential holdings and then rented them out to the public for a profit. It remained as a registered proprietor of the leases and continues to derive rent from them.

iii. The leases could amount to a mere stock in trade since they are a fixed asset of the Mukwano's business. Therefore, the money paid to acquire them constituted a capital expenditure which cannot be deducted from the Respondent's gross Income Tax computation.

iv. Consequently, the appeal succeeded in part and the matter was remitted back to URA to allow rent payments as deductions and to disallow premium payments as capital expenditures. URA was also ordered to issue a revised additional assessment to the Respondent.

UGANDA REVENUE AUTHORITY VERSUS SKENYA MOTORS (U) LIMITED, CIVIL APPEAL NO. 3 OF 2014 (ARISING FROM TAT APPLICATION NO. 7 OF 2012)

(Subject matter- Income Tax- Re-characterization of transaction)

Brief Facts

The Respondent made payments to its directors, Mr. Nyanzi Nathoo and Mr. Bashir Nurali in the sums of UGX. 390,000,000 and UGX. 712,500,000 for the years 2008 and 2009 respectively. The said directors are also shareholders of the Respondent Company. The Appellant queried the tax treatment of the directors' bonuses, re-characterized the payments as a return on the shareholders' investment, and taxed it as a dividend.

The Respondent objected to the tax treatment of the bonus payments received by its directors. The Appellant made an objection decision maintaining its decision to re-characterize the bonus payments as dividends, vacated the penalties imposed under Section 151 but maintained those under Section 154 of the Income Tax Act (ITA). The Applicant then filed Tax Appeals Tribunal Application No. 7 of 2012 challenging the same.

The Tribunal delivered a majority Ruling in favour of the Respondent to the effect that the nature of the payments to the directors was a bonus; that the Respondent had no justification to re-characterize the payments under Section

91 of the ITA and that the issue of penalty under Section 154 was redundant.

However, in a minority ruling, the Chairman of the Tribunal held that the Respondent failed to prove that the directors were paid a bonus; that the shareholders received a percentage of the profits of the company; the Commissioner was justified to re-characterize the payments under Section 91 of the Income Tax Act; and that the Respondent is liable to pay penalty under Section 154 of the Income Tax Act.

Isssues for Detrmination

1. Whether the Honourable members of the Tribunal erred in law when they failed to properly evaluate the evidence on record and ruled that the nature of the payments made to the Directors was a bonus.
2. Whether the Honourable members of the Tribunal erred in law when they ruled that, there was no tax avoidance scheme to justify the Appellant to re-characterize the payments under S. 91(1) (a) of the Income Tax Act.
3. Whether the Honourable members of the Tribunal erred in law when they failed to properly evaluate the evidence on record and ruled that the payments made to the directors were not disguised payments, the form not reflecting the

substance, to qualify for re-characterization under S. 91(1) (c) of the Income Tax Act.

4. Whether the Honourable members of the Tribunal erred in law when they ruled that the issue of the penalty imposed there under was redundant.
5. Whether, the Honourable members of the Tribunal erred in law when they found that it is not the Appellant's business to ensure that its taxpayer companies comply with the Companies Act.

Decision/Learning Points

i. The impugned payments were not bonuses as the Respondent had submitted. By making such un-authorised payments in 2008 and 2009 and later in 2010 attempting to make good the position, this was an afterthought by the Respondent intended to fix the anomaly and justify the said payments as bonuses. It was a well-calculated scheme intended to avoid payment of taxes.
ii. The Respondent agreed to the fact that there was a penalty to be paid and went ahead to seek a waiver from parliament which was denied. Since URA was right to re-characterize the transaction, the Respondent was liable to pay penalty.

iii. The Respondent ought to comply with existing laws including the Companies Act, which does not create a tax obligation.

The Appeal succeeded on all grounds.

UNILEVER TEA TANZANIA LIMITED VERSUS COMMSSIONER GENERAL (TRA) TAX APPEAL NO. 22 OF 2022.

(Subject Matter-Income Tax-factors to consider inorder to determine whether the price is at an arms length-disallowance of costs)

Brief Facts

The Appellant is a limited liability company incorporated under the laws of Tanzania working for gain in growing, processing and exporting tea leaves. The Appellant sold 70% to 80% of its tea leaves to her related party, Unilever Asia Private Limited (UAPL) and the remaining percentages to third parties.

The Appellant conducted transfer pricing study applied the Comparable Uncontrolled Price (CUP) to determine the arm's length price of the transaction between her and UAPL. The study compared the price of tea sold by the Appellant to UAPL and the price of tea sold by the Appellant to third parties and concluded that the price of tea sold to UAPL was at an arm's length. The Respondent agreed with the use of CUP as the most appropriate method. However, the Respondent compared the price of tea sold by the Appellant to UAPL with the average price of tea from different origin sold by other Companies at the

Mombasa auction where the Appellant also traded and formed a view that the price of tea sold to UAPL was not at arm's length. The basis of the Respondent's view was that, the tea sold by the Appellant to UAPL is of the same quality as the tea sold by other companies at Mombasa auction. Therefore, according to the Respondent, the price of tea fetched at Mombasa auction can be used to determine the arm's length pricing of the tea the Appellant sold to UAPL. The Respondent adjusted the price of tea sold by the Appellant to its related company by using the average price of tea in Mombasa auction. The Board agreed with the Respondent's transfer pricing adjustment and disallowance on marketing costs, strategic, operational management support services, and day care expenses incurred by the Appellant. The Appellant, aggrieved by the decision, preferred an appeal to the Tribunal.

Issues for determination

1. Whether the Appellant's tea fetched high price in the Mombasa tea market
2. Whether the day care expenses were incurred wholly and exclusively in production of the Appellant's income
3. Whether the Respondent was correct to disallow expenses on strategic and operational management support services

Decision/Learning points

i. The comparability factors are characteristic of property or services, Functional analysis, contractual terms, economic circumstances and business strategy.
ii. While the Appellant's tea is of high quality as compared to other tea growers in Tanzania, the quality and price of tea from other countries at the Mombasa auction has higher quality compared to that from Tanzania. The quality of tea sold to UAPL was not comparable to the quality of tea sold by the Appellant to Mombasa auction.
iii. The comparability test of internal CUP used by the Appellant was correct as opposed to the external CUP used by the Respondent
iv. Establishing a day care was not a compulsory requirement hence, the Respondent correctly disallowed the costs.
v. The Board correctly disallowed marketing expenses. The Appellant was selling 70 to 80 percent of its tea to its associate thus; she was not responsible for marketing costs in relation to sells to its associate. The remained portion was sold in Mombasa where services of the auctioneer was employed meaning that sales and marketing costs were unnecessary.
vi. The Board correctly disallowed expenses on strategic and operational management support

services. The Appellant did not provide proof to show that the services were actually rendered.

Appeal partly disallowed

The Application was dismissed with half-costs to the Respondent.

DE LA RUE CURRENCY AND SECURITY PRINTY LTD VS THE COMMISSIONER OF DOMESTIC TAXES: [2023] KEHC32 (KLR

(Subject matter: Jurisdiction of domestic dispute resolution mechanism laid out by national laws where a Double Tax Agreement provides for settlement of disputes through MAP; Whether Royalty payments would arise where the taxpayer is unable to show the additional support or knowhow received from the external related party; Role of a letter from National Treasury on the taxability of Royalties.*)*

Brief Facts

This is an Appeal by the Appellant on the Tax Tribunal's decision of 25th June 2021, upholding the Respondent's objection decision dated 2/11/2018 confirming the assessment of taxes amounting to **Kshs. 1,106,043,698**/-.

The Appellant's case before the Tribunal was that the appellant is a Company registered in Kenya but is part of the De La Rue Plc Group. In 2002, it signed a contract with the Central Bank of Kenya (CBK) for manufacture of bank notes for the latter. That De La Rue International Limited (**DLRI)** as a bank note manufacturer is involved in continuous research and development to avoid the risk of counterfeit bank notes. In undertaking the said research and development, **DLRI** owns intellectual property which is used in the bank notes manufacturing business. That the appellant entered into a Know-how and technical Assistance Agreement **DLRI** for which it was paying royalty. That 15% withholding tax had been paid on the said royalties to the Respondent. That in the premises, the Respondent should not have brought to charge the royalties paid to **DLRI,** as this amounted to double taxation.

The Tax Tribunal dismissed the Appellant's case, who consequently appealed to the High Court, arguing that the Tribunal erred in holding that the Appellant was not a licensed contract manufacturer for De La Rue International Limited **("DLRI")**; disregarding the Know-how and technical Assistance Agreement and acknowledging that no evidence had been submitted of the assistance provided by **DLRI;** and disregarding the letter dated 13/10/2017 by the National Treasury, which granted the approval of the Know How License and Technical Assistance Agreement and the transfer pricing arrangements of the appellant and DLRI.

The appellant contended that there was no bar for a fully-fledged manufacturer paying for IP rights in fulfilment of the contract. It was also submitted that the appellant was a DLRI contract manufacturer for export work. That the appellant and DLRI entered into a Know how License and Technical Assistance Agreement for the manufacture and sale and distribution of bank notes to the CBK, and that agreement demonstrated that DLRI was involved in the manufacturing process of the bank notes and the use of DLRI'S intangibles by the appellant. That the evidence presented to the Tribunal showed that the appellant did not have a design team or function in charge of the development and protection of De La Rue's intangibles thus the appellant relied on DLRI for development, enhancement, maintenance, protection and exploitation. The appellant's contention was that the services it obtained from DLRI justified the royalty payment.

The Respondent opposed the Appeal arguing that the appellant's main business was to print bank notes and security documents. That in Kenya, the appellant manufactured bank notes for the CBK and printed security documents to local commercial banks. That the Tribunal did not err in holding that the appellant was a manufacturer in the contract between the appellant and the CBK and that there was no evidence showing that **DLRI** was a party to the said contract. That the appellant was the owner and manufacturer of the CBK bank notes under its own name and with regard to DLRI, the appellant was only a contract manufacturer of the bank notes for DLRI customers. That in the CBK contract, the appellant was a full-fledged manufacturer and it had not assigned any of its rights to **DLRI.** Although the appellant had entered into a Know how license and Technical Assistance Agreement with **DLRI**, there was nothing to show that in its contract with CBK for the manufacture of bank notes, **DLRI** gave any license for the same.

The Respondent further argued that the appellant did not avail evidence to show that there was some additional support or knowhow received from **DLRI** or that the latter was involved in the manufacturing of the notes for CBK. The appellant had established the know how over the

many years of experience even before the Know how License and Technical Assistance Agreement came into force. Also, prior to the agreement, the appellant was still able to manufacture and sell banknotes to CBK. That the letter from Treasury sought to govern the relationship between the parties and not the taxability of royalties.
Lastly, the Respondent argued that contended that MAP should not be the only dispute mechanism as the mechanisms in the Tax Procedures Act (TPA) ought to be exhausted first.

Issues:

1. Whether by virtue of Article 29 of the Kenya and United Kingdom Double Tax Agreement, the Tribunal lacked jurisdiction to hear and determine the Appeal as the Appellant had already invoked MAP.

2. Whether the Tribunal erred in holding that the Appellant was not a licensed contract manufacturer for DLRI.

3. Whether the Tribunal erred in disregarding the Knowhow and technical assistance Agreement and acknowledging that no evidence had been submitted of the assistance provided by DLRI.

4. Whether the Tribunal erred in disregarding the letter dated 13/10/2017 by the National Treasury.

5. Whether the Appellant could claim the 15% withholding tax, withheld by the appellant on behalf of DLRI

Decisions/Learning Points

i. This being a first Appeal, the Court is enjoined to re-evaluate the evidence presented in the court below and come to its own independent findings and conclusions.

ii. Looking at Article 29 of the Double Tax Agreement between Kenya and the United Kingdom, it is clear that MAP is to be resorted to notwithstanding any remedies available in the contracting state. The use of the terms "**shall endeavor**" makes the process permissive and not mandatory. In any event, MAP is to be resorted to if it appears to the competent authority that the objection is justified and itself is not able to arrive at an appropriate solution.

iii. Notwithstanding that MAP had been resorted to, there is no evidence to show that the respondent had found the appellant's objection to be justified and that the respondent was not able to arrive at an appropriate solution. The Respondent applied the Kenyan Tax Statutes and in her view resolved the issue, by way opf tax assessment and objection decision.

iv. Since the filing of the appeal before the Tribunal is the procedure laid down by the law, and there being no provisions either in the DTA or OECD or UN commentaries that oust the national legal provisions, the Tribunal had the jurisdiction to hear the matter.

v. While MAP is important, it is not a bar to the domestic procedures laid out by the national laws. If anything, the interests of justice would be to allow parties to elect the forum where their disputes are to be adjudicated. The appellant invoked both the MAP and the Tax Appeals Tribunal. The Tribunal's jurisdiction having been invoked in accordance with the law, it properly exercised the same and cannot be faulted for refusing to abdicate the same.

vi. The Contract for manufacture of bank notes was between the Appellant and CBK. The Contract does not indicate DLRI as having any role to play in the aforesaid manufacture and or performance of that contract.

vii. The contract tasked the appellant with the production of the bank notes and in the event the notes did not meet the conditions specified in the contract, the appellant would assume the risk. The appellant assumed all the risks associated with the performance of that contract. Therefore, from the contract, and on the description of "a fully-fledged manufacturer" under paragraph 9.50 of the OECD Transfer Pricing Guidelines 2017, it is evident that the appellant was a full-fledged manufacturer.

viii. It is not disputed that the appellant and DLRI entered into a Know how License and Technical Assistance Agreement in the year 2010. The agreement was to the effect that the appellant would pay royalties to DLRI for the additional support and know – how received in performance of the Kenya CBK contract.

ix. While the appellant was at liberty to source the license from DLRI, the question that is apparent is whether the said services were actually given and whether the appellant benefited from the said agreement as alleged. It was not enough to allege that the appellant was heavily reliant on the process IP and product provided by DLRI, the appellant ought to have clearly demonstrated what changed after the agreement.

x. The contract between the appellant and the appellant was full proof, i.e. CBK retained IP on the bank notes, the quality was specified and everything that was to be manufactured by the appellant.

xi. There was no mention in that contract about the involvement of DLRI in any capacity. There was no issue of the appellant having to acquire and or seek the expertise of DLRI or any other entity thereafter.

xii. There was no evidence to show that, after the Know how License and Technical Assistance Agreement, the appellant acted any different way than it was before entering into that agreement. The question is, what was added into the contract of manufacture between the appellant and CBK after the Know how License and Technical Assistance Agreement? Nothing. If there was any, the same was not demonstrated either to the Tribunal or to this Court.

xiii. The so-called embedded additions by way of research and development by DLRI, that was encapsulated in the cost of the bank note paper that DLRI sold to the Appellant and nothing more. In the circumstances, the payment of royalty for the same was but a double payment. Accordingly, there was no error on the Tribunal's holding on this issue.

xiv. The Letter dated 13/10/2017 by the National Treasury confirms that the letter was not an endorsement or acknowledgement that the so-called License agreement was binding on both the CBK and the Respondent. The Letter confirms that the National Treasury was satisfied with the terms of the Know-how License and Technical Assistance Agreement and pricing agreement.

xv. That letter could not be taken to be a tax decision on which any party could or can rely on to exclude the application of the tax law.

xvi. The Appellant cannot claim the 15% Withholding Tax that it withheld on behalf of DLRI. It is DLRI to claim the same before the competent authority in its territory of operation, UK. There was no evidence to show either that DLRI had not claimed the same in the UK or that it had claimed and the same rejected.

Appeal dismissed with costs.

PUMA ENERGY TANZANIA LIMITED VERSUS COMMISSIONER GENERAL TRA, CUSTOMS AND EXCISE TAX APPEAL NO. 10 OF 2023

(Subject matter-Jurisdiction-Whether the Board has jurisdiction to entertain an appeal not arising from the Commissioners decision)

Brief Facts

On 20th May 2022 the Ministry of Finance and Planning introduced a subsidy for part of import duties payable by oil marketing companies at the time of importing fuel in order to regulate the fuel prices as an effort to protect consumers from the effect of international energy price crisis. The subsidy was applicable to fuel imported into Tanzania effective from 21st May 2022. At the time the ministry issued the directive, the appellant had a fuel in stock, the appellant did not enjoy the subsidy at the time of importation and therefore import duties on the same were already paid.

However, following the directive and cut-off date, the appellant had to sell the fuel in stock at the prescribed price that had considered the subsidy and consequently ended up incurring a loss of TZS 10,421,054,718. As the appellant was unable to recover the duties paid from the final consumers as was the case before the directive, on

08th July 2022 the appellant requested the respondent to refund import duty that the appellant had paid on fuel that was already on stock as of 21st May 2022.

On 17th August 2022, the respondent responded to the appellant that, the appellant was not eligible for compensation of import duties based on the fact that the ministry's directive indicated that the subsidy was to apply on fuel imported from 21st May 2022.

Aggrieved by the Respondent's decision, the Appellant applied for extension of time to file a review pursuant to section 229(3) of the East African Community Customs Management Act (EACCMA) 2004. The respondent, disregarded the application and proceeded to respond to the underlying issue and confirmed his initial decision of 17th February 2023. The appellant was aggrieved, hence lodged an appeal to the Board. The Respondent filed a notice of preliminary objection.

Issues for determination

i. Whether the Board has jurisdiction to entertain an appeal in terms of section 230(1) of the East African Community Customs Management Act, 2004.

ii. Whether the appeal is premature for lack of review decision of the commissioner.

Decision/Learning points

i. In principle, for customs related disputes, an appeal to the Board results from the commissioner's decision on an application for review, and an appeal that does not originate from the commissioner's decision on an application for review made under section 229 of the EACCMA, 20024 is incompetent before the Board.

ii. The appellant did not fully exhaust the review process under the EACCMA, 2024, in principle and law, the appellant cannot invoke the jurisdiction of the Board or be it as it may be "*inherent powers of the Board*" to entertain or determine its appeal, which the record is apparently clear that, does not originate from the commissioner's review decision made under section 230 (1) of the EACCMA, 2004.

iii. The Tribunal find the respondent's preliminary objection is on pure point of law, and such, it is upheld. The Board has no jurisdiction to entertain the appellant's appeal, which does not arise from the commissioner's decision on an application for review, and as such, it is premature before the Board.

Appeal dismissed.

COULSON HARNEY LLP VERSUS KENYA REVENUE AUTHORITY: NAIROBI HCJRMISC/E114/2023:

(Subject matter-Procedure-exhaustion of alternative procedures and remedies available to an applicant under the Tax Procedures Act and Tax Appeals Tribunal Act prior to seeking judicial review reliefs.)

Brief facts

The Applicant filed an application seeking leave of the Honourable court to file a substantive motion for the orders of certiorari, prohibition and mandamus. The application was brought under Article 47 of the Constitution; sections 7 to 9 of the Fair Administrative Action Act, 2015; Order 53 Rule 1 of the Civil Procedure Rules; Rule 25 of the Civil Procedure (Amendment) Rules. The specific orders sought were

a) an order of CERTIORARI directed at the Respondent to bring to this Court for purposes of being quashed the Respondent's decision dated dated 14 September 2023 purporting to be a valid Objection Decision, and demanding an amount of KES 88,632,475 (Tax Demand) being corporate income tax from the Ex Parte Applicant in respect of the 2017 year of income;

b) an Order of PROHIBITION be issued prohibiting the Respondent from issuing any further Tax Demands for the alleged corporate income tax amounting to KES 88,632,475, the same having been set aside by operation of the law pursuant to Section 51(11) of the Tax Procedures Act;

c) an order of MANDAMUS compelling the Respondent, to immediately withdraw the letter to the Ex Parte Applicant dated 14 September 2023 as the same has no force of law, and consequently vacate the Assessment in relation to which the alleged Objection Decision was issued;

d) a DECLARATION that the Ex Parte Applicant's Objection dated 20 July 2023 against the Respondent's Assessment dated 22 June 2023 is deemed to be allowed and successful by operation of the law pursuant to section 51(11) of the Tax Procedures Act, 2015, the Respondent having failed and /or declined to issue an Objection Decision within the statutory stipulated period of sixty (60) days;

e) a DECLARATION that the Respondent, in purporting to issue the Objection Decision has abrogated the Ex-parte Applicant's rights to fair administrative action, as guaranteed under Article 47 of the Constitution and as provided for under sections 3, 4, 5, 6 and 7 of the Fair Administrative Action Act; and

f) a DECLARATION that in the exercise of its powers as vested in it by statute and otherwise, the Respondent has failed to comply with the requirements and tenets of fair administrative action contrary to the provisions of section 5, 6 and

7 of the Fair Administrative Action Act and Article 10 of the Constitution;

g) The grant of leave do operate as stay restraining the Respondent from further enforcing and executing the Tax Demand dated 14 September 2023.

On 9th October 2023, the Respondent emailed the Applicant informing the Applicant that it had made an objection decision to the Applicant's objection to an assessment of corporate income tax for 2017. The applicant was, therefore, required to withdraw its assertion that the objection decision was not issued within the stipulated timeline as prescribed under the Tax Procedures Act 2015. The Respondent's 9th October 2023 letter was in response to the applicant's letter of even date in which the applicant notified the respondent that the applicant had filed its objection on 20 July 2023 objecting to the assessment. The assessment had been done on 22 June 2023. The Applicant argued that pursuant to section 51(11) of the Tax Procedures Act, the Respondent was required to respond to the objection within sixty days of receipt of the objection. Since the objection was deemed to have been validly filed on the filing date, the objection decision ought to have been made on or before 18 September 2023. But because the applicant had not received any decision by this date, its objection is deemed to have been accepted by the operation of the law pursuant to the provisions of section 51(11) of the Tax Procedures Act.

The Respondent opposed the application stating that it issued its audit findings or formal assessments and asked the applicant to settle the outstanding tax liability of Ksh 110,839,972. The Applicant objected to the assessment on 20th July 2023, where after the Respondent issued its decision on or about14 September 2023, on the outstanding tax liability which reduced from Kshs 110,839,972 to Kshs. 88, 632,475. This decision was communicated to the applicant through its email address.

The Respondent further argued that the dispute between it and the applicant was a tax dispute and, therefore, the provisions of the Tax Procedures Act, 2015 and Tax Appeal Tribunal Act, 2013 applied. It follows that the applicant ought to have challenged the objection decision or any other incidental tax dispute at the Tax Appeals Tribunal in accordance with section 52 of the Tax Procedures Act since the decision is "an appealable decision" as defined in section 3 of the Act. That the issue of an objection decision being issued out of time or the legality of the decision in any other respect is a matter, which the Tax Appeals Tribunal would be seized of to determine. That that under the doctrine of exhaustion, a person challenging an agency decision must first of all exhaust the alternative remedies before seeking to invoke judicial review proceedings. In the instant application, the applicant has not demonstrated any justification why it should be exempted from the mandatory and directory provisions of the Fair Administrative Action, Act, 2015. That the Applicant had not shown that the statutory provision providing for an alternative forum for dispute resolution is not effective or why the Applicant cannot obtain an effective remedy from the Tax Appeals Tribunal. The Applicant had also filed an appeal with the Tax Tribunal against the Objection decision.

Issues for determination.

1. Whether the Applicant ought to have exhausted the Procedures and the remedies provided under the Tax Procedures Act and the Tax Appeals Tribunal Act.

2. Whether the Applicant should be exempted from exhausting alternative procedures and remedies under statute.

Decision/Learning Points:

i. Two concessions had been made by the Applicant in the determination of the Application namely:- firstly, everything else being equal, it ought to have invoked the appellate mechanisms prescribed by the Tax Procedures Act and the Tax Appeals Act before approaching this Honourable Court, hence reason why its is seeking exemption in the first place; and secondly, the Applicant has filed an Appeal with the Tax Appeal Tribunal.

ii. As much as the Applicant has invoked section 9(4) of the Fair Administrative Action Act, to seek exemption, there is no specific prayer for exemption in the motion under consideration.

iii. Section 9(4) is clear that it is only "in exceptional circumstances and on application by the applicant" that one may be exempted. Failure by the applicant to make a specific prayer for exemption would render its application defective and incompetent and, would, on that account alone, fail.

iv. That is however, a moot point because the window for exemption under section 9(4) is only open to an applicant who would be entitled to apply for judicial review in the first place. The applicant is not so entitled because a challenge to an objection decision would be first, by an appeal to the Tax Appeals Tribunal and, subsequently, under section 12 of the Tax Appeals Act, by an appeal, to this Honourable Court. It would not be open for applicant to challenge the decision by way of judicial review.

v. The assessment was a tax decision to which the applicant objected in accordance with section 51(1) and thereby, subsequently, provoked an objection decision. The applicant was aggrieved by the objection decision and, certainly it is for this reason that it invoked section 12 of the Tax Appeals Tribunal Act which provides that 'a person who disputes the decision of the Commissioner on any matter arising under the provisions of any tax law may, subject to the provisions of the relevant tax law, upon giving notice in writing to the Commissioner, appeal to the Tribunal'. Section 13 of the Tax Appeals Act details the procedure for making of the appeal

vi. The applicant's appeal to the Tax Appeals Tribunal betrays its stance that the Commissioner did not make an objection decision. The argument that it only appealed to the Appeals Tribunal "*due to the likelihood of enforcement action by the Respondent…in order to protect its interests*" cannot hold. Similarly, the reason that the "*notice of Appeal was lodged, not in acknowledgment of the objection decision, but only for purposes of ensuring that the respondent does not use its illegal objection decision to enforce collection on the basis that the ex parte applicant did not lodge a Notice of Appeal as required by law*" is also not viable. All these are, in the Court's view, lame excuses because the only one reason why a party would appeal to the Tax Appeals Tribunal is clear from section 13 of the Tax Appeals Act is this: it is in a case where one is dissatisfied with decision of the commissioner on any matter under tax law, including an objection decision.

vii. Once the applicant appealed, it was bound to follow through its appeal and wait the determination of the Tax Appeals Tribunal. If, peradventure, it would be dissatisfied with the decision of the Tax Appeals Tribunal, the applicant is entitled to move this Honourable Court by way of an appeal under section 32 of the Tax Appeals Tribunal Act to impeach that decision.

viii. This provision of the law is explicit and leaves no doubt that it is an appeal, rather than an application for judicial review, that ought to be filed against decisions of the Tax Appeal Tribunal.

ix. Section 9 (4) of the Fair Administrative Action Act provides exemption to an applicant who would otherwise be required to file an application for judicial review. It does not exempt a party who ought to file an appeal against decisions of a tribunal such as the Tax Appeals Tribunal.

x. There is no dispute that an appeal is not synonymous with judicial review and that the court cannot assume appellate jurisdiction in exercise of its judicial review jurisdiction. One of the hallmarks of appellate jurisdiction, for instance, is that the appellate court is entitled to substitute its own decision for that of the subordinate court or tribunal. Not so for judicial review where the court would be concerned more about the process rather than the merits of the decision.

xi. It is not part of the purpose for judicial review to substitute the opinion of the judiciary or of individual judges for that of the authority constituted by law to decide the matters in question . The applicant is enjoined to file an appeal rather than an application for judicial review against an objection decision. The court has no jurisdiction under section 9(4) of the Fair Administrative Action Act to exempt it from invoking the Appellate mechanisms prescribed by the Tax Procedures Act and the Tax Appeals Tribunal Act.

xii. It is pertinent for an aggrieved party to embrace alternative remedies including appellate procedures before moving court for judicial review remedies. The reviewing courts will always be conscious that in considering whether a public body may have abused its powers they must not abuse their own by entertaining matters which they otherwise need not have entertained. In the instant case judicial review would not even be available to the applicant.

xiii. The question whether the applicant's case is an exceptional case as to warrant exemption from internal mechanisms of appeal or review and the appurtenant remedies need not arise. It is, as it were, a moot point.

xiv. For the foregoing reasons, the Court held that the applicant's application is misconceived and an abuse of the due process of Court.

Appeal dismissed with costs.

GILLYS SECURITY AND INVESTIGATIONS SERVICES LIMITED & 2 OTHERS VERSUS KENYA REVENUE AUTHORITY & ANOTHER (PETITION 426 OF 2019) [2023] KEHC 488 (KLR)

(Subject Matter-Procedure-Doctrine of exhaustion of remedies; exhaustion of remedies available under the Tax Procedures Act and the Tax Appeals Tribunal Act, prior to seeking judicial review remedies; whether Agency notices are appealable decisions under the Tax Procedures Act)

Brief Facts:

The Petitioners filed the Petition against the Respondents seeking various Judicial remedies including:-

(i) an order of certiorari to bring into court and quash KRA's agency notices dated 19th August 2019 instructing the Petitioner's bankers, Creditors and South Nyanza Company Limited to pay KRA Kshs. 84,718,520.00 from monies owed to, held by or for the 1st Petitioner;

(ii) A declaration that the issuance of the said Agency notices without giving the Petitioners an opportunity to be heard contravenes Articles 27, 29, 31, 47, 48 and 50 of the Constitution on the Petitioners' rights to equal benefit and protection of the law, fair administrative action, access to justice, and fair hearing, respectively.

(iii) A declaration that the said agency notices are unlawful and inconsistent with Article 159(2)(c) of the Constitution for denying the Petitioners the right to exhaust the Alternative Dispute

Resolution Mechanisms applicable to tax disputes under the Tax Procedures Act, 2015, and the Tax Appeals Tribunal Act, 2013 and other relevant tax laws.

(iv) A conservatory Order staying KRA's claim dated 17th April 2018 of Kshs. 62,111,2013.00 in VAT tax arrears against the 1st Petitioner, until the tax dispute herein is heard and determined.

(v) A conservatory order staying the implementation and execution of the Agency notices issued by KRA and the claim therein.

(vi) A conservatory order prohibiting the Director of Public Prosecution's intended arrest, charge and prosecution of the Petitioners until the tax dispute herein is heard and determined.

(vii) General damages and costs.

The Petitioners case is that it received a letter from KRA on 17.4.18 alleging that it had not filed its VAT returns for years 2015, 2016, and 2017 and was in arrears of Kshs. 62,111,203/=. The Petitioners held several meetings with KRA to discuss the tax demand, and while this was going on, KRA wrote to the 1st Petitioner on 19.8.19 demanding payment of Kshs. 84,718,520 in tax arears. KRA also issued agency notices to the 1st Petitioner's bankers, and South Nyanza Sugar Company Limited declaring the banks and the company to be its agents for collection and payment of the same amount. On 5.9.19, KRA 's investigations and

Enforcements Department wrote to the 1st Petitioner indicating that an analysis had revealed a variance in the 1st Petitioner's bank statements and iTax returns for years 2013-2018. According to the Petitioners, KRA's tax demands are not based on any proven income, and the said computation is unreasonable, irrational and illegal. Further, KRA had not made any default assessments under section 29 of the Tax Procedures Act to create or establish a legal basis to make a tax demand. KRA's actions therefore violates the Petitioners' rights under the Constitution and the Fair administrative action Act, in that it has frozen the 1st Petitioner's bank accounts, hence the orders sought.

KRA opposed the Petition stating that on 24.9.18, KRA issued a demand on 1st Petitioner, tabulating the amounts due based on self-assessment returns filed by the 1st Petitioner without paying the self-assessed taxes. The 1st Respondent failed to respond to the said Demands, and various other tax demands, prompting the issuance of a final tax demand on 19.8.19 to the 1st Petitioner, and agency notices to its Bankers in line with section 42 of the Tax Procedures Act. KRA further argued that the process of verifying the amount of taxes due and owing from the Petitioners was duly undertaken and enforcement invoked for a total outstanding amount of Kshs. 84,718,520/= as at 19.8.19, in line with the law.

The 2nd Respondent, the Director of Public Prosecution also opposed the Petition terming the prayers therein as unconstitutional as they seek to prevent the 2nd

Respondent from exercising its mandate to the detriment of the criminal justice system and public interest; that no evidence has been adduced to show that criminal proceedings are mounted for an ulterior purpose and how the 2nd Respondent has acted without or in excess of powers conferred upon it by law; that the 1st Respondent has acted within the law and should be allowed in the public interest to lawfully exercise its mandate of tax collection and administration and recommend prosecution where an offence has been committed.

Issues for determination

1. Whether there exist any remedies under statute for redress and whether the Petitioners exhausted the available administrative remedies, before coming to Court.

Decision/Learning Points:

i. The TPA provides an elaborate mechanism for resolving tax disputes. Part VIII of the TPA makes provision relating to tax decisions, objections and appeals.

ii. A party who is aggrieved by a tax decision is required to first lodge an objection against that tax decision with the Commissioner. This must be done before such tax payer seeks remedy under any other written law. This requirement is couched in mandatory terms. Under Section 51(12), if the party is dissatisfied with the decision of the

Commissioner on the objection lodged he may appeal to the Tax Appeals Tribunal stablished under the Tax Appeals Tribunal Act, 2013. Such appeal must be filed within a period of 30 days after being notified of the decision. If the party is still dissatisfied with the decision of the Tribunal, Section 53 allows such party to appeal the decision to the High Court, which appeal must be filed within 30 days. This is the procedure that the Petitioners herein ought to have followed.

iii. It is the Petitioner's contention is that no tax decision has been made to warrant an objection under section 51 of the Tax Procedures Act.

iv. Section 3 of the TPA defines a tax decision.

v. In its letter to the Petitioners dated 24.9.18, the 1st Respondent made a demand, tabulating the amounts due based on the self-assessment returns filed by the Petitioner without making payments for the respective self-assessed taxes. The Act defines an assessment to mean self-assessment, default assessment, advance assessment, or amended assessment, and includes any other assessment made under a tax law. The self-assessment made by the Petitioners, and the fact of self-assessment is not denied, is clearly a tax decision by dint of Section 3 of the Act.

vi. Section 3 of the Act further stipulates the decision that may be appealed in the Tribunal by defining an "appealable decision" to mean an objection decision and any other decision made under a tax law other than—a tax decision; or a decision made in the course of making a tax decision.

vii. The definition of an appealable decision is very wide A decision made pursuant to an objection is an appealable decision. The definition further includes any other decision made under a tax law. From this broad definition, it is clear that the impugned agency notices which were issued under Section 42 of the Act are appealable decisions. The Petitioners ought to have filed an appeal before the Tribunal as provided for under Section 52 of the Act.

viii. The agency notices complained of by the Petitioners are appealable decisions that ought to have been placed before the Tribunal before coming to this Court.

ix. The said agency notices constitute an administrative action within the definition of administrative action under Section 2 of the Fair Administrative Action Act (FAAA).

x. Section 9(2) of the FAAA is explicit that courts shall not review an administrative action or decision unless all the mechanisms for appeal or review and all remedies available under any other written law are first exhausted. This is the doctrine of exhaustion. Article 159(2)(c) of the Constitution recognises and entrenches the use of alternative mechanisms for dispute resolution.

xi. Pursuant to section 9(4) of the FAAA, the Court may exercise its discretion to exempt a party from the obligation to exhaust all available remedies before applying to the Court for judicial review of any administrative action.

xii. For the Court to exercise its discretion in favour of a party, it must be demonstrated that exceptional circumstances exist to warrant such exemption and that such exemption is in the interest of justice. Further, a party desiring such exemption must make an application for the same.

xiii. The doctrine of exhaustion encourages alternative dispute resolution mechanisms in line with Article 159 of the Constitution and was aptly elucidated in the case of Geoffrey Muthinja & another v Samuel Muguna Henry & 1756 others [2015] eKLR.

xiv. The decision leading to the issuance of the agency notices and the manner in which the notices were issued are appealable decisions. As such, the first port of call by dint of Section 9 of the FAAA was the Tribunal. The Petitioners ought to have exhausted the remedies available under the Tax Procedures Act and the Tax Appeals Tribunal Act, before seeking judicial review of the administrative action complained about. Further the Petitioners did not demonstrate any exceptional circumstances for exemption from the obligation to exhaust the available remedies as required under Section 9(4) of the FAAA, nor did they apply for such exemption.

xv. In view of the foregoing and by dint of Section 9(2) of the FAAA, this Court lacks the jurisdiction to entertain the Petition herein. Without jurisdiction, the Court has no basis to grant any of the orders sought.

Petition dismissed with costs.

HASHI ENERGY RWANDA LTD VERSUS RRA and HABIMANA Vedaste RCOMA 00391/2022/HCC

(Subject matter-Procedure-Appeal against the ruling of the Case No. RCOM 00810/2022/TC tried on 31/05/2022 (claiming to list retention and opposition of auction for the Hashi Energy Rwanda Ltd's property with UPI 2/08/12/04/502 located in Muganza-Runda-Kamonyi and ordering the defendants to pay indemnities)

Brief Facts

HASHI ENERGY RWANDA LTD filed a case against RRA and Habimana Vedaste before the Commercial Court requesting the Court to lift retention instituted by the Court bailiff Habimana Vedaste on its property UPI 2/08/12/04/502 located in Muganza-Runda-Kamonyi registered under Safari Thadee. HASHI ENERGY RWANDA LTD alleged that it had a consent agreement with Trans Time Ltd to execute the decision of the Arbitral Court in the case where they were parties, RCOMA

00391/2022/HCC Page 2 they agreed that HASHI ENERGY RWANDA LTD takes into property its three (3) plots, including the one with UPI 2/08/12/04/502. In its decision No. RCOM 00810/2022/TC the Commercial Court upheld the garnishment, leading Hashi Energy Rwanda Ltd to appeal the decision before the Commercial High Court. The appeal was registered under RCOMA 00391/2022/HCC.

Issues for determination

1. Whether the property registered under UPI 2/08/12/04/502 belong to HASHI ENERGY RWANDA LTD

2. Whether the retention instituted by Me HABIMANA Vedaste should be lift

3. Whether HASHI ENERGY RWANDA LTD should be paid the proceeding fees and the Counsel's fees

4. Whether RRA should be paid the proceeding fees and the Counsel's fees

Decision/Learning points

i. The High Commercial Court upheld that the appeal filed by Hashi Energy Rwanda Ltd was unjustifiable

ii. It upheld that the appeal case No. RCOM 00810/2022/TC remained unchanged

iii. It ordered Hashi Energy Rwanda Ltd to pay RRA RWF 600,000 for the expenses made due to the proceeding of the case

iv. It upheld that the proceeding fees paid by Hashi Enerfy Rwanda Ltd were equivalent to the tasks performed during the case

COMMISSIONER OF DOMESTIC TAXES VS IBANGUA INVESTMENTS CO LIMITED: [2023] KEHC 26013 :

(Subject Matter: Procedure-Section 51(11) of the Tax Procedures Act; whether the Tribunal can suo moto raise and render a decision on an issue not pleaded by the parties.)

Brief Facts:

This was an appeal by the Appellant against the Tax Tribunal's decision dated 20th April 2023.

By a letter dated 08.12.2020, the Commissioner evinced its intention to conduct an audit of the Respondent's tax affairs for the period 2017-2019. Thereafter on 24.06.2021, the Commissioner raised additional assessments of Kshs. 97,384,343.00 and 2,092,644.00 in respect of VAT and Corporation Tax respectively, bringing the Respondent's total tax liability to Kshs. 99,476,987.00. The Company lodged an objection on 22.07.2021. On 12.08.2021, the Commissioner wrote an email to the Company requiring it to provide supporting documents in line with the Objection and the amendments required to be made to those assessments by 19.08.2021.

The Company responded to the Commissioner's email through its letter of 18.08.2021 stating that its principal shareholder and who was also the Executive Director Hon. Peter Gichohi Muriithi passed away on 03.08.2021 and that the family required time to recover and settle from the shock of his death and appoint another Executive Director to deal with the day to day activities of the Company including tax matters. The Company therefore requested for 60 more days to produce the documents sought by the Commissioner. The Commissioner then informed the Company that it would consider the request by 23.08.2021. On 24.08.2021, the Commissioner informed that the Company that it had allowed it 30 days from the said date to avail the documents noting that the Commissioner was required to conclude objections within the set timelines in accordance with section 51 of the Tax Procedures Act,2015 ("the TPA").

The Commissioner made a follow up email on 24.09.2021 stating that the time allowed had since lapsed and that the Objection was still not valid as required under section 51 of the TPA. To this end, the Company was required to provide the following to support the objection; Sales invoices and receipts, Bank statements, Audited financial statements and Credit notes. That these were to be provided for the period January 2016 to December 2020, and not later than 27.09.2021 failure to which the Objection would be invalidated.

There was further back and forth between September and November 2021 that included the Company providing some of the requested documents. On 28.01.2022, the Commissioner rendered the Objection Decision where the Objection was fully rejected and the initial additional assessments totalling Kshs. 99,476,987.00 confirmed.

The Company appealed at the Tax Appeals Tribunal, which framed two issues for determination; Whether the Objection Decision was valid and whether the Commissioner's tax assessment was justified. On the validity of the Objection Decision, the Tribunal held that under section 51(11) of the TPA, the Objection Decision ought to have been issued on or before the 21.09.2021 and that the only exemption to this rule would have occurred if there were intervening actions that fell within the remit of section 51(11) (b) of the TPA. That section 51(11) (b) of the TPA intervenes and kick-starts the statutory timelines from the time the requested documents are provided and it is in these circumstances that the Commissioner would justify its reason for not issuing the Objection Decision on time.

The Tribunal therefore held that the Commissioner's objection decision was a nullity.

The Commissioner appealed at the High Court on various grounds inter alia that the Honourable Tribunal erred in fact and law by failing to objectively examine the parties' pleadings and issues raised therein. That the Respondent did not allude themselves to the issue of timelines in the trial court, subsequently the Appellant did not have an opportunity to substantively address the issue thus being condemned unheard.

In response, the Respondent stated that the Tribunal, while making determination on the issue of timelines did so having interrogated all of the pleadings before it since the question whether an objection decision is valid is a question of Law and touches on the jurisdiction of the Tribunal to the extent that whenever the Tribunal finds that an objection decision was made outside the 60-day period, it has to down its tools and could not proceed to determine the merits of the appeal. The Respondent argued that it raised the issue of timelines at para. 2 of its submissions dated 12.11.2022 filed before the Tribunal and that the Commissioner had an opportunity to respond to that aspect of the but chose not to.

Issues for determination

1. Whether the Tribunal erred in fact and law by failing to objectively examine the parties' pleadings and issues raised therein.
2. Whether the Tribunal erred in its finding that the Objection Decision was made beyond the statutory period prescribed in section 51 (11) of the TPA and thus the Objection was deemed allowed by operation of the law.

Decision/Learning Points:

i. In determining the Appeal, the High Court is exercising appellate jurisdiction circumscribed by section 56(2) of the Tax Procedures Act. This means that an appeal limited to matters of law does not permit the appellate court to substitute the Tribunal's decision with its own conclusions based on its own analysis and appreciation of the facts.

ii. Having gone through the Respondent's pleadings, that is the Memorandum of Appeal and the Respondent has impliedly admitted its Statement of Facts filed before the Tribunal, and as, the issue of whether the Objection Decision was valid was never pleaded by Respondent. Whereas the Respondent states that the issue of the timeline of the Objection Decision was aired out in its submissions, submissions are not pleadings but the parties' "marketing language" and that parties are bound by their pleadings.

iii. In an appeal, the pleadings are the Memorandum of Appeal and Statement of Facts which define the issue the Tribunal is to consider. The issue of the delay in issuing the Objection Decision was not pleaded by the Respondent as a basis for the appeal before the Tribunal.

iv. The issue of non-compliance with section 51(11) of the TPA was raised by the Respondent in its submissions before the Tribunal. While nothing prevented the Commissioner from seeking leave of the Tribunal and filing supplementary submissions to counter this submission by the Commissioner, section 56(3) of the TPA provides that, "In an appeal by a taxpayer to the Tribunal, High Court or Court of Appeal in relation to an appealable decision, the taxpayer shall rely on the grounds stated in the objection to which the decision relates unless the Tribunal or Court allows the person to add new grounds." The Tribunal therefore had an obligation to inform the Commissioner that it intended to consider a ground that had not been raised in the Memorandum of Appeal or Statements of Facts.

v. Even if the issue concerned jurisdiction, the party adversely affected had the right to be heard and to put its position forward as provided by section 26 of the Tax Appeal Tribunal Act, which requires the Tribunal to ensure that the parties have the opportunity to put their case forward.

vi. At the end of the day and looking at the Commissioner's submissions before the Tribunal, I am doubtful that the Commissioner was afforded a full opportunity to present its position on the timeliness of the Objection Decision. I therefore allow the appeal and set aside the judgment of the Tribunal.

vii. Direct the matter be placed before the Tribunal to determine the issue of the validity of the Objection Decision raised by the Respondent

Appeal allowed.

LAKAIRO INVESTMENT LIMITED VERSUS COMMISSIONER GENERAL TANZANIA REVENUE AUTHORITY CIVIL APPEAL NO. 356 OF 2021

(*Subject Matter –Tax Procedure (Import duty)*, application for review lodged out of time and delay in responding to the same- whether the delay to respond to an application for review lodged out of time can render the application to be not time barred.)

Brief facts

The Appellant disputed payment of taxes and duties amounting to Tshs. 4,067,711,188.39. that was demanded following diversion of transit goods into domestic market. The Appellant lodged an application for review contending that the calculations were based on external, not internal tariffs while the goods were manufactured in Kenya within the East African community (EAC). The Appellant also alleged that the Respondent did not respond to the application for review within the period of 30 days of the date of receipt of the letter as required by section 229(4) of the East African Community Customs Management Act, 2004 (the EACCMA). Instead he wrote to the Appellant requiring him to pay the demanded amount.

The Appellant appealed to the Tax Revenue Appeals Board (the Board) seeking a declaration, inter alia, that since the goods originated from Kenya, within the EAC the assessment of the demanded taxes and duties ought to have been based on the EAC preferential rate of 0% and VAT at 18% instead of Common External Tariffs rates of 25% and VAT at 18% which was applied by the Respondent.

At the hearing the Respondent raised a preliminary Objection (PO) that that the appeal was filed out of the period of 30 days of the date of receipt of the demand letter contrary to section 229 (1) of the EACCMA. Counsel for the respondent argued that whereas the demand was made vide a letter dated 24/01/2017, the appellant filed his application for review on 01/03/2017. Counsel for the Appellant argued that time started to run from 12/02/2017 when the respondent replied to the appellant's letter of application for review.

The Board agreed with Counsel for the Respondent and held that the appeal was out of time. Notwithstanding that finding the Board was of the view that, because the Respondent did not reply to the application for review within the period of 30 days prescribed under s.229 (4) of the EACCMA but did so after the period of 9 months, it ought to have considered the appellant's application for review because, in the circumstances, the application for review not rendered time barred. On that reasoning, the Board ordered that the application for review be allowed because both parties were out of time in terms of section 229 of the EACCMA, 2004.

The respondent was aggrieved by the decision of the Board and appealed to the Tribunal. The Tribunal found that the Appellant was served with a demand letter on 24/01/2017 therefore, by filing an application for review on 01/03/2027 the appellant was out of time. The Tribunal also held that the Appellant's argument that the PO was not based on pure point of law because the date on which the demand note was served was not ascertained was without merit because there was no dispute as regard to the date of service. The Tribunal allowed the appeal. The Appellant lodged an appeal to the Court of Appeal.

Issues for determination

1. Whether there was an appealable decision of the Respondent prior to the Respondent's letter dated 12/12/2017
2. Whether the application for review was time barred
3. Whether a preliminary objection before the Board was based on a pure point of law.

Decision/Learning points

i. In the Appellant's application for review, the appellant was challenging the decision communicated to her by the respondent vide the demand note dated 24/01/2017. The application for review was against the decision of the respondent requiring the appellant to pay Tshs. 4,067,711,188.39.

ii. There was no dispute before the Board as regards the date of service of the demand note on the Appellant. The Board's finding that the application for review was out of time was not challenged by the Appellant by way of a cross appeal, therefore the Appellant cannot complain about it at the court of appeal stage.

iii. The Tribunal was justified to disagree with the Board's reasoning as regards to the application for review being filed out of time because two wrongs do not make it a right. The fact that the respondent delayed to respond to the application for review did not have the effect of condoning the delay on part of the appellant. Section 229 (4) of the EACCMA applies only where an application for review is filed within time. It does not, apply to an incompetent application

iv. As a matter of good practice and as a responsible Authority, notwithstanding that the Appellant's letter of application for review was time barred, the Respondent ought to have replied to it promptly. However, his failure to do so did not have the effect of regularizing the defects of the appellant's application. The available remedy on part of the appellant was to apply for extension of time.

Appeal dismissed.

LEAN SOLUTIONS (T) LIMITED VERSUS COMMISSIONER GENERAL TRA CIVIL APPEAL NO. 46 OF 2023

(*Procedure-Application for extension of time-whether the Appellant demonstrated a good cause to justify grant of extension of time)*

Brief facts

In 2022, the Appellant was served with Corporate Income Tax and VAT adjusted assessment for the years 2018 to 2020. The Appellant objected the assessments. The Respondent issued a final determination. The Appellant was aggrieved by the determination, however, instead of filing a notice of appeal, the Appellant lodged another objection. The Respondent promptly informed the Appellant that instead of filling another objection, the appellant was expected to initiate appeal processes. The Appellant failed to initiate an appeal on time due to indisposition of the Managing Director. Upon recovery of the Managing Director, it was resolved that the dispute should be pursued in accordance with the legal framework therefore the Appellant made an application for extension of time. The Appellant alleged among others that the in the objection assessments there were among others, errors that the Respondent was supposed to consider.

That even if that was not pleaded, the Board is obliged to consider the same

Issued for determination

1. Whether there exist reasonable cause to warrant grant of extension of time.

   Decision/learning point

   i. It is a well established legal principle that any matter raised without being pleaded in the affidavit or counter affidavit is a mere statement from the bar and should not be given any weight in any judicial decision citing James Berado Ntambal v. Furaha Denis Pashu, Civil Application No. 178/11/of 2016.
   ii. It is a fundamental principle of legal practice that only facts are pleaded in the affidavits and not law
   iii. The question of errors is a question of law explicitly stated in the Appellant's Affidavit and is central to the contested assessments. The Board was supposed to recognize that what is stated in the affidavit are facts, not law and the question of errors, being factual matter provided under the law, which was properly stated in the Appellant's Affidavit.
   iv. There are errors in the Ruling of the Board because, the question of medical records was

not initially raised in the pleadings and the Board's reliance on that was an assumption, further the Respondent challenged the sickness of the Appellant which was clearly pointed out in Affidavit by the Appellant.

v. Considering the provisions of section 16 (5) of the Tax Revenue Appeals Act, Cap 408, the Tribunal may extend the limit of time if it is satisfied that failure by the party to give notice was occasioned by other reasonable cause. Sickness, absence from the United Republic of Tanzania by the Applicant has been considered as a reasonable cause.

vi. Considering the interest of justice and the rights to be heard for both parties, the Appeal is granted as prayed.

Appeal allowed

REUBEN ABWAO ECHENJE VERSUS COMMISSIONER OF DOMESTIC TAXES TAX [2023] KETAT KLR

(Subject matter-Tax Procedure- consequences of failure to lodge a proper objection; and Failure to support an Appeal with documentation under the Tax Procedures Act.)

Brief Facts

The Respondent conducted an audit on the Appellant where it noted that the Appellant invoices Tata chemicals for services rendered and Tata Chemicals pays him after deducting Withholding VAT on the invoices. On 15th May 2018, the Respondent issued an assessment to the

Appellant on inconsistencies between sales declared and purchases declared by Tata Chemicals for the periods February, March August and November 2017 where it claimed that the Appellant under-declared the sales invoices. The Appellant objected to the assessment on 14th September 2021, where after the Respondent issued its decision invalidating the Appellant's objection on 10th December 2021.

The Appellant appealed the decision stating that the Respondent's demand was punitive, unlawful and without any legal basis.

The Respondent's case is that the Appellant filed a late objection without applying to file the objection late or providing reasons for lateness despite several reminders by the Respondent. The Appellant also failed to adduce documents to support its late objection despite various reminders. The burden of proof is on the Appellant to produce evidence challenging the Respondent's decision to invalidate its objection by providing documents and applying for a late objection as provided under section 56(1) of the Tax Procedures Act. The Respondent further averred that the Appellant did not at the objection stage provide the payment slips adduced in the Appeal and that the Appellant's decision to adduce the documents at the Appeal stage is contrary to the provisions of the Tax Procedures Act and the Tax Appeals Tribunal. The Appellant further failed to provide any evidence contradicting the Respondent's assessment.

Issues for determination

1. Whether the Respondent's decision dated 10th December 2021 invalidating the Appellant's objection was justified.

Decision/Learning Points

(i) The Respondent proffered 2 arguments for its decision to invalidate the Appellant's Notice of Objection. First, that the Notice of Objection was filed late and second, that Appellant failed to provide documents to support his case at the objection stage. To this, the Appellant has neither given any explanation as to why the Notice of Objection was lodged out of time nor provided evidence on what might have caused the delay on the Appellant's part.

(ii) While the Appellant argued that he provided sufficient evidence to the Tribunal to prove the Respondent's assessment was wrong, upon perusal of the pleadings and documents provided, it is clear that the Appellant's documents were not provided to the Respondent at the Objection stage.

(iii) No explanation was tendered by the Appellant as to the reason for not providing the same to the Respondent even after multiple requests and reminders from the Respondent resulting in the respondent rejecting the Appellant's Objection.

(iv) The Appellant squandered his opportunity to file a valid objection by not filing it in time and for failing to support it with documents.

(v) The Appellant is guilty of laches for not following the procedure required to lodge an objection within the specified time and that the Respondent was right to invalidate the Appellant's Objection for being time-barred

Appeal dismissed.

SGS TANZANIA SUPERINTENDENCE LIMITED VERSUS COMMISSIONER GENERAL (TRA) TAX APPEAL NO. 118 OF 2021

(Subject matter-Procedure-Application-Whether there was reasonable cause for grant of extension of time)

Brief Facts

The Appellant is a company incorporated in Tanzania. It carries on business of trade and shipping of agriculture mineral products, petroleum products and other consumer goods. The appellant also deals with provision of service in international certification and quality assurance services.

On 19th November 2019 the Respondent herein issued its final determination on appellant's objection maintaining its position to impose VAT on imported goods. On 26th November 2019 the Respondent issued an adjusted assessment for Value Added Tax (VAT).

Following the assessment on 9th January 2020 the appellant lodged VAT Appeal No. 16 of 2020 at the Tax Revenue Appeals Board (the Board) disputing the assessed tax amounting to TZS 3,293,936,467 for the years of income 2012-2016.

On 3rd march 2020 the appellant wrote to withdraw the appeal on the basis that the adjusted assessment which was the subject of the tax dispute had been amended in order to take into account errors caused by wrongful computation of interest amount. The Board withdrew the said appeal on 6th march 2020.

On 27th March 2020 the appellant wrote another letter to the Board seeking to nullify the letter of 3rd March 2020, reinstating the withdrawn appeal No. 16 of 2020 and making an application to amend statement of appeal No. 16 of 2020. On 9th April 2020 the Board responded to the letter of the appellant dated 27th March 2020 stating that the appeal was marked withdrawn on 6th March 2020.

According the appellant, she become aware of the withdrawal order on 2nd July 2020 as the order was issued in their absence.

On 6th July 2020, the appellant applied for an extension of time to lodge and serve to the respondent a notice of appeal and file a statement of Appeal against the respondent decision of 29th November 2019 (vide VAT Application No. 24 of 2020)

On 11th September 2020 the Board delivered its ruling in respect of VAT Application No. 24 of 2020 whereby it dismissed the application on the ground that the Applicant failed to give reasonable reasons for extension of time.

The appellant was aggrieved by the decision made by the Board on 11th September, 2020 thus, lodged an appeal before the Tribunal.

Issues for determination

1. Whether the Board erred in fact and law by holding that the appellant did not show reasonable cause for the Board to grant extension of time to lodge the notice of intention to appeal and the statement of appeal out of time.

Decision/Learning points

i. As correctly, observed by the Board, since the Appellant was the one who sent a request or prayer to withdraw their appeal (with leave to refile) then it was their duty to make a follow up to see what happened to their prayer. Failure to do that shows lack of diligence.

ii. As correctly observed by the Board, had the appellant been diligent enough they would have discovered or become aware of the withdrawal order on 27th March 2020 when they presented their letter to nullify the withdrawal request. It is not clear why they did not bother to ask for the outcome of their withdrawal prayer before presenting their nullification letter.

iii. If the issue was the adjusted assessment made by the Respondent with regard to the amount of interest, the appellant could have applied to the Board to file an amended statement of appeal with correct adjusted assessment instead of withdrawing the appeal.

Appeal dismissed.

TANGANYIKA BUSINESS COMPANY VS OFFICE BURUNDAIS DES RECETTES RAC 6668 CASE N°1: RAC 735

(*Subject matter*- Tax Procedure (Customs affairs) time limit to institute an appeal arising from customs decision)

Brief facts

On May 08 2013, the applicant was ordered to pay a fine of Bif 261,125,926 following irregularities (removing goods from a bonded warehouse without permission from the relevant authority) found by the OBR during the inspection of the bonded warehouse belonging to the TANGANYIKA Business Company for the 2008-2011 period.

In his application initiating proceedings, dated 05/26/2013, which reached the court on 07/29/2013, the claimant says that the OBR claimed an amount of BIF 1,031,330,505 and after corrections by the OBR itself, an amount of BIF 722,764,003 was withheld. After contesting the said amount, the claimant was partially right and an amount of BIF 261 125 926 was withheld.

With regard to the admissibility of its action, the applicant states that he received notification from the OBR on may, 08, 2013 ordering him to pay a fine of an amount of BIF 261 125 926.

He added that he had brought his action in accordance with section 229 of the East African Community Customs Management Act 2004. He stated that he was not satisfied with the Commissioner's decision and referred the matter to the Administrative Court in accordance with section 230(1) and (2) of the East African Community Customs Management Act.

For its part, the OBR raised an objection to the inadmissibility of the appeal, because the applicant had contested the Commissioner's decision after the time limits for appeal had expired.

As the applicant had received the Commissioner's decision on may,08 2013, he had 45 days in which to challenge the decision before the competent courts according to East African Community Customs Management Act, 2004, section 130 (2).

Issues for determination

1. Whether the case is brought before the court within the time limits provided for by the East African Community Customs Management Act to be admissible;

2. Whether the fine imposed on Tanganyika business company is established in accordance with the East African Community Customs Management Act to be admissible;

Decision/Learning points

The Court of Bujumbura, pursuant to the East African Community Customs Management Act,2004 in its sections 229 and 230;

1. Reconsiders the objection of inadmissibility raised by the OBR and declares it to be fully founded;

2. Declares the action brought by Tanganyika Business Company inadmissible due to the expiry of the time limits for appeal;

3. Orders the applicant to pay the legal costs.

AFRICAN EXPLOSIVES TANZANIA LIMITED VERSUS COMMISSIONER GENERAL (TRA) APPEAL NO.149 OF 2021.

(*Subject Matter-Railway Development Levy (RDL)- whether ammonium nitrate is exempted from RDL)*

Brief facts

The Appellant's principal business is manufacturing and selling of bulk explosives to the mining industry in

Tanzania. The respondent conducted a post clearance audit on the appellant's import transaction as generated in Tanzania Customs Integrated System (TANCIS) for the period from 1st July 2015 to 31st December, 2019 and noted that Railway Development Levy was incorrectly exempted on imported Ammonium Nitrate.

The Respondent advised the Appellant to pay the unpaid RDL amounting to Tshs. 402,254,271. The Appellant was aggrieved by the Respondent's decision and lodged an appeal to the Tax Revenue Appeals Board (the Board). The Board dismissed an appeal for lack of merit. The Appellant appealed to the Tribunal.

Issue for determination

1. Whether for the period after 1st July, 2016, the ammonium nitrate was exempted

2. Whether the ammonium nitrate imported by the Appellant qualifies for exemption under the East African Community Customs Management Act, 2004

Decision/Learning points

i. The fertilizer did not qualify for exemption under the East African Community Customs Management Act, 2004 because the appellant did not have any evidence showing that he had the required recommendation from the authority responsible for Agriculture.

ii. The amendment introduced by the Finance Act, 2016 did not remove the condition or requirement imposed by the Fifth Schedule item 11 of the EACCMA. Since those amendments appears to conflict with the EACCMA, section 253 of the EACCMA is applicable, therefore the EACCMA takes precedence over the partner state laws.

iii. The amendment introduced by the Finance Act, 2016 did not remove the condition or requirement imposed by the Fifth Schedule item 11 of the East African Community Customs Management Act, 2004

iv. Adoption of foreign decision as persuasive authorities is dependent on whether such decision arose from provisions of a legislation which is in parimateria with domestic legislation.

v. General principles of law which have been pronounced by foreign Courts/tribunals, should only be adopted and applied where they are not inconsistent with domestic legislation or environment.

vi. Taxation is a sovereign power to realize revenue to enable the Government discharge its obligations. The power to do so is derived from article 138 (1) of the Constitution of the United Republic of Tanzania

vii. No estoppel whatever its nature, can operate to annul statutory provisions and a statutory person cannot be stopped from performing his statutory duty from denying that he entered into an agreement which was ultra vires for him to make. A statutory person can only perform acts which he is empowered to perform. Estoppel cannot negative the operation of a statute and it is a public duty to obey the law. Citing Income Tax Commissioner vs AK [1964] 652 and Roshani Meghji & Co. Ltd. Vs Commissioner General, TRA, Civil Appeal No. 49 of 2008

Appeal dismissed with no orders as to costs.

TOTAL TANZANIA LIMITED VERSUS COMMISSIONER GENERAL TRA, TAX APPEAL NO. 47 OF 2022

(Railway Development levy-whether imported aviation fuel consumed by International airlines attracts RDL)

Brief Facts

The Appellant imported aviation fuel, JET A1 and declared it to be for home consumption. The said aviation fuel was consumed by international airlines fueled in Tanzania. On

15th November, 2015 the respondent issued a demand note requiring the appellant to pay RDL amounting to TZS 436, 459, 459.00 in terms of the provisions of section 20A of the Railways Act, Cap. 170. The Appellant was dissatisfied by the demand, thus appealed to the Tax Revenue Appeals Board (TRAB) on grounds that the said aviation fuel was not meant for free circulation locally thus could not attract RDL. The said appeal was dismissed by the Board, the Appellant appealed to the Tribunal and the Tribunal dismissed the appeal. Thus, the Appellant preferred an appeal to the Court of Appeal.

Issues for determination

1. Whether the declared aviation fuel attracts RDL.

Decision/Learning points

i. In order for goods to be charged RDL, one condition becomes apparent. That is the goods must be entered for home consumption. However, the term good entered for home consumption is not explicitly defined in the Railways Act, Cap. 170. But the meaning of the said term is described under the East African Community Customs Management Act (EACCM) 2004 which was referred by section 20A of the Railways Act. Section 2 (2) of the EACCMA, 2004. With this provision, it is cogent that any imported goods declared for use in Mainland Tanzania, shall be for home consumption and chargeable for RDL

ii. The appellant declared JET A for home consumption thus complying with the dictates of section 20A of the Railway Act.

iii. Since JET A1 was not cargo for export purposes, then such a consignment was for home consumption.

iv. The Appellant's Counsel explanation that the Appellant was forced to declare JET A1 for home consumption out of the available tax declarations mechanisms because the Tanzania Customs Integration System (TANCIS) was not configured to charge RDL is not plausible. The appellant made a choice out of available options, as such, he is estopped to decline. TANCIS is a system and RDL is chargeable by operation of the law, it is inconceivable to hold that the appellant was forced to declare JET A1 for home consumption while in his mind the intention was for something else.

v. JET A1 was not cargo for export purposes; it was a consignment to be for home consumption. Reasons for not choosing other available tax declaration options are not apparent on the record

vi. The fact that JET A was pumped to international aircrafts thus consumed in international airspace, meaning that it was consumed outside the

Tanzanian airspace, in itself does not connote that such fuel was for export

vii. As international aircrafts commencing their journey in Tanzania Mainland normally fuel before commencement of the international trips, it is obvious that fuel pumped into them would be those declared for home consumption, no more no less.

RESEARCH TRIANGLE INSTITUTE VERSUS THE COMMISSIONER GENERAL (TRA). INCOME TAX APPEAL NO. 296 OF 2022

(*SDL-whether the Respondent was correct to impose SDL, whether the assessments were time barred-Procedure-Time limit to adjust the assessment*)

Brief Facts.

The Appellant lodged an appeal to the Tax Revenue Appeals Board challenging the assessments of Skills and Development Levy (SDL) for the years of income 2010 to 2018 under Section 14 of the Vocational Education and Training Act [Cap 82 R.E 2019] (the VETA Act). The principal amount challenged was TZS 3,349,399,426. The interest was TZS 1,633,188,743. The Appellant alleged that the assessment for 2010 to 2015 were time barred. The Appellant also alleged that, being a charitable organization, the Appellant was automatically exempted from SDL under the Vocational Training Levy (Exemption Order) G.N.615 of 1994.

Issues for determination

1. Whether the Respondent was correct in law and in fact to impose Skills and Development Levy on the Appellant

2. Without prejudice to the above issue, whether the assessments for the years 2010,2011, 2012, 2013 , 2014 and 2015 were time barred

3. Whether the Respondent's decision to impose interest was correct in law and in fact

4. To what reliefs are the parties entitled

Decision/Learning points

i. A critical analysis of the documents tendered shows that the Appellant was registered as a Non-Governmental Organization (NGO) on 7th December, 2017. The Appellant is an International/foreign institution. However, there was no single ground in the notice of objection or the statement of appeal on the issue of the Appellant being an international/foreign institution and hence it is exempted from SDL under section 19 (1) (d) of the VETA Act. This ground was brought up by the Appellant in her submissions filed in the Board

ii. Raising this ground during hearing, which was never raised at the objection stage or as one of the grounds of appeal in the statement of appeal offends the provisions of Rule 16(5) of the Tax Revenue Appeals Board Rules, 2018. The Rule is very strict and prohibits the Appellant to rely on any ground of Appeal which has not been stated in the statement of appeal.

iii. The Appellant cannot rely on section 19(1) (d) so as to be exempted from SDL because such ground of appeal has not been raised in the statement of appeal or in the notice of objection

iv. The Appellant became an NGO in Tanzania from 7th December, 2018 as per the Certificate of Registration, therefore the Appellant officially became an NGO in Tanzania from 7th December, 2017

v. The Appellant failed to comply with the requirements of section 18 (2) of the Tax Revenue Appeals Act Cap 408 of 2019. The section cast a duty to the Appellant to prove that certain decisions of the Respondent are erroneous. But the Appellant failed to show any evidence that the assessment to SDL from 2010 to 2018 was erroneous. The Appellant was required to provide evidence under section 19 (1) (d) of the VETA, Act, that it is dealing with aid or technical assistance.

vi. For a charitable organization to be exempted from SDL, the Appellant must have a ruling of the Commissioner General as required under section 19(f) read together with section 19(2) of the VETA Act. These sections must be read in contemporaneous with section 64 (8) (a) (i) (ii) (iii) and (b) of the Income Tax Act and Section 11 of the Tax Administration Act requires a charitable organization to be the one which has been established for relief of poverty or distress to the public, advancement of education or provide general public health, education, water or road construction or maintenance.

vii. Section 68(4) (b) of the Income Tax Act read together with section 11 of the TAA a charitable organization means a resident entity of a public character that has been issued with a ruling by the Commissioner.

viii. Section 19(2)(a) and (b) of the VETA Act, read together with section 11 of the TAA required the Appellant to make an application to the Commissioner General so as to obtain the Commissioners ruling to be a charitable organization. The Appellant did not state why she did not apply for a Ruling since when she started operations in Tanzania or when she was registered as an NGO in 2017. The Appellant is not exempted from SDL under section 19(1) (f) of the VETA Act because she did not follow the procedure to obtain a Ruling from the Commissioner.

ix. The Respondent was correct to raise the SDL assessment for the years 2010 to 2018 upon discovery that there were instances of non-compliance with regard to the VETA Act.

x. In carrying out its charitable business, the Appellant was liable to pay SDL under section 14 of the VETA Act because if the Appellant was entitled for exemption from payment of SDL would not have bothered to apply for remission of interest in 2010 after issuance of the Tax Administration (Remission of Interest and Penalty) Order 2018

xi. There is no time limit which the Respondent could adjust the assessment for the period under cover in terms of section 48 (5) of the TAA because there was willful neglect and serious omission on the part of the Appellant in filing the returns.

xii. The law under section 76 of the TAA provides interest for failure to pay tax. The Appellant was duty bound to pay SDL under section 14 of the VETA for the whole period from 2010 to 2018. Since tax remained unpaid interest shall be paid

Appeal dismissed

AMATHEON AGRI UGANDA LIMITED VERSUS UGANDA REVENUE AUTHORITY, HIGH COURT CIVIL APPEAL NO. 17 OF 2020

(Subject Matter – VAT – Input tax credit, input VAT credit, exempt supplies, zero rated supplies)

Brief Facts

The Appellant's case was that it grows cereals such as rice and maize in Nwoya, which it supplies to local millers in Uganda, and that the said cereals are milled in Uganda. The Appellant contended that the cereals were zero rated and that it was entitled to input tax credit amounting to UGX. 30,012,946.

The Respondent maintained that the Appellant had wrongly classified its supplies as zero-rated for reasons that, in order for the cereals to be zero-rated, they should be grown and milled by the same taxpayer. The Respondent classified the Appellant's supply of cereals as exempt and not zero-rated, thus disentitling the Appellant from claiming input tax credit.

The Tax Appeals Tribunal ruled in favour of the Respondent, hence this Appeal by the Appellant to the High Court.

Grounds of Appeal:

1. The Tribunal erred in law when it interpreted the ambiguity of paragraph 1(1) of the Third Schedule of the VAT Act, against the Appellant, thereby

making on erroneous finding and occasioning a miscarriage of justice;

2. The Tribunal erred in law when it misdirected itself in applying the purposive approach to interpreting paragraph 1 (1) of the Third Schedule of the VAT Act, thereby reaching an erroneous finding as to the purpose and objective of the legislature;

3. The Tribunal erred in law and reached an erroneous finding that the Appellant's supply of rice and maize is exempt, and the Appellant is not entitled to the input VAT credit.

Decision/Learning Points

i. Section 24 of the VAT Act provides for Calculation of tax payable on taxable transactions. Paragraph 1 (1) of the Third Schedule of the VAT Act was susceptible to two interpretations.

ii. The first interpretation is that the two activities of growing and milling should be carried out together by the taxpayer. The literal meaning of the wording of the provision under paragraph 1(l) of the Third Schedule, thot the supply of cereals where the cereals ore grown and milled in Uganda, implies thot the supply of cereals by the Tax payer is due to the two activities of growing and milling, which are carried out together by the Tax payer.

iii. The second interpretation is that one of the two activities of growing and milling is carried out by the taxpayer, and the other activity not carried out by that taxpayer is carried out by another person(s) but for the benefit of the taxpayer in order for the cereals to be supplied by the taxpayer with value added.

iv. The Tribunal used the purposive rule of statutory interpretation which was that the purpose of the Legislature in enacting paragraph 1(1) of the Third Schedule to the Act was to encourage cereal farmers to grow and also mill the cereals before sale so as to add value to it before sale. The benefit of this was two - fold: gain market value from export and input VAT Credit.

v. The purpose of the impugned provision was misconstrued by the Learned members of the Tribunal. The Tribunal ought to have construed the ambiguity of the provision as earlier established in favour of the Appellant.

vi. The basis of paragraph 1(a) of the Second Schedule of the VAT Act in regard to exempt supplies, is the level of percentage of the value added to the total value of the supply. Where the percentage of the value added does not exceed 5 percent of the total value of the supply, it qualifies the supply by the taxpayer on foodstuffs, agricultural products and livestock as unprocessed.

vii. Accordingly, Court found that the Provision of Section 19 and paragraph 1(a) of the second schedule to the VAT Act on exempt supplies related to unprocessed foodstuffs, agricultural products and livestock. Court disagreed with the findings of the Tribunal that Section 19 deals with processed foodstuffs while Section 24 covers unprocessed foodstuffs.

viii. The evidence adduced by the Appellant on the supply of cereals in which the Appellant applied to the Respondent to assess the supply as zero rated for purposes of the input tax credit was sufficient to qualify the supply of cereals by the Appellant as zero rated. The Appellant's cereals were therefore zero-rated and as such she was entitled to Input VAT credit.

ix. The decision of the Tax Appeals Tribunal was set aside.

The appeal was allowed with costs.

APOLLO HOTEL CORPORATION LIMITED VERSUS UGANDA REVENUE AUTHORITY, HIGH COURT CIVIL APPEAL NO. 048 OF 2022

(Subject matter- VAT- imposition of VAT on imported services)

Brief Facts

The Appellant, a company engaged in the hotel and hospitality industry, entered into an international license agreement with Sheraton International Inc for the right to operate its hotel in Kampala under the 'Sheraton' brand and also to use Sheraton International's centralized reservations system. The Appellant made payments for use of the brand and the centralized reservation system, upon which the Respondent imposed VAT of UGX. 398,418,385 on the basis that use of the brand and centralized reservation system amounted to imported services.

The Appellant objected to the assessment, which was consequently disallowed by the Respondent. The Appellant challenged the decision and the Tax Appeals Tribunal delivered its ruling dismissing the Application, hence this appeal.

Grounds of Appeal

1. The Tax Appeals Tribunal erred in law when it held that the Central Reservation System (CRS) was an imported service;

2. The Tax Appeals Tribunal erred in law when it held that the supply of the central reservation system was merely an ancillary service to the principal service, namely the right to operate the hotel under the Sheraton brand using the system, thereby attracting VAT

Decision/Learning Points

i. Import of services involves the provision of a service by a person who is resident or carries on business outside Uganda to a person that is resident or carries on business in Uganda.

ii. It must be noted that VAT is a destination-based consumption tax, one levied on commercial activities, not as a charge on the business, but on the consumer. It is therefore a tax on activity.

iii. Court relied on the OECD International VAT/VST Guidelines which provide that, in respect to trade in intangibles, and in respect of business to business supplies, the jurisdiction in which the customer is located has the taxing rights over internationally traded services or intangibles.

iv. Court concluded that a review of the license agreement demonstrates that there is an agreement under which one party allows the other to use the Sheraton Brand to operate its hotel in exchange for consideration. Such an agreement is not one for the provision of money or goods and therefore is a service.

v. The Appellant conflated the taxable activity of consumption leading to VAT. In the instant case, there is a provision of a software through which third- parties outside of Uganda can make bookings.

vi. The consumer of the service is therefore not the person booking, but the Appellant which procured the service to enable prospective customers book with it.

vii. In determining who the consumer is, one does not, except otherwise provided for by law or other permissible exceptions, consider non-parties to the contract for the supply of services.

viii. The service was utilized by the Appellant in respect of its hotel business in Uganda and was provided by a person not resident of or having a place of business in Uganda. It accordingly follows that there was an import of services.

ix. Court noted that the provision of the CRS is inseparably linked to the provision of the license by Sheraton International Limited to the Appellant, as this was part of the effort to brand, operate and position the Appellant's hotel as a Sheraton Hotel.

x. There would be no provision of the CRS from Starwood to the Appellant without the broad brand license relationship with Sheraton.

xi. The CRS is provided to an associated company of the licensor. The purpose is the provision of a uniform CRS to all member hotels, including hotels which are members by license.

xii. A hotel needs a CRS to operate. Prior to the licensing agreement, it is inconceivable that the Appellant did not have a CRS.

xiii. As noted above, the requirement to use the CRS from Starwood was part and parcel of the licensing relationship in order to bring the Appellant's hotel within the Sheraton Group by adopting and using the same software as the other members of the group.

xiv. The Tax Appeals Tribunal correctly held that the supply of the central reservation system was merely an ancillary service to the principal service, namely the right to operate the hotel under the Sheraton brand using the system, thereby attracting VAT.

Court found that the grounds of appeal were without merit and dismissed the appeal with costs to the Respondent.

BAC/GKA JV COMPANY LIMITED VS. COMMISSIONER OF DOMESTIC TAXES [2024] KETAT 107 (KLR)

(Subject Matter-VAT-whether subcontractors for the Mombasa Port Development Project Phase II were exempt from VAT by Legal Notice No. 15 of 2021; validity of Legal Notice No. 15 of 2021)

Brief Facts:

The Respondent raised additional assessments for Value Added Tax, Income tax and Withholding income tax through the issuance of a pre-assessment notice dated 16th June 2022 of Kshs 249,778,912.00

The Appellant objected to the said pre assessment notice on the iTax platform on 8th July 2022, with a hardcopy of the objection dated 27th June 2022.Respondent issued its objection dated 2nd September 2022 confirming its assessment.

The Appellant's case is that the Kenya Ports Authority signed a loan agreement on 9th March, 2015 with the Japan International Cooperation Agency (JICA} to finance the Mombasa Port Development Project Phase II and this loan agreement was based on a Government-to-Government Exchange of Notes of 16th January, 2015 which provided for an exemption of the Japanese consultants and employees from the payment of all fiscal levies, taxes and duties that would otherwise have been taxed under Kenyan tax law.

The Appellant was subcontracted by Kenya Ports Authority to offer consultancy services such as detailed design, tender assistance, and construction supervision for the Mombasa Port Development Project Phase II. Vide a Legal Notice No. 15 in the Kenya Gazette Supplement No. 17 dated 26th February, 2021, the Cabinet Secretary for National Treasury and Planning directed that the income which accrued in or was derived from Kenya by Japanese companies, Japanese consultants and Japanese employees involved in the Mombasa Port Area Road Development Project (Phase 1) and the Mombasa Port Area Road Development Project (Phase II) would be exempt from income tax to the extent specified in the Financing

Agreements. That since the Mombasa Port Development Project Phase II was exempt from paying VAT, by extension, supplies to the subcontractors were also exempt

The Respondent's case is that the services offered by the Appellants were in fact not exempt from VAT for several reasons, including the nature of the services, the scope of the exemption provided by Legal Notice No. 15, the absence of an exemption certificate, and the specific terms of the exemption agreement between the Government of Kenya and Japan. The services offered by the Appellant are taxable services under Section 5 of the VAT Act. Legal Notice No. 15 of 2021 was a country to Country exemption between Kenya and the Government of Japan that only exempted Japanese companies, Japanese consultants and Japanese employees involved in the project under the Financial Agreement and not Kenyan Companies or consultancies as is the case of the Appellant.

Issues for determination

1. Whether the services offered by the Appellant were exempt from VAT
2. Whether the Respondent's Objection Decision dated 2nd September 2022 was proper

Decision/Learning Points

i. The services offered by the Appellant are, in fact, taxable services under Section 5 of the VAT Act. This statutory provision establishes the tax liability services, and the Appellant's services fall within this category.

ii. Legal Notice No. 15 of 2021 exempts only Japanese entities and personnel involved in the specific project under the Financial Agreement between Kenya and Japan. The scope of this exemption, limited to Japanese entities and employees, making it inapplicable to the Appellant, a Kenyan company.

iii. The Appellant's failure to obtain and present an exemption certificate issued by the National Treasury, as required for VAT exemption, strengthens the Respondent's case. The absence of this essential document casts doubts on the Appellant's claim of exemption.

iv. The Legal Notice in question, No. 15 of 2021, explicitly exempted Japanese companies, Japanese consultants, and Japanese employees involved in a specific project under the Financial Agreement. Given that the Appellant is neither a Japanese entity nor a signatory to the Agreement, it cannot avail itself of the exemption provided in the Legal Notice.

v. The case of *Matindi v CS, National Treasury & Planning & 4 others (Constitutional Petition E280 of 2021) [2023] KEHC 1144 (KLR*) declared Legal Notice No. 15 of 2021 unconstitutional, effectively nullifying its legal effect. Therefore, the status of Legal Notice No. 15 as an enforceable legal provision has been invalidated.

vi. The Appellant did not exhaustively provide documentary evidence to explain the variances in its bankings and the illegality as assessed by the Respondent. Therefore, the Appellant has not discharged its burden of proof to show that the Respondent erred in arriving at the assessment and subsequently issuing the objection decision dated 2rd September 2022.

vii. The Tribunal therefore finds that the Respondent's objection decision was proper.

Appeal dismissed.

GRUMET COMMUNITY & WILDLIFE CONSERVATION FUND COMPANY LIMITED VERSUS COMMISSIONER GENERAL (TRA) TAX APPEAL NO. 80 OF 2020

(Subject matter-VAT -whether conservation services provided by the appellant are taxable supply)

Brief Facts

The Appellant is a non-profit organization carrying out wildlife conservation and community development work in the Singita Grumet Reserves located in the western corridor of the Serengeti ecosystem in Tanzania. The Appellant was aggrieved by the decision of the Tax Revenue Appeals Board (the Board) in consolidated Value Added Tax Appeals No. 52 and 53 of 2017 against the Respondent's additional assessments for VAT for the years 2013 and 2014. The Appellant argued among others that the conservation activities conducted by her do not contain features, which are necessary to give them the character of a business or trade. The Appellant claimed to be carrying out on a non-for profit basis conservation activities relating to anti-poaching, hunting block development and community development. The Board held in favour of the Respondent. The Appellant, aggrieved by the Board's decision appealed to the Tribunal on grounds among others that the Board's decision that conservation activities of the Appellant are a "business' is wrong in fact and in law, the Board's decision that conservation activities of the Appellant are taxable supplies is wrong in fact and law and that the decision of the Board that the Appellant conducts conservation activities exclusively for the benefit of Grumet Reserves Limited is wrong in fact and in law

Issues for determination

1. Whether the activities of the Appellant are services subject to VAT.
2. Whether the Appellant was supplying 'conservation service' to Grumet Reserve limited and other entities as a scheme for Tax avoidance
3. Whether the Respondent was correct to assess VAT on the Appellant's accounting profit
4. Whether the Appellant conducts the conservation activities free of charge to other entities operating within the Singita Grumet Reserves

Decision/Learning points

i. The activities of the Appellant are taxable supply in terms of section 3 and 4(1) of the Value Added Tax Act Cap 148 R.E 2006 in that, conservation services, which includes wildlife management, security, research, consultancy, environment management and community development, are taxable supply in terms of the provisions of the law. These activities offered by the Appellant are exclusively rendered to Grumet Reserves Limited, the owner of the concession right. The services are vital to the tourist ad lodges business carried out by the recipients of these services the Grumet Reserves Limited ad other entities within the reserve that's why even the owner charges conservation fees to other entities which the company dos not own.

ii. The Appellant was formed as a tax avoidance scheme in that, the Appellant was supplying services to Grumet Reserves Ltd and other entities without taxing them. Those who were supplied with the said services are related parties, the fact which raise the need of arm's length principle whereby if the services were rendered by independent Agents tax would have been paid. The benefit occurred because the Appellant supplied services without taxing thus the companies benefited by not paying VAT when enjoying the services provided. Therefore, the Appellant was formed for purpose of conferring tax benefit to other entities with the Grumet Reserves and thus tax avoidance scheme.

iii. From the evidence on record, it I obvious and not disputed that the Appellant did supply to Grumet Reserve Limited the owner of the concessionary right and other entities within the reserve services which are taxable supply in terms of section 3,4 and 5 of the Act. The Appellant never charged VAT for services provided to the recipients the fact that made the Respondent to invoke section 67 of the Act to deem existence of tax, impose the deemed tax and demand it accordingly. Since the tax is deemed tax, the Respondent is allowed to assess the imposed tax basing on the market value of the service. The Respondent raised the assessment basing on the market value of the service and not on the sum of donation and contributions collected by the Appellant

iv. The Appellant activities that are exclusively rendered to Grumet Reserve Limited and other entities within the Reserve are taxable supply in terms of the Act as they are not exempt services in accordance with the Act. The services are not made to the entire world but to the owner of the concession right and other entities operating within the reserve, therefore the activities offered are taxable supply as the same are not exempted services enumerated under the second schedule to the Act.

Appeal dismissed

KALEE LIMITED VS COMMISSIONER OF DOMESTIC TAXES: 2024] KETAT 264 (KLR)

(*Subject matter-VAT- whether burial announcements are burial services for tax purposes, and as such exempt from VAT)*

Brief Facts

The Respondent raised additional assessments for the month of December 2017 amounting to Kshs. 6,312,480.00 on 19th October 2022 to the Appellant, which it objected late on 30th January 2023. The Respondent validated the objection on 13th February 2023. On 17th March 2023, the Respondent rejected the objection application and issued an objection decision confirming the assessment.

The Appellant appealed to the Tribunal arguing that the VAT Act 2012, 2013, and 2016 are clear that burial costs are VAT exempt as per Part II of the First Schedule Paragraph 6 read together with Paragraph 1 which was revised in 2021. The Appellant stated that the Respondent failed to consider burial costs for a Christian, which includes various processes inter alia Advertisements including casual and burial announcements. The Appellant submitted that the remains of the dead must be disposed off by the living who will be notified through death and casual announcements making them services leading to the disposition of the remains of the dead. The Appellant further stated that VAT Act provides that services imported or supplied to donor agencies, international and regional organizations with diplomatic accreditation to Kenya are zero-rated.

The Respondent's case is that it relied on information available to it to make the additional assessment. The Appellant's objection was on the basis that the Respondent had demanded VAT on supplies that are erroneous and excessive, that the Respondent had demanded VAT on supplies that are not taxable at the general rate, and that services offered are funeral and casual announcements which are exempt, and supplies made to privileged bodies Media Focus on Africa Foundation and National Aids Control Council, are zero-rated.

The Respondent stated that while burial and cremation services are exempt from VAT, funeral announcements are not part of burial services. The Respondent stated that burial services refer to any service offered or provided in connection with the final disposition; memorialization, internment, entombment, or inurnment of human remains or cremated remains. The Respondent submitted that the Appellant's business involved media services, which include advertisement services. The Respondent argued that advertising is a service therefore subject and chargeable to VAT.

Respondent further stated that the VAT Act provides for zero-rating of goods and services imported or supplied to donor agencies, international and regional organizations with diplomatic accreditation, or bilateral or multilateral agreements with Kenya. That the said organizations are eligible to apply for exemption. However, since the Appellant failed to provide copies of the exemption certificates relating to these supplies, the Respondent confirmed the assessment

Issues

1. Whether burial announcements are burial services for tax purposes.
2. Whether the Respondent erred in raising additional VAT assessments on sales to privileged bodies.

Decision/Learning Points:

i. The Tribunal was of the considered view that burial is a multicultural, multifaceted practice rife with different rites that may be interpreted widely and variedly. Future legislation may be necessary to be more succinct.

ii. This notwithstanding, it is the interpretation of the Tribunal that the law in exempting burial and cremation services from VAT as captured in

Paragraph 6 of Part II of the First Schedule to the VAT Act 2013 did not envision all services on the entire value chain from time of death to actual disposition of the body. To do so would be to open a plethora of exempt services that are carried out mostly by different Service Providers after the death given the diversity of culture, religion, and social status that manifest in Kenya.

iii. Burial entails the lowering of the dead body into a grave. It is the interment or entombment of the dead person's body. It is the actual disposition of the dead person. Therefore, burial services would entail these services that relate to this process.

iv. In this case, the Appellant provided burial announcement services and not burial services. Indeed, the Appellant submitted that the remains of the dead must be disposed of by the living who will be notified through death and casual announcements making them services leading to the disposition of the remains of the dead.

v. The two services are distinct and are rendered by two different parties; the Appellant and those being notified through death and casual announcements to do the actual disposition.

vi. The Respondent did not err in raising additional VAT assessment for burial announcements.

vii. The issue of additional VAT assessment on sales to privileged bodies wsa settled by parties by partial consent, which was adopted as partial judgement of the Tribunal.

Appeal dismissed.

KAMPALA CLUB LIMITED VERSUS UGANDA REVENUE AUTHORITY, TAT APPLICATION NO. 256 OF 2022

(Subject matter: VAT- access to health and sports facilities upon payment of subscription fees is a taxable supply)

Brief Facts

The Applicant is a company limited by guarantee. It provides health club facilities to its registered members. The Respondent issued VAT additional assessments of UGX 215,854,864 for 2020 and 2021 against the Applicant on ground that the supplies made by the Applicant are subject to VAT. The Applicant objected to the assessments on grounds inter alia that the annual subscriptions and registration fees paid by the members are not taxable supplies within the meaning of the VAT Act.

The Respondent issued its objection decision partially allowing the objection for 2020 and revising the assessment from UGX 51,217,498 to UGX 39,435,306 and for 2021 from UGX 164,637,366 to UGX 127,105,797. The Respondent maintained a VAT tax liability of UGX 39,435,306 for 2020 and UGX 127,105,797 for 2021 on grounds that the members' subscription and registration fees are taxable supplies. The Applicant filed an Application in the Tax Appeals Tribunal disputing VAT amounting to UGX 166,541,103.

Issues for determination:

1. Whether the Applicant is liable to pay VAT on registration and subscription fees paid by its members?
2. What remedies are available to the parties?

Decision/Learning Points

i. The Applicant provides health club facilities to only its registered members who pay annual subscription fees. It objected to the assessment on the ground that the subscription and registration fees paid by the members are not a taxable supply.

ii. The Respondent contended that it established that the Applicant is making taxable supplies through provision of health club facilities including gym, sauna, tennis, massage, swimming pool, among others.

iii. The Constitution of the Applicant states that objects of the club include providing and promoting sports, recreational and entertainment facilities, as well as promoting fellowship among others members.

iv. Therefore, the Constitution allowed the Applicant to obtain revenue so as to provide and promote sports, recreational and entertainment facilities, as well as promote fellowship among the members.

v. Article 4.8 states that the property and income of the club shall be applied solely towards the objects of the club. Article 4.9 states that the Applicant may raise, collect, hold and expand monies for the furtherance of any objects of club.

vi. Therefore, the Constitution allowed the Applicant to obtain revenue so as to provide sports, recreational and entertainment facilities.

vii. The Constitution further provided for fees payable by its members. The fees in contention are the subscription fees. Article 7.1(iv) provides for subscription fees.

viii. Subscription fee entitles a member access to use of any facility of the club. The Applicant provides health club facilities including gym, sauna, tennis, massage, swimming pool among others. So, the question is whether the subscription fees paid by members to access the said facilities attracts VAT?

ix. The Applicant was not providing goods or money to its members. It was providing access to health club activities such as gym, sauna, tennis, swimming which should be considered as services.

x. The health services are not exempted in the second schedule of the VAT Act.

xi. The Tribunal has to determine whether the subscription fees was consideration made for the provision of services. This means that for one to receive services of Kampala Club, he or she must be a member of the Club.

xii. The Tribunal does not think the subscription was being paid gratuitously. The Applicant is not a church or a voluntary organisation.

xiii. The Applicant argued that the fees paid were used for the maintenance of the club. We note that the club carries out activities like massage, spa, sports, among others, whose profit can be used for its maintenance.

xiv. Members of the Applicant as consideration for the provision of health services by members were paying the subscription. The audited financial statement of the Applicant ending 31st December 2020 show that the Applicant's major source of revenue is from annual subscription fees.

xv. Club members are expected to pay subscription fees which is payable on the first day of January and not later than last day of March every year. A member who fails to pay subscription fees within the prescribed time automatically ceases to be a member on 31st December of that year.

xvi. The economic reality of transactions is that the Applicant is engaged in business activities and offers its members a taxable supply in form of access to its facilities upon payment of subscription fees. The fees contribute to a major source of income of the Applicant which enable it meet its expenses.

xvii. According to Section 4 of the VAT Act, the Subscription by the members leads to receipt of services, which is membership. Other people do not enjoy the services of the club unless they are registered.

xviii. In this case the Applicant receives that subscription fee because they supply membership to its members. This membership comes with access to health club services provided.

xix. The Applicant offered a service to members and hence was taxable.

The Tribunal found that the Applicant is liable to pay VAT of UGX 166,541,103. The Application was dismissed with costs to the Respondent.

KENI BUSINESS GROUP LTD VERSUS *RRA* RCOMA 00130/2020/HCC

(Subject matter-VAT-related fine amounting to Frw 6,727,119 illegally charged).

Brief Facts

On August 21, 2018, Keni Business Group Ltd was penalized for failing to provide EBM receipts and fined 6,727,119 RWF.

The company appealed to the Commissioner General on November 19, 2018, requesting the fine be waived, but the Commissioner General found the documentation insufficient and indicated further legal steps were necessary.

After receiving additional documents, the company filed another appeal on February 22, 2019. The Commissioner General identified errors in the initial report and nullified it, but ordered new documentation to be created.

By the decision of 01/08/2019, the Commissioner General asserted that the appeal of Keni Business Group Ltd is unfounded because it was aware of the fault it was notified by the affidavit, that the affidavit of 26/04/2019 cannot be canceled because the tax administration has the power to deliver another affidavit by the time of the audit or appeal in case the previous one was inappropriately drawn up or another fault is identified.

RRA explains that the evidence serving as basis in confirming that the appellant did not use EBM is the affidavit of 22/08/2018 delivered to a client who purchased the products in Keni Business Group Ltd, that the affidavit is not based on the decision taken before receiving the appeal because there had been an error in writing 2019 instead of 2018, the EBM of Keni Business Group Ltd was operating; therefore, it must pay the charged fine because on 21/08/2018, it carried out commercial activities without issuing EBM invoice.

On 30/08/2019, Keni Business Group Ltd filed a claim before the Court by requesting that the VAT-related fine amounting to Frw 6,727,119 should be removed because as it was illegally charged, that such administration revised the affidavit three times while it committed error and the audit is carried out once, and Keni Business Group Ltd was not given the right to provide explanations, it requested to cancel the fine it was charged and to be granted the damages.

The judgment RCOM 1825/2019/TC rendered on 09/01/2020 by the Commercial Court, the Court admitted the claim lodged by Keni Business Group Ltd and, after its examination, it found that it is unfounded.

Issues for Determination

1. Whether VAT-related fine amounting to Frw 6,727,119 was illegally charged

Decision/Learning points

i. The High Commercial Court admitted that the claim filed by Keni Business Group Ltd and, upon its examination, declares it ungrounded.

ii. Holds that the judgment RCOM 01825/2019/TC rendered by the Commercial Court on 09/01/2020 is sustained.

iii. Holds and orders Keni Business Group Ltd to pay to RRA at the appeal instance: Frw 50,000 for procedural fee and Frw 500,000 for counsel fee.

iv. Orders that the court fee is borne to the Public Treasury.

NILE BREWERIES LTD VERSUS UGANDA REVENUE AUTHORITY; TAT APPLICATIONS NO. 46, 100 & 110 OF 2022

(Subject matter-VAT- Export of beer, LED-removal of goods from manufacturer's premises)

Brief Facts

The Applicant is a manufacturer of alcoholic beverages which are sold locally in Uganda and exported. The goods manufactured for export are clearly marked 'for export' and are exported to DRC and South Sudan. The Applicant does not pay VAT or LED on exports. The Respondent insisted that the Applicant misclassified its goods as zero rated since they were not exported by the latter and therefore should pay LED and VAT.

The Respondent audited the Applicant for the periods between January to August 2021 and September 2021 to December 2021 and issued Additional Administrative Tax Assessments of UGX 11,025,779,590.98 and UGX 7,537,585,897 for LED and VAT respectively, against the Applicant. Being aggrieved, the Applicant lodged this Application against the Respondent in the Tax Appeals Tribunal.

Issues for Determination:

1. Whether the Applicant is liable to pay VAT assessed?

2. Whether the Applicant is liable to pay LED assessed?
3. What remedies are available?

Decision/Learning Points

i. Value added tax is charged on every taxable supply made by a taxable person.

ii. Excise Duty, on the other hand, is imposed in respect of manufactured goods and is paid by the person manufacturing the excisable goods and its taxing point happens when goods are removed from the manufacturer's premises.

iii. In order to understand the dispute, one has to realize that if the Applicant sold beer locally, it attracts VAT and LED whereas beer that is exported does not attract VAT and LED.

iv. The Applicant entered into alleged agency agreements with Kabaco Company for the export of beer to Democratic Republic of Congo and Ituri Investments Limited for the export of beer to South Sudan.

v. An agent means a person employed by a principal to do any act for that principal or to represent a principal in dealing with a third person.

vi. Manufacturers are known to have agents who are distributors who buy goods at discounted prices. From the facts at hand, the Applicant was selling a beer crate to Kabaco at USD 8 per crate which Kabaco later exported at USD 11 per crate.

vii. Where goods are delivered by a supplier to a person in Uganda, that is a local supply. If goods are supplied to a person or agent who is abroad, then that is an export. The VAT applicable to a local supply by the principal will apply to the agent.

viii. It was pertinent to determine whether the Applicant made local sales to agents who then exported the beer, in essence making it two transactions.

ix. The agreement between the two entities was to market and sell the Applicant's products abroad. It did not mention any sale. However, it had a provision that allowed the Applicant to sell its products to its agents.

x. This payment for products amounted to consideration as per the definition of Section 1(d) of the VAT Act.

xi. Since invoices were issued to the agents and goods were delivered to them within Uganda, upon which title changed hands, this amounted to a local supply that attracted VAT.

xii. A supply of goods is an arrangement under which the owner of goods parts with possession of goods including a lease or an agreement of sale and purchase.

xiii. The export agreements show that goods were delivered at the Applicant's premises in Uganda.

xiv. The Applicant cannot therefore pretend that it exported its beers to Ituri Investments and Kabaco when the parting of possession of goods took place in Uganda since an export can only take place where it happens in another country.

xv. Since the agents were in Uganda, there was no export and when the Applicant issued tax invoices, a supply was confirmed.

xvi. The earliest of the delivery, payment or when tax invoice was issued was the time of supply and all these took place in Uganda.

xvii. Since the e-invoices were issued to agents, and delivery was made to them at the Applicant's premises, and title was passed to the agents, a local sale was made. This attracted VAT.

xviii. In respect of Local Excise Duty, as the export agreements showed that the Applicant delivered beer at its premises to agents and these goods were removed from the manufacturer's premises, excise duty was due on them.

xix. In absence of evidence of export documentation, the delivery was in Uganda and no export took place. Local Excise Duty was therefore due and chargeable.

xx. In the circumstances, the Applicant was found liable to pay both VAT of UGX 7,537,585,897 and LED of UGX 11,025,779,590.98.

The Application was dismissed and the Applicant was ordered to pay costs to URA.

PIL TANZANIA LIMITED VERSUS COMMISSIONER GENERAL TRA, TAX APPEAL NO. 18 OF 2022

(Subject matter-*VAT-intermediary services-circumstances when they can be rendered as exported)*

Brief Facts

In the year 2016, the respondent conducted a tax audit for the year of income 2012 to 2015 with a view of assessing the company's compliance status with various Tanzania tax laws. Following completion of the tax audit, it was noted among others that the services were not exported outside mainland Tanzania and therefore do not qualify as zero-rated supplies. The respondent issued additional assessments for value added tax for the years of income 2012-2014 on commission income received by the appellant from its principal in respect of the agency services. The respondent stated that agency services are not zero rated supplies if the services are conducted and performed in Tanzania. The Appellant objected the assessment and after several correspondences, the respondent confirmed the assessments.

The appellant being aggrieved by the respondent's notice of confirmation of assessments filed appeals at the Tax Revenue Appeals Board. The Board delivered its judgement in favor of the Respondent. The Appellant appealed to the Tribunal.

Issues for determination

1. Whether the appellant agency services are treated as supplied in Tanzania
2. Whether the nature of services provided by the appellant falls within the category of intermediary services described under item 2(b)(v) of the first schedule to the VAT Act.
3. Whether the Tax Revenue Appeals Board erred in law and fact by holding and concluding that the agency service rendered by the appellant to its principal were not intermediary services.

Decision/Learning points

i. Section 7(4) of the Value Added Tax Act, 1997 provides that services shall be regarded as supplied in mainland Tanzania if the supplier of the service has a place of business in mainland Tanzania and no place of business elsewhere; has no place of business in mainland Tanzania or elsewhere but his usual place of residence is in mainland Tanzania; or has places of business in mainland Tanzania and elsewhere but the place of business most concerned with the supply of services in the place of business in mainland Tanzania.

ii. The Appellant agency services are treated as supplied in Tanzania because the supplier of agency services (the appellant herein) has a place of business in mainland Tanzania.

iii. Section 9(1) of VAT Act, 1997 is in respect of zero rating. The provision limits supply, which are zero-rated, as they must fall to the supplies listed under the first schedule of the VAT Act, 1997.

iv. On the basis of the above provision, Regulation 6(1) and (2) of the VAT Act (Export of Goods and Services) Regulations, 2009 service rendered by intermediary will be regarded as exported if the underlying transaction was supplied outside Tanzania. In the matter at hand the Appellant Business is established in Tanzania and the Appellant has a place of business in mainland Tanzania as provided under section 7(4) of the VAT Act, 1997.

v. It is undisputed that the Appellant is an agent of the identifying principal based in Singapore. And it is undisputed that the services were physically performed in Tanzania. The services included supervision of loading and unloading of ship cargo. Tallying containers and tracking collection, arranging for storage space and incurring expenses on behalf of the principal. The nature of services provided by the Appellant to her principal cannot qualify for zero-rating. The reason for concluding so is that the commission income received by the Appellant is earned for the services undertaken by the agent on behalf of the principal.

vi. For these services to qualify for zero-rating it was necessary for such services to be physically carried out outside the United Republic of Tanzania.

vii. The nature of services provided by the appellant does not fall within the category of intermediary services described under item 2(b)(v) of the first schedule to the VAT Act.

Appeal dismissed.

SERENGETI BREWERIES LIMITED VERSUS COMMISSIONER GENERAL (TRA) TAX APPEAL NO. 24 OF 2022.

(Subject matter-VAT-Valid documents to support an input tax claim)

Brief Facts

The Respondent conducted a tax audit on the Appellant's tax affairs covering years of income 2016 to 2018 in order to verify the Appellant's compliance on tax matters. The Respondent observed that the Appellant claimed input taxes contrary to the requirement of the Value Added Tax Act, 2014 (the Act) as the input tax claimed were supported with improper tax invoice and fiscal receipt. The alleged tax invoices were not generated by electronic fiscal device, did not bear Tax Identification Number and Value Added Tax Registration number of the customer. And the fiscal receipt did not bear the Name, address of the purchaser, the VAT registration number and TIN of the purchaser contrary to the Value Added Tax (Electronic Fiscal Devices) Regulations,2010. The Respondent disallowed the input tax claimed and issued a notice of adjusted assessment for Value Added Tax demanding TZS 1,665,298,179. The Appellant objected the assessment and appealed before the Tax Revenue Appeals Board. The appeal was partly allowed. The Board held that the Respondent was entitled to disallow input tax claims for the period 2017 and 2018. He Appellant was aggrieved by the decision, thus appeals to the Tribunal.

Issues for determination

1. Whether the documents tendered by the Appellant for claiming tax were valid in terms of section 86(2) of the Act
2. Whether the Respondent was correct in rejecting the Appellant's input tax claims and issuing the tax assessment

3. Whether the Respondent was justifiable to reject input VAT claim on purchases for the year 2017 to 2018.
4. Whether the Board evaluated the evidence on record prior to arriving to its decision.

Decision/Learning points

i. A person claiming input tax must provide proof that the conditions for tax inputs imposed in respect of goods, services or immovable property, a supply or import, are observed as required by section 68(1) of the Value Added Tax Act. The major condition requires the person to have incurred the input tax in the course of the person's economic activity and for making taxable supplies.

ii. The Appellant was required to provide proof that he incurred the input tax in the course of his economic activities. The Appellant in providing proof he produces an invoice, fiscal receipts and commercial invoices. The invoices must be in compliance with section 86(2) of the Value Added Tax Act, 2014 which provides for documents and records. Sub section (1) (b) (v) of that section requires the tax invoice generated by electronic fiscal device to include the name, address, Taxpayer Identification Number and Value Added Tax Registration Number of the

Customer. If the invoices have no particulars of the customer as stated in section 86(2) of the Act, the invoice is considered invalid for the purpose of input tax claims. The section does not suggest consideration of other evidence beyond what is stated in the section.

iii. The Appellant did not fulfill the substantive requirements as stipulated in the law. The substantive requirements are the mandatory requirements specifically stated in section 86(1) and (2) of the VAT Act, 2014 that is the tax invoice generated by electronic fiscal device for the supply which contain the name, address, Taxpayer Identification Number and Value Added Tax Registration Number of the Customer. The Respondent was correct in rejecting input tax claims and issuing the assessments.

iv. Under section 68(1) of the VAT Act, 2014 a person is allowed a credit for an amount of input tax incurred in furtherance of his economic activity. However, application of the provision is not automatic, for, prior to allowing the input tax claim, a taxpayer must provide proof that he incurred the input tax in the furtherance of economic activity. The Appellant did not provide sufficient proof to show that he incurred the input tax as he claimed. The Respondent was correct to reject input VAT claim on purchases for the years of income 2017 to 2018.

v. The Board analyzed carefully all the issues and evidence tendered before it.

Appeal dismissed

SEVEN FOUR EIGHT AIR SERVICES (K) LIMITED -VS- COMMISSIONER OF DOMESTIC TAXES. TAT 139 OF 2022

(Subject matter-VAT-Interpretation of Paragraph 7 of Part (ii) of the First Schedule of the VAT Act; Paragraph 5 of Part A of the Second Schedule to the VAT Act; Paragraph 18 of Part (ii) of the First Schedule to the VAT Act; sections 17 of the Vat Act and sections 45 of the Tax Procedures Act)

Brief Facts

The Appellant lodged a VAT refund claim of Kshs 37,471,051.00 for the years 2017, 2018, 2019, and 2020, The Respondent undertook a review of the Appellant's books of accounts to confirm the accuracy of the VAT refund claim, that involved its verification of the zero rated nature of the sales/supplies declared by the Appellant as output supplies. The Respondent communicated its VAT audit findings to the Appellant vide its letter dated 22nd September 2020, and the principal finding was that the Appellant operated international air charter aircraft services which are categorized as exempt supplies under Paragraph 18 of Part 11 of the First Schedule to the VAT Act. In addition, the Respondent made a finding that the supplies made by the Appellant did not qualify to be placed under Part B of the Second Schedule to the VAT Act. The Respondent therefore demanded payment of additional VAT in the sum of Kshs 27,468,086.00.

The two Parties subsequently engaged further on the issues in dispute. However, the Respondent maintained its position and issued a further VAT additional assessment, vide a Notice of Additional Assessment dated 25th February 2021. The Appellant objected to the assessment vide its letter dated 12th March 2021. The Respondent issued its Objection decision to the Appellant on 17th January 2022 and upheld the Respondent's assessment.

The Appellant stated that its principal activity for the period in issue was provision of international flights in the Humanitarian aviation sector to including but not limited United Nations, World Food Programme, European Union organisations in support of those organisations' humanitarian support efforts in various African Countries. In order to offer international air servicers, the Appellant enters into contractual agreements with the aforementioned organisations, which are on standard terms imposed by the organisations and may not reflect in their terms the operational activities of the Appellant in most cases.

The Appellant argued that the Respondent focussed on the title of the Appellant's contracts rather than on how the Appellant actually operates, which was evidenced in the Respondent's use of the term "charter" in those contracts. The Appellant argued that the definition of air charter does not match the facts of this case, and the Respondent wrongly described the services as "charter". That the Appellant's clients do not inter alia hire the entire aircraft for a specific journey; have any control as to the flight schedule, take-off and landing locations; or exclusive control of who can board the aircraft as a passenger despite clauses to the contrary in the contracts, since the Appellant often ticketed multiple passengers from various organisations on the same flight.

The Appellant therefore argued that the correct provisions of law applicable to its supplies is paragraph 5 of Part A of the Second Schedule to the VAT Act, which zero rates *"Transportation of passengers by air carriers on international flight"*, rather than Paragraph 18 Part (ii) of the First Schedule which reads that;-" Hiring, leasing, and chartering of aircraft". This is because while paragraph 18 stands in isolation, paragraph 5 of Part A to the second schedule is supported by and is tandem with Paragraph 7, Part (ii) of the First Schedule to the VAT Act. Paragraph 7, Part (ii) of the First Schedule to the VAT Act provides as follows;-"transportation of passengers by any means of conveyance excluding international air transport or where the means of conveyance is hired or chartered". The Appellant argued that it meets the exclusionary criteria specified in paragraph 7 of Part (ii) of the First schedule to the Vat Act.

The Appellant therefore argued that it is entitled to a refund claim lodged of Kshs. 37,471,051.00 for years 2017, 2018, 2019 and 2020.

The Respondent argued that the Appellant provides air transportation services to UN, EU, WFP, and UN Peace Keeping Missions to both local and regional destinations like Somalia, South Sudan, DRC, Sudan, Niger, Mali and Chad. The contracts provided by the Appellant indicate that it has Aircraft charter and sub-charter agreements which are billed in block hours as opposed to per seat billing akin to the regular airlines. The Respondent contended that this is a key distinction of the air charter services which properly defines the Appellant's business

The Respondent contended that for a flight to be considered an international scheduled flight, it must demonstrate that it avails seats to the public, through published time table to specific destinations in another state. The Appellant's flights were not listed on the Wilson Airport flight time table meaning they did not have scheduled flights; therefore, the Appellant is in the business of transportation of passengers on International flights but in the air charter business. On Wikipedia, the Appellant, Seven Four Eight Air Services is listed as one of the notable charter airlines in the world. Further, the Appellant's flights are exclusively for the charterer and the Appellant does not have control of passengers in the flight unlike in the case of international scheduled;- flights because the destination of the flight; and the livery and markings are determined by the customer.

The destination of the charter flight does not change the status of the exempt service offered as per the First Schedule Part (ii), Paragraph 18 of the VAT Act, which classifies hiring, leasing, and chartering of aircraft as exempt supplies (the terms can be used interchangeably). Part A, Paragraph 1 of the Second Schedule only related to the exportation of goods or taxable services, the ownership of the aircraft or whether leased or owned does not change the charter status. The Appellant treated supplies from charter services as zero-rated and not as an exempt supply, and failed to apportion the input tax as per Section 17(7)(b) of the VAT Act. Part B of the Second Schedule of the VAT Act only applies to privileged persons and institutions, under which charter services do not qualify, as they are exempt.

The Respondent argued that the Appellant operated international air charter services which are categorised as exempt supplies under Paragraph 18 of Part II of the First Schedule of the VAT, and did not qualify to be placed under Part B of the Second Schedule to the Vat Act.

Issues for determination

i. Whether the Respondent erred in categorizing the services rendered by the Appellant as exempt services rather than zero rated services under the VAT Act as claimed by the Appellant;

ii. Whether the Appellant is entitled to the VAT refund claim; and

iii. Whether the Respondent was justified in making an Additional Assessment and demand for VAT from the Appellant.

Decision/Learning Points:

(i) It was apparent from the Appellant's modus operandi, its contracts with various organizations, despite being headed air charter contracts, are really contracts for individual aircraft seats and block cargo space on international flights, rather than the hiring, leasing or charter of whole aircraft.

(ii) The taxable supplies of the Appellant involve 'the transportation of passengers by an air carrier for international flights', and therefore meets the ingredients of Paragraph 5 of Part A of the Second Schedule, hence zero rated supplies.

(iii) The Respondent erred in categorizing the Appellant's supplies as exempt supplies rather than zero rated supplies.

(iv) The Appellant being a supplier of zero-rated supplies is entitled to claim its input tax deductions while making such taxable supplies. The Appellant was therefore entitled to the Vat refund claimed.

(v) The Respondent's Additional VAT Assessment against the Appellant was made in error, in view of the erroneous categorization, and the demand thereof cannot stand.

(vi) The Respondent is hereby directed to process the Appellant's VAT refund claim subject of this Appeal within Ninety (90) days of the date of delivery of this Judgment.

SRDS LTD VERSUS RRA RS/INJUST/RCOM 00017/2022/SC

(Subject matter-VAT-Review on grounds of injustice of the judgment N° RCOMAA 00001/2022/CA rendered by the Court of Appeal on 25/03/2022)

Brief Facts

The case involves a dispute between Rwanda Revenue Authority (RRA) and SRDS Ltd regarding the Value-Added Tax (VAT) on transportation services related to the distribution of BRALIRWA drinks. SRDS Ltd argued that it should not be subject to VAT as its transportation activities are exempt due to its licensing. The RRA countered that SRDS Ltd had misrepresented pricing to evade tax, asserting that the transportation service was not exempt.

Initially, the Commercial Court ruled in favor of SRDS Ltd, stating that their transportation activities were legally exempt from VAT. However, RRA sought a review from the Supreme Court. The Supreme Court concluded that the transportation done by SRDS Ltd was not a core service but rather a complementary one to its main activity of distribution, and therefore, it was not eligible for VAT exemption. The Court reaffirmed that the transportation of goods in this context is taxable.

Issue for determination

1. Whether SRDS Ltd should pay the value-added tax (VAT) amounting to Frw 222,316,907 imposed by RRA for 2015, 2016, 2017 and 2018.

Decision/Learning points

i. The Supreme Court has upheld RRA claim for a review of the Court of Appeal's judgment (nº RCOMAA 00001/2022/CA) from March 25, 2022, citing grounds of injustice.

ii. It ordered SRDS Ltd to pay the value-added tax (VAT) amounting to Frw 222,316,907 imposed by RRA for 2015, 2016, 2017 and 2018.

iii. It ordered SRDS Ltd to pay to RRA Frw 500,000 for the counsel fee and Frw 300,000 expenses made due to the proceeding of the case.

SUGIRA LTD VERSUS RRA RS/INJUST/RCOM 00016/2022/SC

(Subject matter-VAT-Cancellation of the value-added tax amounting to Frw 246,042,539 imposed on the exempted transportation service).

Brief Facts

This case stems from a dispute between the RRA and SUGIRA Ltd regarding the VAT imposed on transportation services for distributing BRALIRWA drinks.

SUGIRA Ltd contended that it should not be taxed as it holds a valid license for transportation services, which are exempt from VAT. The RRA argued that SUGIRA Ltd had reduced the price from BRALIRWA, labeling part of it as transportation to evade tax, and claimed that the transportation service was not genuinely exempt.

After going through the Commercial Court and the Appeal Court, the Appeal Court ruled on March 25, 2022, that SUGIRA Ltd was wrongfully taxed, affirming that its transportation activities were exempt due to its licensing.
RRA requested a review of this ruling on grounds of injustice, leading the Supreme Court to examine whether the VAT charged to SUGIRA Ltd was indeed exempt. The Supreme Court determined that the transportation provided by SUGIRA Ltd is a complementary service to the main activity of distributing BRALIRWA drinks, which is not exempt from VAT. Therefore, despite SUGIRA Ltd's licensing, its transportation service should not be exempted.

Issue for determination

1. Whether SUGIRA Ltd should pay VAT of FRW 246,042,539 imposed by the RRA

Decision/Learning points

i. The Supreme confirmed that RRA request for a review of the Appeal Court case nº RCOMAA 00057/2021/CA, decided on March 25, 2022, is valid and justified based on claims of injustice.

ii. The Supreme Court affirmed that the outcome of the case will be changed in all its aspects.

iii. The Supreme Court stated that the VAT of FRW 246,042,539 imposed on SUGIRA Ltd by the RRA remains in effect.

iv. The Supreme Court ordered SUGIRA Ltd to pay to RRA Frw 800,000 including the counsel fee and the procedural fee.

TANZANIA BREWERIES PUBLIC LIMITED COMPANY VERSUS COMMISSIONER GENERAL TRA, TAX APPEAL NO. 159 0F 2021

(Subject matter: VAT-input tax-whether the Respondent was correct to deny input tax claim for lack of necessary information on the EFD receipts)

Brief Facts

The Appellant, being dissatisfied with the judgement of the Tax Revenue Appeal Board (the Board) in VAT appeal No. 62 of 2020, lodged an appeal to the Tax Revenue Appeals Tribunal (the Tribunal). The Appellant alleged that the Board erred by upholding the Respondent's decision which rejected the appellant's input tax claims that were lodged with the respondent for 2016 and 2017 years of income on the ground that the EFD receipts lacked necessary information required under section 86(1)(b) of the Value Added Tax Act, 2014 (the VAT Act).

Issues for determination

1. Whether the Board was correct in law and in fact in holding that the respondent's decision to reject

the appellant's input tax for the years 2016 and 2017 and the respondent's demand for the alleged unpaid output value added tax is correct in law and in fact.

2. Whether the Board was correct in law and in fact in holding that the respondent's decision to impose interest for late payment of tax is correct in law.
3. What reliefs are the parties entitled to.

Decision/Learning points

i. The appellant may be allowed an input tax credits under section 68 of the VAT Act, 1997 (R.E 2014) subject to compliance with certain provision of law. Such conditions requires the person who makes taxable supplies to provide documentary evidence or proof of incurrence of input tax from purchases made from suppliers. Section 69(2) and (3) emphasizes the requirements of providing valid tax invoice or fiscal receipt issued by the supplier under the VAT Act, 2014. Up to this point the law did not specify what constitutes a valid tax invoice or fiscal receipt required for input tax claims. The law brought section 86 of the VAT Act, 2014 to clarify as to what constitute a valid evidence required for the purpose of the VAT claims.

ii. It is clear that section 86(1) of the VAT Act requires tax invoice to be generated from electronic fiscal devices and the minimum contents of such an invoice are clearly provided. Section 86(1)(b)(v) read together with section 86(2) were correctly invoked by the respondent. Thus, while the manual invoice could still be valid as provided in section 86(2), it is clear that they cannot be used for input tax claims by reason of omission described in section 86(1)(b)(v).

Appeal dismissed.

TANZANIA PORTLAND CEMENT PLC (FORMELY KNOWN AS TANZANIA PORTLAND CEMENT CO.LTD) VERSUS COMMISSIONER GENERAL (TRA) VAT APPEAL NO. 59 OF 2021

(VAT-whether it is correct to charge VAT on volume discounts, criteria for grant of input tax credit)

Brief Facts

The dispute originated from an audit, which was conducted by the Respondent in the Appellant's tax affairs covering years of income 2017 to 2018. The tax audit revealed among others that the value of earlier accounted output taxes at the time of making supply were found reduced/decreased through what is known as Customers bonus or volume discounts, without following the requirements of the law. The accounted output tax did not tally with input tax. It was also observed that while tax laws restrict some input taxes on specific purchases such as entertainment, accommodation, meals, repair and maintenance of motor vehicles and any other items considered not being for economic activities from being claimed, it was revealed that the Appellant in the list of claimed input tax included such items. It was also revealed that fiscal receipts or tax invoices used to claim input tax had missing particulars prescribed under the law. The audit findings were communicated to the Appellant and was issued with an adjusted assessment. The Appellant objected. The objection was determined by confirming the assessment; the Appellant being aggrieved by the determination lodged an appeal to the Tax Revenue Appeals Board.

Issues for determination

1. Whether the Respondent was justified to charge output tax on the Appellant's customer's volume discounts.

2. Whether the Respondent was justified to impose VAT on the basis, that credit note issued did not follow the requirement of issuing adjustment notes.

3. Whether the Respondent was justified to charge VAT on Appellant's royal effect market strategy.

4. Whether the Respondent was justified to disallow claim of input tax in respect of accommodation costs, meals offered to Appellant's employee and maintenance of vehicles.

5. Whether the Respondent was justified to disallow claim of input tax in respect of invoices allegedly with missing Appellant's particulars.

6. Whether the Respondent was justified to impose interest against the Appellant.

7. What reliefs are the parties entitled

Decision/Learning Point

i. Adjustment note is the legal document, which has to be issued to justfy the alleged volume discount by the Appellant. The law require a discount to be featured on tax invoice.

ii. In this case since at the time of issuance of a tax invoice it is not easy to ascertain on whether the Client will meet the fixed target, basing on the law requirement present at a time, on realizing that the client met the fixed target and deserved to be offered the promised discount, the Appellant will have to issue adjustment note to justify on what has been attained.

iii. Basing on the law requirement under section 71 of the VAT Act, 2014, since the Appellant did not issue the adjustment note therefore the Respondent was correct to impose VAT on the discounts offered by the Appellant to its customers. The Appellant has to abide to the law requirement under Section 71, whereby apart from issuing credit note for claiming VAT the adjustment note need to be attached as the law require such a document for the said discount to be recognized.

iv. Credit note is not recognizable under the VAT Act, whereas the Adjustment note is the one recognized by the Act fir treatment of post supply adjustment which have the effect of altering or otherwise varying consideration and VAT previously paid.

v. Section 72(2) of the VAT Act provides for decreasing adjustments, whereby a taxable person shall be allowed a decreasing adjustment if the value added tax previously accounted for by the supplier exceed the value added properly paid. In view of that it is not correct to conclude that credit note and adjusted note are the same and should be recognized and treated under the VAT Act. Therefore, credit notes issued did not follow the requirement of issuing adjustment notes.

vi. Loyal effect market strategy is a type of reward or kind of donations to customers for being loyal to the company. By being under that context these expenses qualify for treatment under section 17(4) of the VAT Act Cap 148 which states that "the value of supply made without consideration shall be charged VAT at a fair market value". The

Respondent was justified to charge VAT on the Appellant's loyal effect market strategy.

vii. Section 68 (2) and (3) of the Act provides that, a taxable person shall not be allowed an input tax credit to the extent that it is used to provide entertainment, unless the person's economic activity involves providing entertainment in the ordinary course of the person's economic activity. The word entertainment id defined under section 2 of the VAT Act to mean; provision of food, beverages, amusement, recreation or hospitality of any kind. The Appellant's economic activity does not involve provision of entertainment but rather manufacturing, distribution and sale of cement and clinker. The fact that the Appellant was offering food at the site to increase productivity cannot exonerate that expense from being entertainment.

viii. Basing on the rules for granting input tax credit, allow ability of expenses which is based on the economic activity of the taxpayer, in the present appeal the Appellant's economic activity is manufacturing and distribution of cement, the VAT Act does not allow input tax for maintenance of motor vehicles like passenger vehicles, Double cabins, single cabins. Station wagons and buses. Input tax cannot correctly be credited given the nature of an economic activity of the Appellant this is well provided for under section 68(3) of the Value Added Tax Act cap 148.

ix. Under Section 86(2) of the VAT Act cap 148, a tax invoice which does not comply with the requirement under sub section 1(b) (v) shall be valid but shall not be used to support an input tax claim. As per the evidence adduced there is no doubt that some invoices and receipt were not complete as they were some particulars which were missing contrary to section 86(1) (b) of the Act. The Respondent correctly denied Appellant's claim for input tax credit in line with the provisions of Section 86 (2) of the VAT Act.

Appeal dismissed

TANZANIA PORTLAND CEMENT PLC VERSUS COMMISSIONER GENERAL (TRA) VAT APPEAL NO. 04 OF 2023

(Subject matter-VAT-whether the Respondent was justified to impose VAT on VAT Returns and Audited Financial Statements; VAT Returns and TANCIS Report, whether correct to impose VAT on the amount already taxed under the Income Tax regime- volume discount)

Brief Facts:

The Respondent conducted an audit on the Appellant's tax affairs covering years of income 2019 and 2020. The tax audit revealed among others, a variance between the Appellant's sales as per financial statement vis-à-vis VAT Returns. The Appellant failed to reconcile the observed variance. The Respondent in turn treated the difference as undisclosed sales and proceeded to impose VAT on the same.

The Respondent's Audit also revealed a difference between the Appellant's exports as per VAT Returns vis-à-vis TANCIS records. On this item, the Respondent observed that export per VAT Returns were on the higher side compared to exports recorded on TANCIS and required the Appellant to provide reasonable explanation to justify the difference. The Appellant attributed the difference to, among others, exports made to the Democratic Republic of Congo (DRC). However, when the Respondent requested documentary proof to justify the claim, the Appellant failed. In that regard, the Respondent subjected the noted difference to output VAT.

Further, the Respondent's audit revealed that the Appellant had offered her customers volume discounts amounting to TZS 23, 313,254,565.54 and TZS 28,500,385,456.61 for the years of income 2019 and 2020, respectively. The Respondent noted that offering of volume discounts after goods had already been supplied and delivered to a customer was contrary to *section 13 (3) of the Value Added Tax Act, 2014* ("VAT Act") which requires discounts to be considered at the time of supply. The Appellant asserted that volume discounts were issued in a form of credit note to take into account all the invoices involved in reaching the pre-set target by the Appellant to her customers. The Respondent's observation was that that was contrary to *Section 71 of the VAT Act* which requires Adjustment Note to be prepared and issued to the customer within seven days of becoming aware of the adjustment event. There was no evidence of any adjustment note, thus, the Respondent proceeded to impose output VAT on volume discounts. The Appellant being aggrieved by the decision lodged an Appeal to the Tax Revenue Appeals Board.

Issues for determination:

1. Whether the Respondent was justified to impose VAT on the variance between the Appellant's sales as per VAT Returns and Audited Financial Statements;
2. If the first issue is answered in the affirmative, whether the Respondent was justified to impose VAT on the amount already taxed under the Income Tax regime;
3. Whether the Respondent was justified to impose VAT on the Appellant on the basis of the difference between the exports per VAT Returns and TANCIS Report;
4. Whether the Respondent was justified to impose VAT on customer's volume discounts;
5. Whether the Respondent was justified to impose interest on the Appellant; and
6. To what reliefs are the parties entitled to.

Decision/Learning points

i. The Respondent was justified to impose VAT on insurance compensation received by the Appellant because the law requires a person who receives an insurance compensation under a contract of insurance which relates to a loss incurred in the course of a person's economic activity or loss of an asset used wholly or partly in person's economic activity to make an increasing adjustment.

ii. The rate of the VAT to be used in calculating the amount of VAT payable is not 18 percent as the Respondent calculated but it has to be equal to the tax fraction of the amount received.

iii. Whether the Respondent was justified to impose VAT on amount already taxed under the income tax regime, the question of double taxation does not arise because the law does not take that view. VAT and Income Tax are two different taxes governed by theo different legislation.

iv. compensation under a contract of insurance following a loss incurred in the course of conducting an economic activity to make an increasing adjustment.

UNILEVER UGANDA LTD VERSUS UGANDA REVENUE AUTHORITY, TAT APPLICATION NO. 114 OF 2020.

(Subject Matter – VAT – Income Tax – taxation of undeclared sales, burden of proof)

Brief Facts

The Applicant is a member of Unilever Global, dealing in the distribution of detergents, and petroleum products such as Vaseline, and spices such as Royco. The Respondent conducted a comprehensive audit on the Applicant for the period January 2011 to December 2014, which established that the sales declared by the Applicant for VAT were higher than those declared for Corporation Tax by UGX. 18,018,850,127.

On 19th February 2020, the Respondent issued the Applicant with VAT and Income Tax assessment of UGX. 10,527,518,346 for the said period. The Applicant objected to the assessments and the Respondent partially allowed the Applicant's objection adjusting the tax liability to UGX. 2,242,507,611.

The dispute revolved around the issue of discounts offered to the Applicant's customers, which the Applicant stated, constituted the biggest amount of the variance.

Issues for Determination:

1. Whether the Applicant is liable to pay the tax as assessed?
2. What remedies are available to the parties?

Decision/Learning Points

i. Section 26 of the Tax Procedures Code Act which is similar to Section 18 of the Tax Appeals Tribunal Act places the burden of proof on the taxpayer. In this case, there was an objection and an assessment thus the burden is on the Applicant to prove that the objection decision should not have been made or made differently, or is incorrect.

ii. Black's Law Dictionary defines a discount as a reduction from the full amount or value of something. A discount is also defined as a reduction in the usual price of something. A discount can be difficult to prove. Whereas a receipt is issued for items purchased, none is issued for discounts. The challenge with discounts is that a taxpayer can exaggerate the discounts it has offered in order to reduce its tax liability.

iii. Where an Applicant cannot adduce primary evidence due to passage of time, secondary evidence may be adduced. Whereas a receipt is issued for items purchased, none is issued for a discounts granted to customers.

iv. The Applicant did not give a breakdown of the customers it gave discounts nor did it adduce evidence of the dates and places where the promotional activities took place.

v. The Respondent's decision to compare the discounts given by other suppliers like Shoprite was not irrational and the Tribunal can only fault it if it was grossly irrational. Where there is an error in a return the taxpayer should apply to make an adjustment in the return and the amendment cannot be done in Court.

vi. The Applicant did not discharge the burden of proof placed on it.

The Application was dismissed with half-costs to the Respondent.